An Coimisiún um Rialáil Fóntais
Commission for Regulation of Utilities

Energy Monitoring Report for 2022

Information Paper

Reference:	CRU202389	**Date Published:**	13/07/2023

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CRU Mission Statement

The CRU's mission is to protect the public interest in Water, Energy and Energy Safety.

The CRU is guided by four strategic priorities that sit alongside the core activities we undertake to deliver on the public interest. These are:

- Ensure security of supply
- Drive a low carbon future.
- Empower and protect customers.
- Enable our People and Organisational Capacity

Public/Customer Impact Statement

The purpose of this report is to provide consumers, industry, and other interested stakeholders with relevant information on the development of competition in the electricity and gas retail markets.

Market monitoring forms an important part of the CRU's activities as the information gathered is used to help inform our decisions. The information and analysis provided in this report aims to provide insight into how the electricity and gas retail markets are functioning. As well as information gathered through the electricity and gas market monitoring framework, the report draws on additional information from several key sources including CRU decision papers, audit findings and the CRU's consumer survey.

It should be noted that 2022 was a year like no other for customers and the energy sector due the impact of the energy crisis on gas wholesale prices, it is therefore difficult to draw comparisons to previous years data. The primary focus for CRU in 2022 was consumer protection against volatile price increases. Remove

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Revisions

Version	Published	Update
1	13/07/2023	Report published

Executive Summary – Key Messages

CUSTOMER ENGAGEMENT AND PROTECTION

- In 2022, energy suppliers received complaints from 0.6% of their electricity customers (14,824 complaints) and from 0.56% of their gas customers (4,049 complaints).
- The total number of switches completed in the electricity market in 2022 was 418,595. This represents an increase of 16.83% from 2021, when 358,267 customers switched.
- The total number of switches completed in the gas market in 2022 was 128,304. This represents an increase of 4.7% from 2021, when 122,526 customers switched.
- In 2022, the electricity switching rate[1] was 16.85% and the gas switching rate was 17.82%. Of total switches, 24% were dual fuel switches.
- Switching figures are based on the number of completed MPRN/GPRN switches from one supplier to another. In an SoLR event any customer that is moved from an existing supplier to an SoLR will be captured as a completed switch. As a result, the switching figures for 2022 can appear higher in the months when an SoLR event occurred.
- In addition to switches between suppliers, approximately 21% of electricity customers and 21% of gas customers renegotiated their contracts with their current supplier in 2022. The number of renegotiations represent a 49.8% and 20.3% increase from 2021 in electricity and gas respectively.
- In total, therefore, 36% of electricity and 39% of gas customers looked for a better energy plan in 2022 through either switching supplier or renegotiating with their current supplier. The number of customers who looked for a better energy plan in 2022 represent a 30% and 12.6% increase from 2021 in electricity and gas respectively.
- If a customer had switched to the best available discount tariff each year for the past 4 years they could, over the course of the 4 years, potentially have saved up to: €1,607 on electricity, €1266 on gas and €1,733 on dual fuel.
- In 2022, the average price differential, and thus potential savings, for a domestic customer switching from a standard tariff to a discounted tariff was €402 for a domestic electricity customer, €193 for a domestic gas customer, and €433 for a domestic dual fuel customer.

[1] The switching rate is calculated by dividing the total amount of customers by the total amount of completed switches.

- At the end of 2022, 10.8% of total electricity and 20.6% of total gas customers were in arrears and 0.5% of domestic electricity customers and 0.3% of domestic gas customers were on payment plans.
- On average more payment plans are completed by electricity and gas customers than broken (Electricity: 53% completed: 47% broken. Gas: 59% completed: 41% broken).
- In 2022, there were 990 new PAYG financial hardship meters installed for electricity and 576 for gas. In electricity this represents a 28% increase from 2021 when 775 were installed, and in gas this represents an increase of192% from 2021 when 197 were installed. This increase can be attributed to PAYG meter installations being suspended by ESBN and GNI during the Covid-19 lockdown period of 2021.
- The total number of NPA disconnections in 2022 was 2,498 for electricity and 990 for gas compared to 912 electricity and 503 gas disconnections in 2021, representing 0.1% of all electricity and 0.14% of all gas customers being disconnected for NPA in Ireland. The increased numbers of NPA disconnections in comparison to 2021 can largely be attributed to the disconnection moratorium that was in place from January to June 2021, with the 2022 NPA disconnection figures still running at a much lower level than pre-Covid.
- At the end of 2022 there were 1,068,093 electricity smart meters installed.

ENERGY PRICES

- Estimated annual bills (EABs) across suppliers' standard plans increased by a weighted average of 76.1% in electricity and increased by a weighted average of 100.4% in gas between 2020 and 2022, while EABs across suppliers' best discounted plans increased by an average of 56.9% in electricity and increased by an average of 96.2% in gas.
- All suppliers announced price increases in electricity in 2022, due to the increased wholesale electricity costs. The first price increases were announced in March 2021 and continued into 2022.
- At the end of 2022, Electric Ireland offered the cheapest available standard electricity plan with an EAB of €2,120. Electric Ireland also offered the cheapest available discount plan for electricity with an EAB of €2,021.
- At the end of 2022, SSE Airtricity offered the cheapest available standard plan for gas with an EAB of €1,820. SSE Airtricity also offered the cheapest available discount plan for gas with an EAB of €1,663.
- At the end of 2022, Electric Ireland offered the cheapest available dual fuel plan with an EAB of €4,013.
- On average the wholesale price of gas was 80% higher in 2022 compared to the average price in 2021 and over seven times higher (774%) compared to the average price in 2020.
- On average the wholesale price of electricity was 68% higher in 2022 compared to 2021 and 507% higher than the average price in 2020. However, most customers did not see the full impact of these price rises reflected in their energy bills due to the hedging strategies used by suppliers.
- As expected, there is a lag between the increases in the wholesale price of gas and electricity and increases in the retail gas and electricity prices paid by customers.

SECTORAL DEVELOPMENTS IN ENERGY

- Three Suppliers departed the energy market during 2022 under the CRU's Supplier of Last Resort (SoLR framework). No new suppliers entered the market in 2022.
- At the end of 2022, there were 9 active suppliers in the domestic electricity market and 6 active suppliers in the domestic gas market, while 6 suppliers offered dual fuel.
- At the end of 2022, Electric Ireland had the largest share in the domestic electricity market segment, with 48.7% of the market in terms of consumption. This was followed by Bord Gáis Energy with 16.9%, SSE Airtricity with 11.6%, Energia with 11%, PrePay Power with 7.2%, Panda Power with 1.6% and Pinergy with 1.1%.
- Electric Ireland also had the largest share in the domestic electricity market segment, with 53.6% of the market in terms of customer numbers. This was followed by Bord Gáis Energy with 15.8%, SSE Airtricity with 11.1%, Energia with 9.2%, PrePay Power with 7.9% and Pinergy with 1.2%.
- In the non-domestic markets Electric Ireland remained the largest electricity supplier in terms of consumption in each of the small business, medium business, and Large Energy User market segments in 2022.
- At the end of 2022, Bord Gáis Energy had the greatest market share in terms of consumption in the domestic gas market, with 42.6% of the market share. This was followed by Electric Ireland with 24%, SSE Airtricity with 10.9%, Energia with 10.5%, PrePay Power with 6.8%, Flogas with 3.4%, Panda Power with 1% and Iberdrola with 0.8%.
- Bord Gáis Energy also had the largest market share in the domestic gas market segment, with 42.6% of the market in terms of customer numbers. This was followed by Electric Ireland with 25.9%, SSE Airtricity with 10.8%, Energia with 9.5%, PrePay Power with 8.9%, and Flogas with 2.3%.
- In the non-domestic markets Bord Gáis Energy remained the largest supplier in terms of customer numbers in each of the IC, medium-sized non-domestic gas, DM and LDM gas market segments.

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Overview of Gas Pass Through Costs and Charges for 2022 82

Glossary of Terms and Abbreviations

Abbreviation or Term	Definition or Meaning
AQ	Annual Quantity
CEER	Council of European Energy Regulators
CCT	CRU Customer Care Team
CRU	Commission for Regulation of Utilities
DAM	Day Ahead Market
DM	Daily Metered
DUoS	Distribution Use of System
EAB	Estimated Annual Bill
GNI	Gas Networks Ireland
GPRN	Gas Point Registration Number
GPRO	Gas Point Registration Operator
GWh	Gigawatt hours
HHI	Herfindahl-Hirschman Index
IC	Industrial and Commercial
kWh	Kilowatt hours

LDM	Large Daily Metered
LEU	Large Energy Users
MPRN	Meter Point Registration Number
MRSO	Meter Registration System Operator
MWh	Megawatt hours
NDM	Non-Daily Metered
NBP	National Balancing Point
NPA	Non-Payment of Account
NSMP	National Smart Metering Programme
PAYG	Pay As You Go
PSO	Public Service Obligation
SEAI	Sustainable Energy Authority of Ireland
SEM	Single Electricity Market
SME	Small and Medium Sized Enterprises
SPC	Supply Point Capacity
TUoS	Transmission Use of System
UR	Utility Regulator

1. Introduction

1.1 The Commission for Regulation of Utilities

1.1.1 Background

The Commission for Regulation of Utilities (CRU) is Ireland's independent energy and water regulator. Our work impacts Irish homes and businesses ensuring safe, secure, and sustainable energy and water supplies for all customers. The CRU was established in 1999 and operates within a policy and statutory framework set by Government and has responsibility for economic regulation and customer protection in the energy and water sectors and regulation of energy safety.

Further information on the CRU's role and relevant legislation can be found on the CRU's website at www.cru.ie.

1.1.2 Objectives of this Report

The purpose of this report is to provide consumers, industry, and other interested stakeholders with a single source of relevant information on the functioning of the electricity and gas retail markets.

This report analyses trends in several key indicators, including prices, consumption, customer numbers, internal and external switching, pay-as-you-go meters, and disconnections for non-payment of account, and outlines the key developments in the retail electricity and gas markets.

The primary sources of data in this report are, Meter Registration System Operator (MRSO) - ESB Networks, Gas Point Registration Operator (GPRO) - Gas Networks Ireland (GNI), and energy suppliers.

1.1.3 Related Documents

Information on the CRU's role and relevant legislation can be found on the CRU's website at www.cru.ie

CUSTOMER ENGAGEMENT AND PROTECTION

2. Energy Customer Complaints

Summary of Section

- This section contains information on the number of customer complaints to energy suppliers.
- Complaints are defined as a customer's expression of dissatisfaction and refer to the number of valid or invalid complaints made to the supplier regardless of form - letter, email, phone call, in person - during the reporting period. Only complaints requiring some form of explicit follow-up are included (i.e., where follow-up is required whether requested or not). Where a complaint has been resolved in the same reporting period as it had been raised, it is still included in this indicator.
- In 2022, energy suppliers received complaints from 0.7% of their electricity customers (14,824 complaints) and from 0.56% of their gas customers (4,049 complaints).

2.1 Customer Complaints to Energy Suppliers

The CRU collects data from suppliers on a yearly basis concerning the number of complaints they received from customers. The table below shows that suppliers received complaints from 0.68% of their customers in 2022. Overall, there is a small difference between domestic and non-domestic complaint rates for both Gas and Electricity. The rate of complaints for electricity are slightly lower for non-domestic customers in 2022 whereas the rate of complaints for non-domestic Gas customers is higher.

Market Segment	Number of complaints	Total customers	% of total customers
Domestic Electricity	13,829	2,191,820	0.63%
Non-Domestic Electricity	995	292,344	0.34%
Domestic Gas	3,877	692,931	0.56%
Non-Domestic Gas	172	27,265	0.63%
Dual Fuel	2999	-	-
Total	**21,872**	**3,204,360**	**0.68%**

Table 1: Complaints to Energy Suppliers in 2022 per Customer Category

The figure below shows the number of complaints per 10,000 customers. On average more complaints are received from gas customers in comparison to electricity customers. Domestic customers in both electricity and gas, on average raise more complaints with their energy supplier compared to non-domestic customers. Between 2018-2019 there was a year-on-year increase in the number of complaints per 10,000 domestic electricity customers with a decrease in 2020 but an increase in 2021 and again in 2022. The number of complaints per 10,000 customers was more variable for the other segments - domestic gas and non-domestic electricity and gas - over the same period.

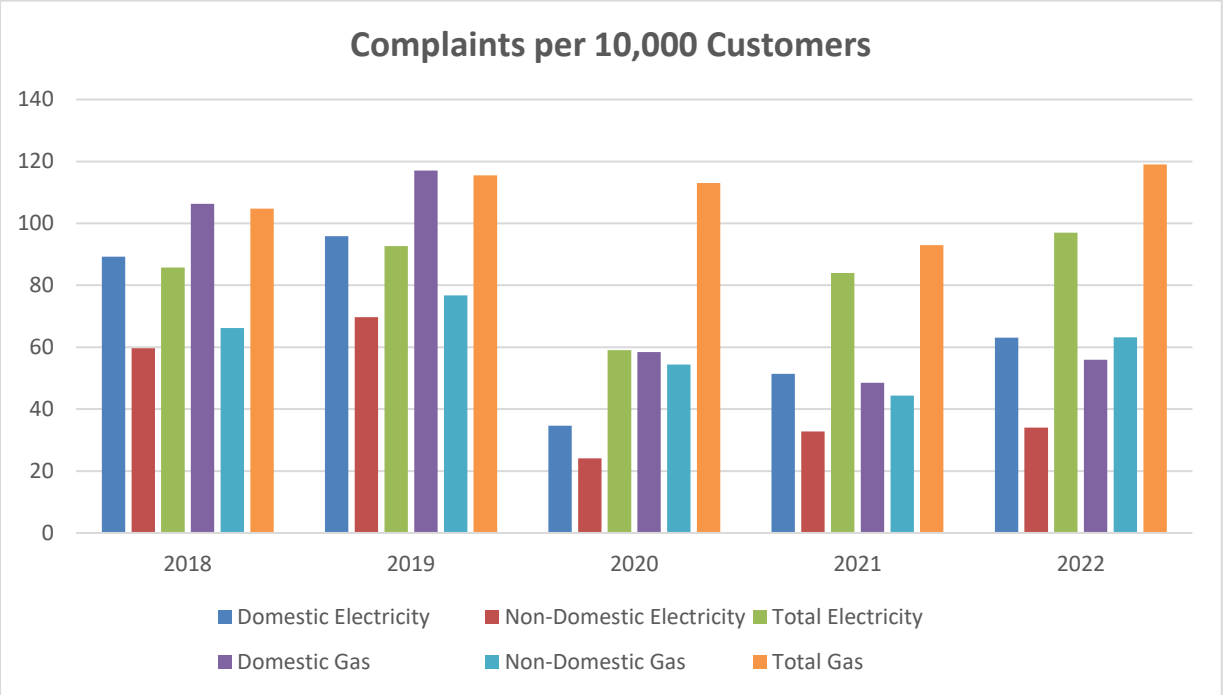


Figure 1: Complaints to Energy Suppliers per 10,000 Customers

The CRU Customer Care Team have also published their annual report for 2022. The purpose of this report is to inform consumers, industry and other interested stakeholders on the level and type of contacts and complaints from energy and water customers to the CRU in 2022. The CRU Customer Care Team Annual Report for 2022 can be found here

3. Electricity and Gas Customer Switching and Renegotiations

Summary of Section

- This section contains information on customer engagement with energy suppliers. Switching and renegotiations activity are major areas in which customers directly engage with their energy supplier.
- In 2022, the electricity switching rate was 16.8% and the gas switching rate was 17.8%. Of total switches, 24% were dual fuel switches.
- The total number of switches completed in the electricity market in 2022 was 418,595. This represents an increase of 16.8% from 2021, when 358,267 customers switched.
- The total number of switches completed in the gas market in 2022 was 128,304. This represents an increase of 4.7% from 2021, when 122,526 customers switched.
- Switching figures are based on the number of completed MPRN/GPRN switches from one supplier to another. In an SoLR event any customer that is moved from an existing supplier to an SoLR will be captured as a completed switch. As a result, the switching figures for 2022 can appear higher in the months when an SoLR event occurred.
- In addition to switches between suppliers, approximately 21% of electricity customers and 21% of gas customers renegotiated their contracts with their current supplier in 2022. The number of renegotiations represent a 49.8% and 20.3% increase from 2021 in electricity and gas respectively.
- In total, therefore, 36% of electricity and 39% of gas of customers looked for a better energy plan in 2022 through either switching supplier or renegotiating with their current supplier. The number of customers who looked for a better energy plan in 2022 represent a 30% and 12.6% increase from 2021 in electricity and gas respectively. Renegotiations give some further insight into customer engagement in the retail energy markets and show that the number of renegotiations is a significant addition to external switching.
- If a customer had switched to the best available discount tariff each year for the past 4 years they could, over the course of the 4 years, potentially have saved up to: €1,607 on electricity, €1,266 on gas and €1,733 on dual fuel.

- In 2022, the average price differential, and thus potential savings, for a domestic customer switching from a standard tariff to a discounted tariff was €402 for a domestic electricity customer, €193 for a domestic gas customer, and €433 for a domestic dual fuel customer.

3.1 Electricity and Gas Switching

This section analyses switching activity in the electricity and gas markets. Switching is when a customer changes from one supplier to another. It is measured by the number of completed switches in a period (not the number of switching requests by customers).

Switching information is critically important in monitoring the effectiveness of competition, the level of customer engagement in the market and the choices available to customers. Competition in the electricity and gas markets is driven by engaged customers that look for suppliers offering attractive products and tariffs.

The total number of electricity customer switches in 2021 was 358,267, representing a 16.68% annual supplier switching rate, compared to 418,595 customer switches in 2022, representing a 19.51% annual supplier switching rate. The number of electricity switches in 2022 was 17% higher compared to 2021.

The total number of gas customer switches in 2021 was 122,529, representing a 17% annual supplier switching rate, compared to 128,304 customer switches in 2022, representing a 19% annual supplier switching rate. The number of gas switches in 2022 was 4.7% higher compared to 2021.

High levels of switching activity were observed in June, September, and October 2022. The number of electricity switches reached the highest level recorded since November 2018 when there were 36,094 electricity switches (56,491 in October 2022). The number of gas switches also reached the highest level recorded since September 2020 where there were 12,841 gas switches (17,987 in September 2022).

Switching figures are based on the number of completed MPRN/GPRN switches from one supplier to another. In an SoLR event any customer that is moved from an existing supplier to an SoLR will be captured as a completed switch. As a result, the switching figures for 2022 can appear higher in the months when an SoLR event occurred.

The figure below shows the percentage of electricity customers that switch suppliers on an annual basis. The electricity switching rate had been relatively stable since 2014 with a decrease observed in 2019 and in 2020. However, an increase in the electricity switching rate was first observed in 2021 and continued into 2022. The gas switching rate has been a bit more variable and has been

at a high in recent years with a decrease also observed in 2019 and 2020 but an increase in 2021 and into 2022.

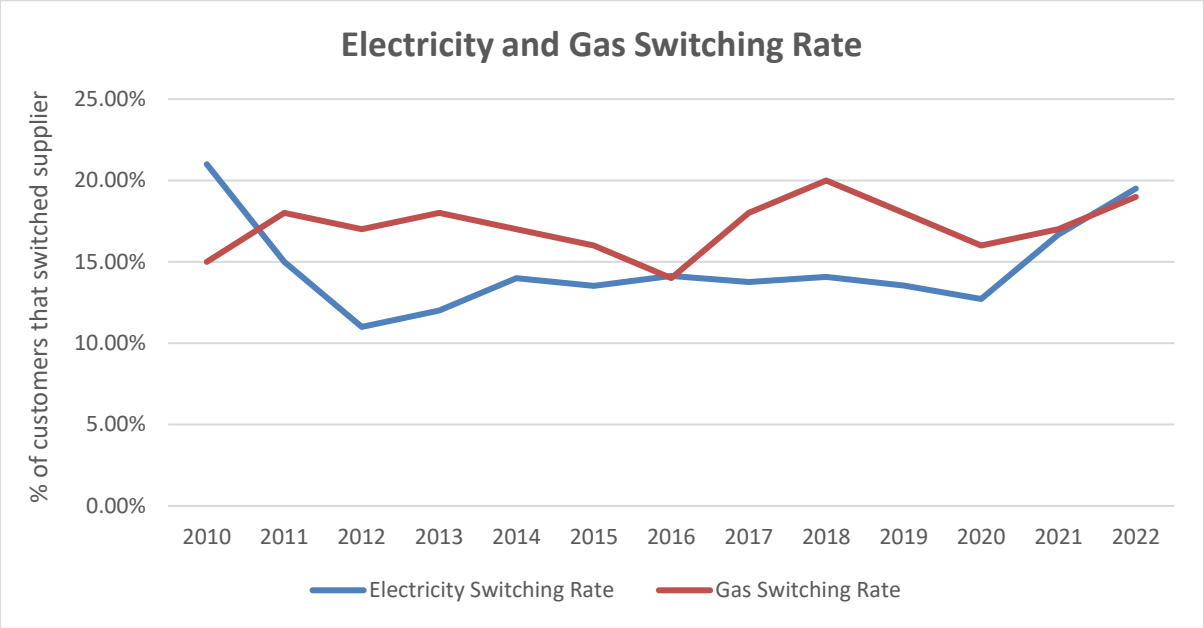


Figure 2: Electricity and Gas Switching Rate

The figure below shows the percentage of electricity and gas customers, broken down into domestic and non-domestic, that switch suppliers on an annual basis. The domestic electricity switching rates had been steady since 2018 but there has been an increase again in 2022. There had been a decrease in the switching rate of the non-domestic electricity segment with the largest decreases observed between 2019 – 2020 but there was an increase in 2021 and a further increase in 2022. The total switching rate also increased between 2018 - 2022.

In gas, the switching rate has been more variable compared to electricity in all three categories. In the domestic gas segment, the switching rate had been decreasing from 2018 – 2020 but the switching rate increased in 2021 and again in 2022. The switching rate of the non-domestic gas segment has been following a decreasing trend , with a decrease in 2021 and another decrease in 2022.

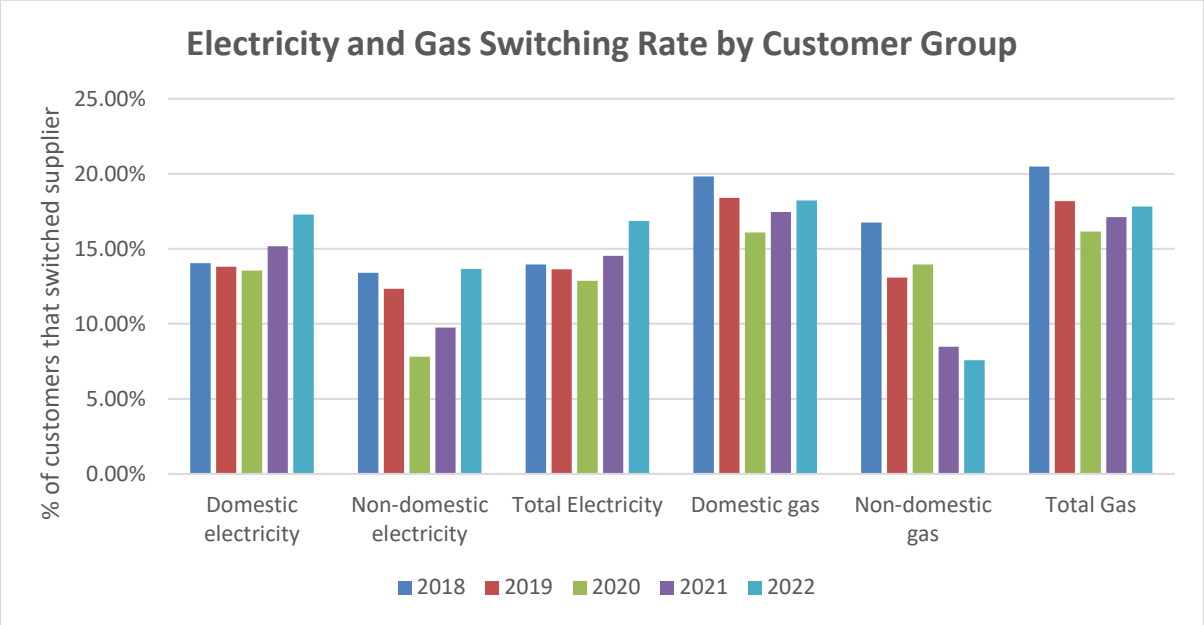


Figure 3: Electricity and Gas Switching Rate by Customer Group

Non-domestic customers may be affected by a lack of transparency in prices and contracts offered by suppliers, as due to the nature of bespoke plans there are no comparison tools currently available. This could possibly explain the change in the switching rates for non-domestic electricity and gas customers over time.

Dual Fuel Switching

A dual fuel customer is defined as a site that has both gas and electricity accounts with the same supplier (whether on a specific dual fuel tariff or not). The 'dual fuel switching' indicator refers to the number of dual fuel customers (measured by MPRN/GPRN) that switched, either one account or both gas and electricity, per month.

In 2022 there was a decrease in dual fuel switches of 14.1% from 2021. The 2022 dual fuel switching rate was 24%, compared to 38% in 2021 and it represents a 19% decrease. The figure below shows dual fuel switches as a percentage of total switches.

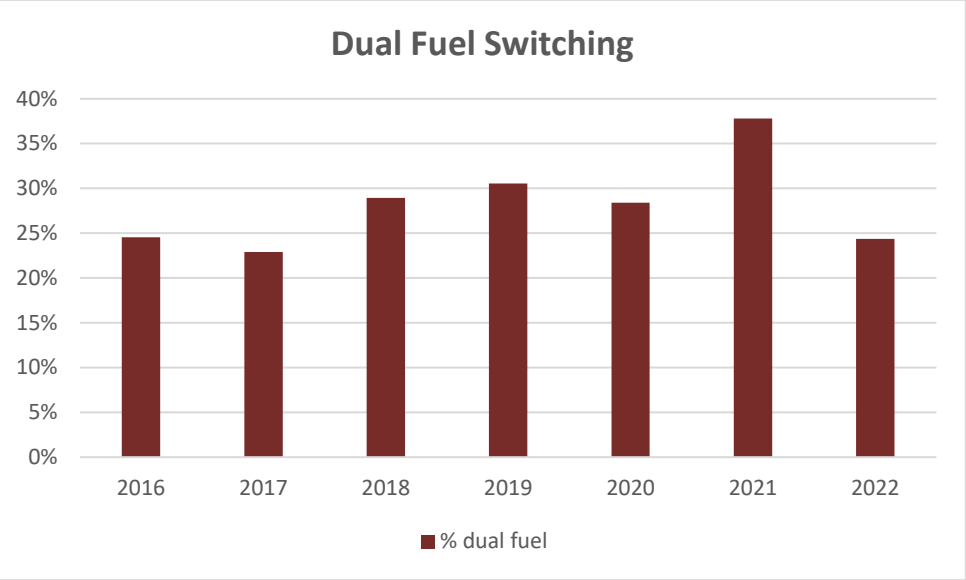


Figure 4: Dual Fuel Switches as a Percentage of Total Switches

3.2 Renegotiations of Contracts/Tariffs

Renegotiations (internal switching) refer to situations where a new contract term, tariff or terms & conditions have been negotiated between the supplier and the customer. The indicator includes data on the number of successfully completed renegotiated contracts regardless of whether initiated by the customer or the supplier or of the number of times an individual customer renegotiated. This indicator does not include situations where a customer renegotiates a payment plan or automatically defaults to the standard tariff or any other tariff that does not have a time limited discount or lock in period associated with it.

Renegotiations give some further insight into customer engagement in the retail energy markets and show that the number of renegotiations is a significant addition to external switching.

The figure below shows the rate of successfully completed renegotiated contracts over the year in both the electricity and gas retail markets for domestic and non-domestic customers. In 2022, 19% of total electricity customers and 22% of total gas customers renegotiated their contract with their existing supplier. The number of electricity renegotiations in 2022 was 44.3% higher compared to 2021 and the number of gas renegotiations 20% higher. The 2022 renegotiation rates in both electricity and gas are the highest rates recorded since 2016 when the CRU started collecting data on this indicator. Non-domestic electricity customers are more likely to renegotiate, while non-domestic gas customers are the group most likely to renegotiate.

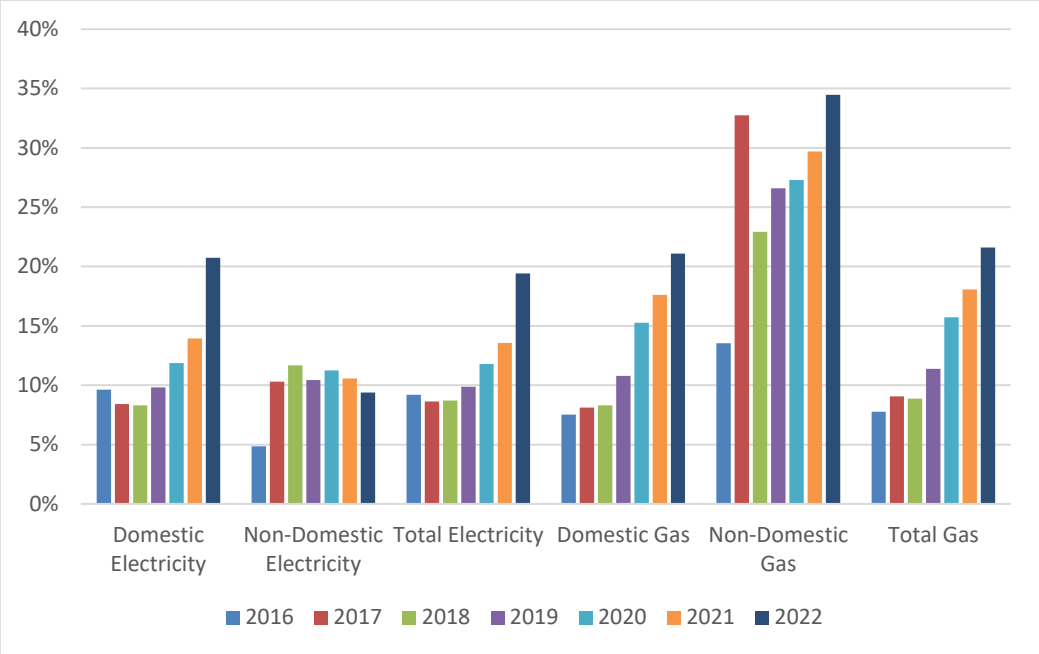


Figure 5: Renegotiation Rate by Customer Group

When the number of renegotiations is added to the number of switches, it can be concluded that 36% and 39% of electricity and gas customers looked for a better energy plan through either switching supplier or renegotiating with their existing supplier in 2022. This represents an increase of 30% in electricity and 12% in gas in the number of customers looking for a better deal from 2021. There was an increase in switching in 2022 compared to 2021 and there was also an increase in renegotiations. It is important also to note that in 2022 there were more customers engaging with energy suppliers compared to 2021.

The figure below shows the rate of combined switching and renegotiations for the period 2016 – 2022. The rate of switching and renegotiations in electricity has remained stable between 2016 – 2020 with small year-on-year increases since 2017. A larger year-on-year increase was observed in 2021 and again in 2022. The equivalent rate in gas has seen larger year-on-year increases throughout the whole period with the biggest increase observed between 2016 – 2017.

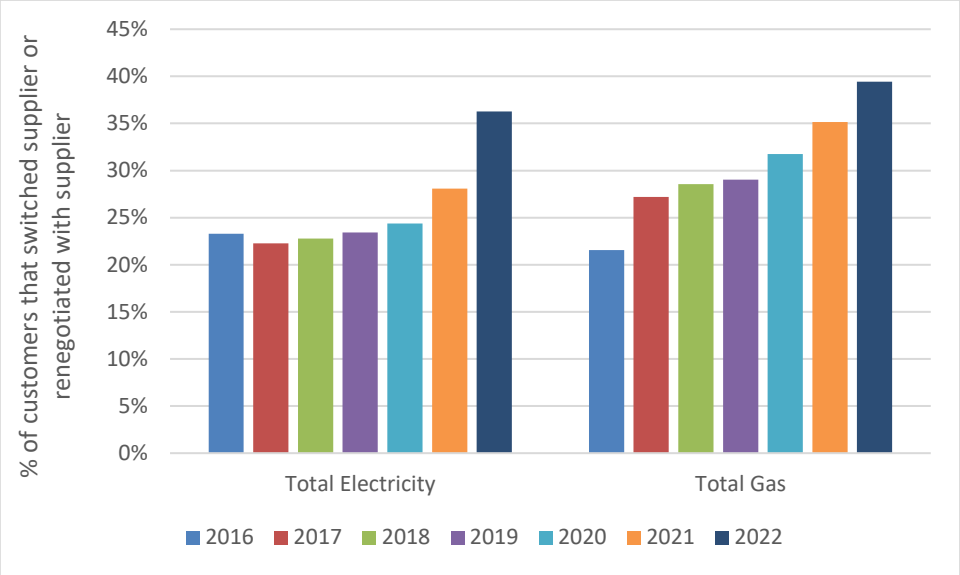


Figure 6: Rate of Switching and Renegotiations

3.3 Potential Cost Savings from Switching

In 2022, the average price differential, and thus potential savings, for a domestic customer switching from a standard tariff to a discounted tariff was €402 for a domestic electricity customer, ,€193 for a domestic gas customer and €433 for a dual fuel customer.

Discount tariff plans are generally for a set contract timeframe of 12 - 24 months. Once this contract has expired customers are placed on the supplier's standard tariff rate. To continue on a discount tariff (and ensure they are getting the best deal on the market) customers must either: engage with their current supplier to renegotiate their energy contract or compare the market and switch to another supplier. By only switching once and not looking at which plan is best suited after the expiration of their discount tariff, customers are missing out on a significant amount of potential cost savings.

The graphs below show the difference in the average annual bill for standard tariffs and best available discount tariffs across the market.

The biggest price differential in electricity is observed in the price plans of Flogas, where the difference between the standard tariff EAB and the best available discount EAB is at €701. The smallest price differential is observed in the price plans of Electric Ireland, where a difference of €99 is observed between its standard tariff EAB and the best available discount EAB.

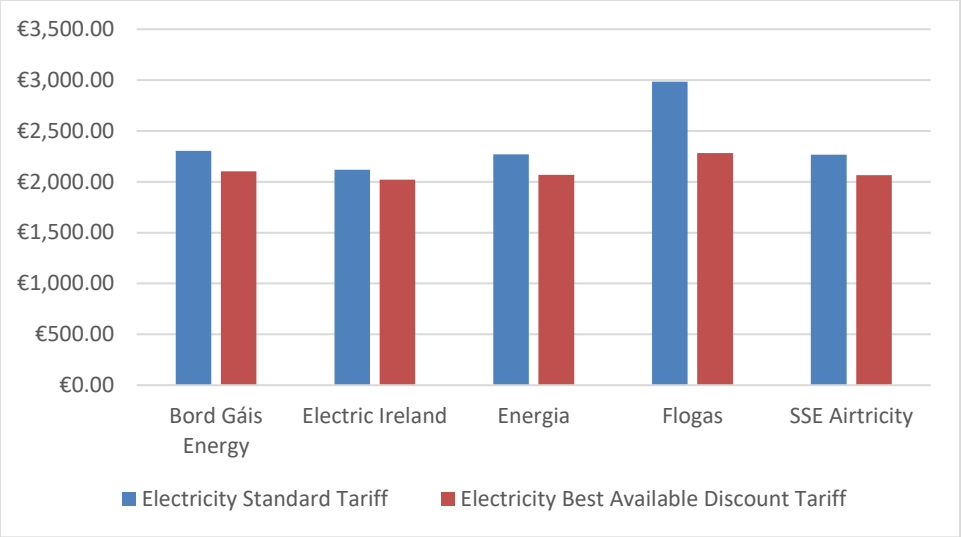


Figure 7: Electricity EABs - Standard Tariff vs Best Available Discount Tariff

The biggest price differential in gas is observed in the price plans of Flogas. The difference between the standard tariff EAB and the best available discount EAB is at €517. The smallest price differential is observed in the price plans of SSE Airtricity, where a difference of €158 is observed between its standard tariff EAB and the best available discount EAB.

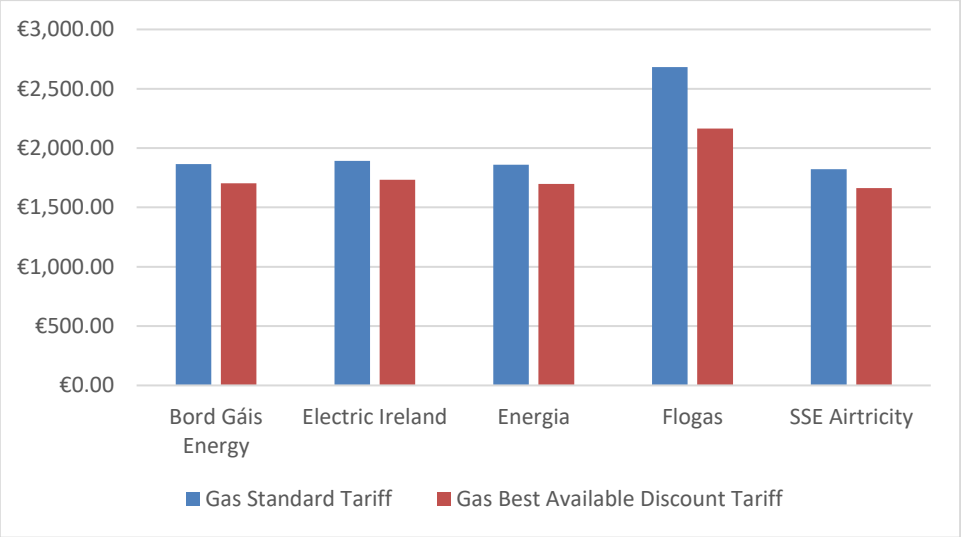


Figure 8: Gas EABs - Standard Tariff vs Best Available Discount Tariff

The biggest price differential in Dual Fuel is observed in the price plans of Flogas. The difference between the standard tariff EAB and the best available discount EAB is at €1,218. The smallest price differential is observed in the price plans of Electric Ireland, where a difference of €291 is observed between its standard tariff EAB and the best available discount EAB.

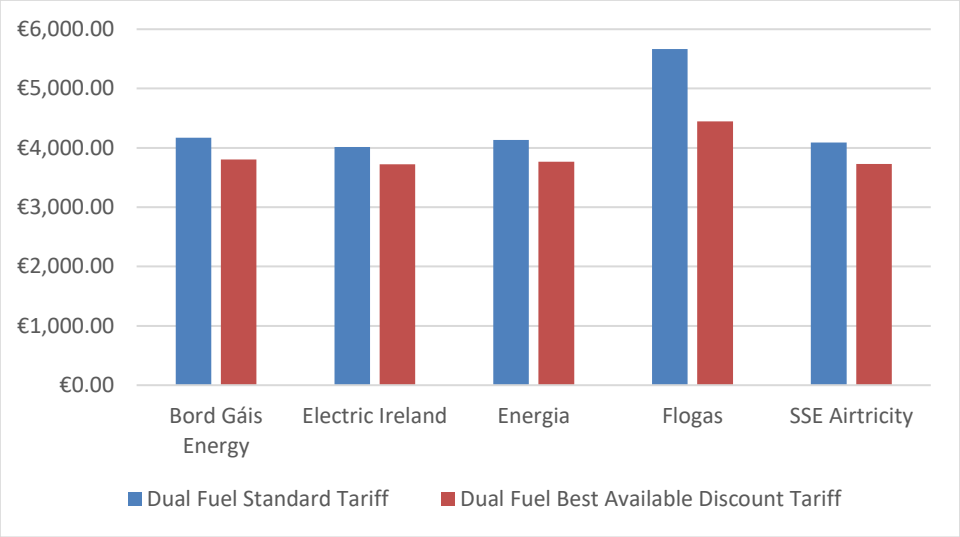


Figure 9: Dual Fuel EABs - Standard Tariff vs Best Available Discount Tariff

The tables below and figure 10 show the compounded savings from repeat switching over a period of 4 years. These figures are based on tariffs taken in December 2022 and as such any potential savings are based on these figures.

Electricity	Year 1	Year 2	Year 3	Year 4
Never switch	€0	€0	€0	€0
one off switch	€402	€402	€ 402	€ 402
2 switches	€402	€803	€ 803	€ 803
3 switches	€402	€803	€1,205	€ 1,205
4 switches	€402	€803	€ 1,205	€1,607

Gas	Year 1	Year 2	Year 3	Year 4
Never switch	€ 0	€ 0	€ 0	€ 0
one off switch	€193	€ 193	€ 193	€ 193
2 switches	€ 193	€388	€ 388	€ 388
3 switches	€ 193	€ 388	€583	€ 583
4 switches	€ 193	€ 388	€ 583	€777

Dual Fuel	Year 1	Year 2	Year 3	Year 4
Never switch	€ 0	€ 0	€ 0	€ 0
one off switch	€433	€ 433	€ 433	€ 433
2 switches	€ 433	€867	€ 867	€ 867
3 switches	€ 433	€ 867	€1,300	€ 1,300
4 switches	€ 433	€ 867	€ 1,300	€1,733

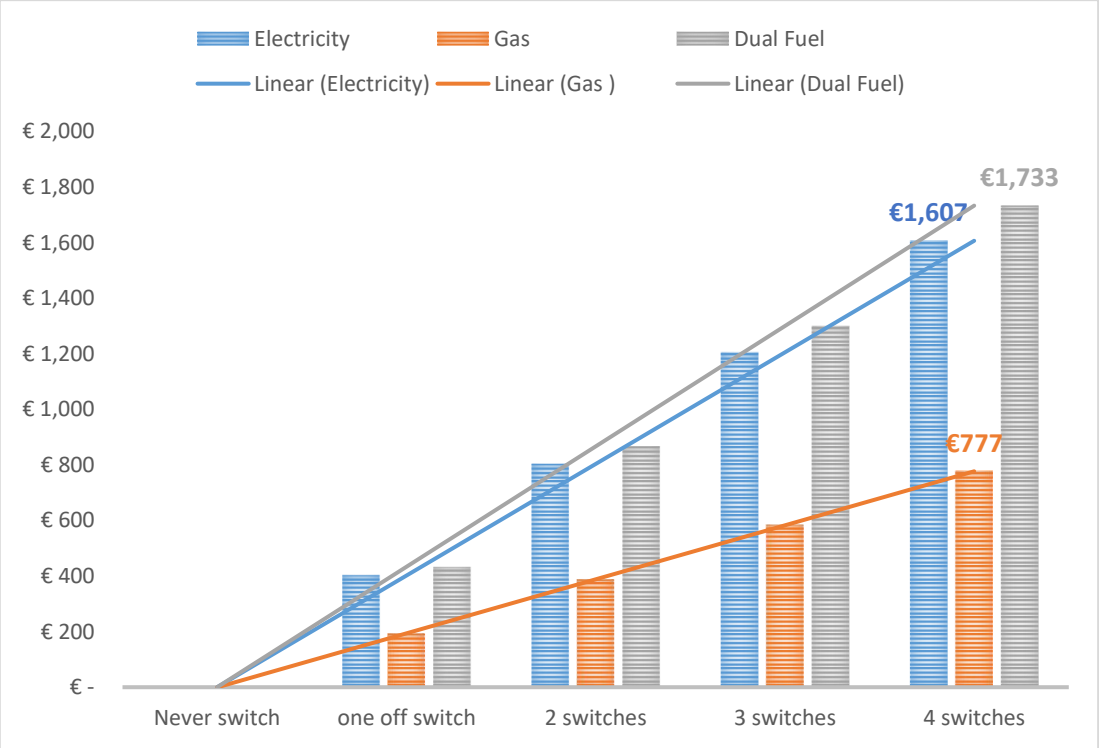


Figure 10: Savings from Repeat Switching Over a Period of 4 Years

Note that it may not be cost effective to switch more than four times over a four-year period. This is because the best available discount plans offered by suppliers are in the form of a one-year contract. If a customer breaks this contract and switches to a new plan before the contract has expired then they are likely to incur an early termination fee from their supplier, generally in the range of €50 to €200.

4. Energy Bill Management

Summary of Section

- This section contains information on energy customers in arrears and on payment plans, new installations of energy pay as you go (PAYG) financial hardship meters and energy customer disconnections for non-payment of account (NPA).
- At the end of 2022, 10.8% of total electricity and 20.6% of total gas customers were in arrears. 0.5% of domestic electricity customers and 0.3% of domestic gas customers were on payment plans.
- On average more payment plans are completed by electricity and gas customers than broken (Electricity: 54% completed: 46% broken. Gas: 51% completed: 49% broken).
- In 2022, there were 990 new PAYG financial hardship meters installed for electricity and 576 for gas. In electricity this represents a 28% increase from 2021 when 775 were installed, and in gas this represents an increase of 192% from 2021 when 197 were installed. Despite this increase, installations are still running at much lower levels than pre-Covid.
- NPA disconnections of customers increased by 173% in electricity and by 97% in gas in 2022 compared to 2021. The total number of NPA disconnections in 2022 was 2,498 for electricity and 990 for gas compared to 912 electricity and 503 gas disconnections in 2021, representing 0.1% of all electricity and 0.14% of all gas customers being disconnected in Ireland. The increased numbers of NPA disconnections in comparison to 2021 can largely be attributed to the disconnection moratorium that was in place from January to June 2021, with the 2022 NPA disconnection figures still running at a much lower level than pre-Covid.

4.1 Energy Arrears and Payment Plans

The CRU collects data on the number of customers in arrears and on payment plans, including their value and length. Arrears refers to the number of customers by market segment that were in arrears at the end of the reporting period regardless of the value of the arrears.

Total number of customers in arrears and on payment plans in December 2022					
	Domestic Electricity	Non-Domestic Electricity	Domestic Gas	Non-Domestic Gas	Total
Customers in Arrears	236,140	38,657	142,712	6,741	424,250
% Total Customers in Arrears	11%	13%	21%	25%	13%
Customers in Arrears >90 Days	125,530	18,900	109,859	4,020	258,309
% Customers in Arrears >90 Days	6%	6%	16%	15%	8%
Payment Plans	11,358	-	2,124	-	13,482
% Total Customers on Payment Plans	*0.5%*	-	*0.3%*	-	-

Table 2: Total number of customers in arrears and on payment plans in December 2022

The figure below shows the percentage of customers that were in arrears at the end of each year. The percentage of customers in arrears has remained fairly stable in the domestic electricity and total electricity customer categories with 10-13% of customers in arrears at the end of each year, while the rate has been more variable in the non-domestic electricity and in all gas customer categories. The largest increase between 2021and 2022 is observed in the domestic gas category. At the end of December 2022, 11.1% of total electricity and 20.8% of total gas customers were in arrears. This represents a 1.6% decrease in the total number of customers in arrears for electricity and a 2.5% increase for gas from 2021 when 12.2% of electricity and 16.9% of gas customers were in arrears.

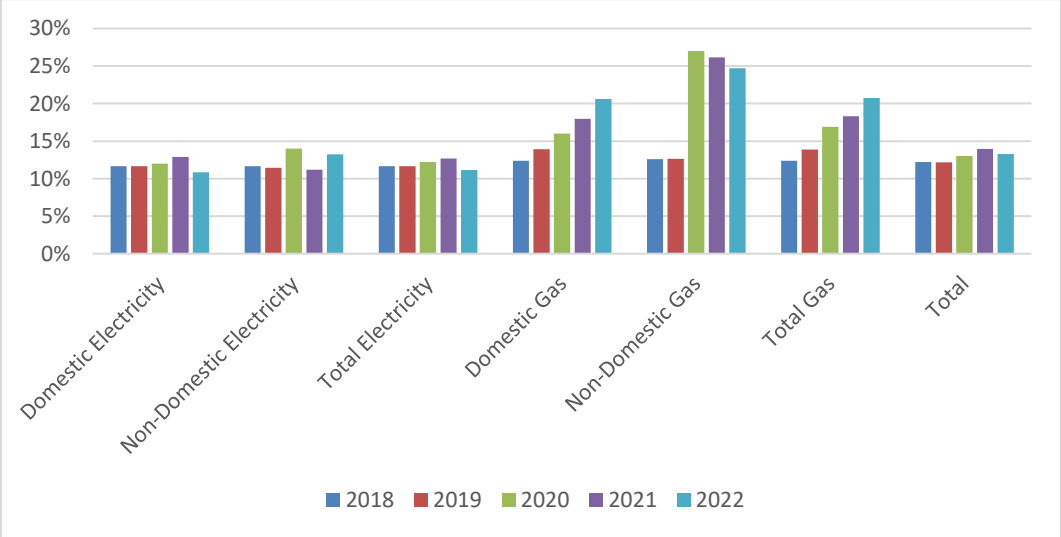


Figure 11: Percentage of Customers in Arrears by Customer Group

In electricity of those in arrears, 53% (125,530) of domestic and 49% (18,900) of non-domestic have been so for more than 90 days at the end of 2022, compared to 47% (131,058) domestic and 49% (18,900) non-domestic who have been in arrears for more than 90 days at the end of 2021. In gas of those in arrears 77% (109,859) domestic and 60% (4,020) non-domestic have been so for greater than 90 days at the end of 2022, compared to 76% (93,846) domestic and 49% (3,529) non-domestic who have been in arrears for more than 90 days at the end of 2021.

Due to the seasonality of gas usage, it is common for the gas market to have a higher percentage of customers in arrears.

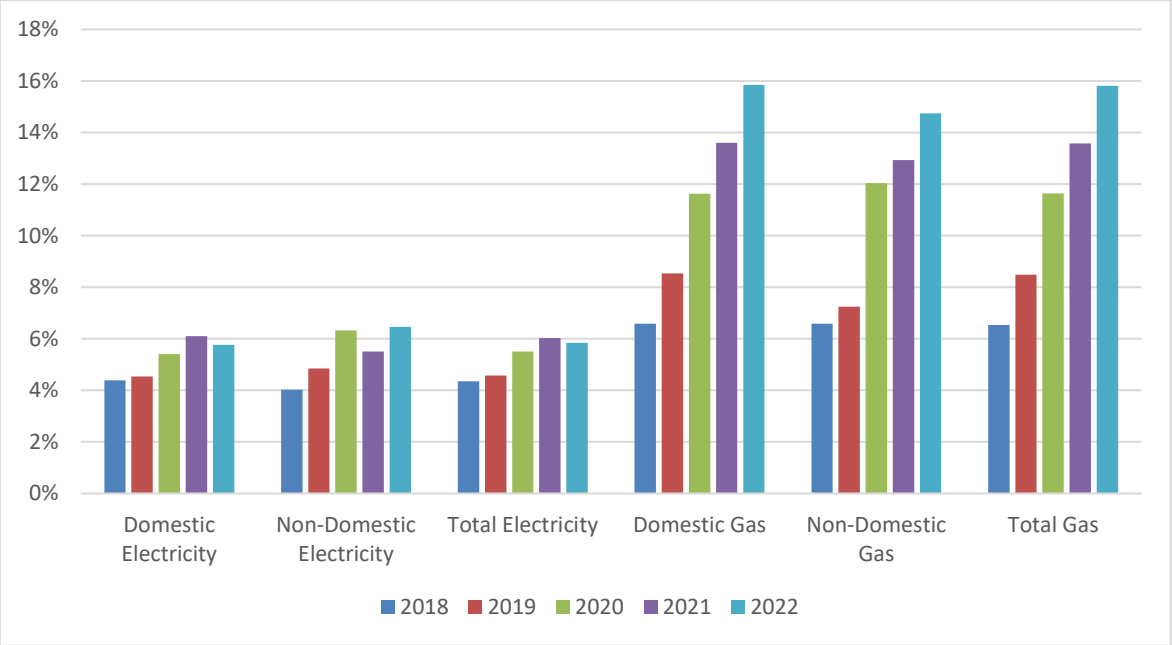


Figure 12: Percentage of Customers in Arrears for more than 90 Days by Customer Group

The option for customers to enter payment plans with their supplier provides an additional measure of protection to customers who are continuously having difficulty paying their bills.

A payment plan arrangement is a specific payment arrangement with a supplier to cover outstanding arrears on a customer's bills. A payment plan can include those arranged to recoup a debt, regardless of the debt source (i.e., financial hardship, fraud, credit, estimated reads, etc.).

Of those domestic customers in arrears 5% (11,358) of domestic electricity and 1% (2,124) of domestic gas customers were on payment plans. Compared to the total number of domestic customers, 0.5% in electricity and 0.3% in gas were on payment plans. This is a relatively low percentage considering that 6% of domestic electricity and 16% of domestic gas customers are in arrears for more than 90 days. There is scope for more customers that are in arrears to be on a payment plan and the CRU will keep this under review.

The CRU also collects information on the number of completed and broken payment plans for domestic customers. On average more payment plans are completed by electricity and gas domestic customers than broken (Electricity: 54% completed: 46% broken. Gas: 51% completed: 49% broken).

4.2 Government Emergency Electricity Credit

The Electricity Costs (Domestic Electricity Accounts) Emergency Measures Act 2022 was signed into legislation on 8 March 2022 in response to rising tariffs caused by increased wholesale costs. This Act saw the Government provide a credit worth €200 (ex. VAT) to every domestic electricity account between April – June 2022. This measure was then repeated in November/December 2022, after the Electricity Costs (Domestic Electricity Accounts) Emergency Measures and Miscellaneous Provisions Act 2022 was signed into legislation on 15 October 2022. This Act saw a further three credits worth €200 (ex. VAT) applied to customers' accounts in November/December 2022, January/February 2023 and March/April 2023. The two credits applied in 2022 helped protect customers against the worst impacts of the sharp increases in tariffs announced by suppliers throughout the year, as illustrated in the graph below.

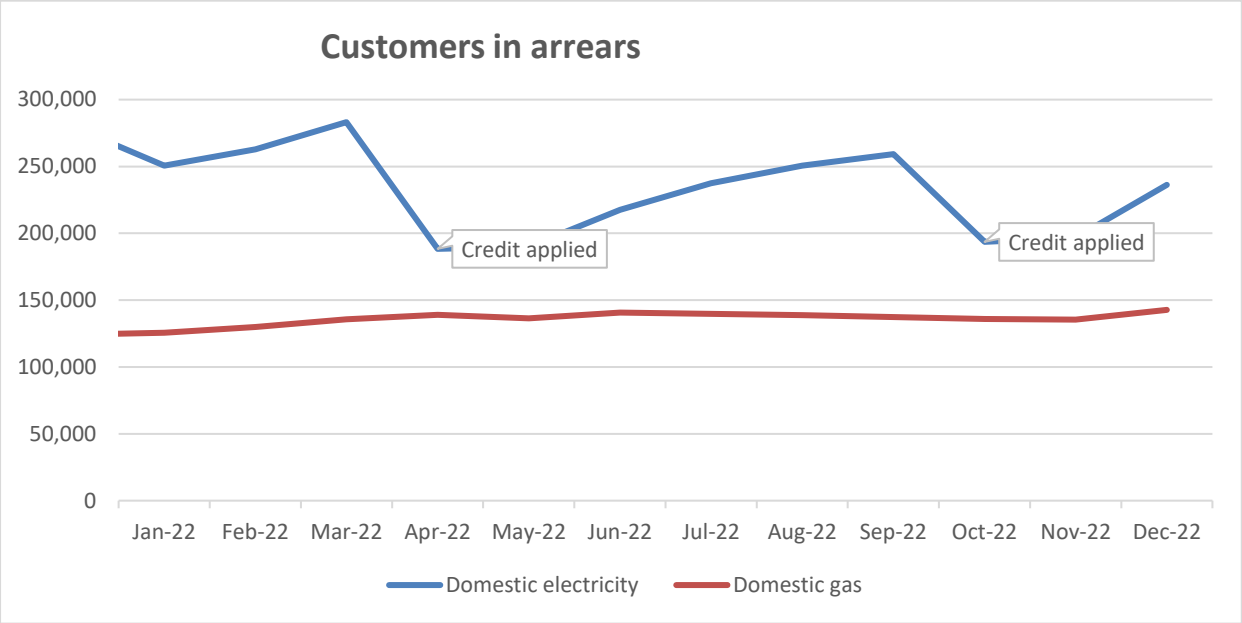


Figure 13: Impact Government Electricity Credit had on customers in arrears

4.3 Energy Pay as You Go Financial Hardship Meters

This section looks at the trend in the installation of domestic Pay As You Go (PAYG) financial hardship meters. Suppliers cannot disconnect for reasons of non-payment of account unless they have offered a PAYG meter to the customer. In instances where it would not be appropriate to offer a PAYG meter, such as the customer not being able to use the meter or where there is no suitable location for the meter in the premises, the supplier must offer an alternative.

Currently Bord Gáis Energy, Electric Ireland, Energia, Flogas and SSE Airtricity provide PAYG meters for financial hardship in the electricity and gas domestic markets.

ESB Networks and GNI are responsible for installing PAYG meters free of charge for customers in financial difficulty at the request of suppliers (on foot of a customer agreeing to the installation of a meter).

A number of suppliers also offer lifestyle choice prepayment options in the electricity and gas domestic markets (Bord Gáis Energy, Electric Ireland, Energia, Flogas, Pinergy, PrePay Power and SSE Airtricity). This is provided in the form of a PAYG meter unit that acts as a budget controller in series with the existing meter.

Suppliers offering lifestyle choice prepayment meters charge additional daily service charges. This makes them more expensive than alternatives. Customers considering opting for a lifestyle choice prepayment meter should consider this additional cost and weigh it against the additional benefits that the solution may bring them. It is important to note that customers who are experiencing financial difficulty and avail of a free PAYG meter do not incur any additional charges. For gas, GNI provides all PAYG meters. If a customer wishes to avail of a lifestyle choice meter in gas this is purchased from GNI through their supplier. For electricity, the lifestyle choice prepayment meter is an asset of the supplier rather than ESBN.

The figure below shows that the installation of new domestic electricity and gas PAYG financial hardship meters decreased from 2015 to 2019 and has declined noticeably with the onset of Covid-19 and the introduction of disconnections moratoria. In 2022, there were 990 new installs of PAYG financial hardship installs in electricity and 576 in gas, which represent 0.05% and 0.08% of total domestic electricity and total domestic gas customers respectively. There was an increase in the installation of new financial hardship PAYG meters from 2021 of 27.7% in electricity, and a large increase in installations of 192.39% in gas. However, installations of new financial hardship PAYG meters are generally running at much lower levels than in pre-Covid years.

At the end of 2022 there were 33,999 PAYG financial hardship meters in use by electricity customers.

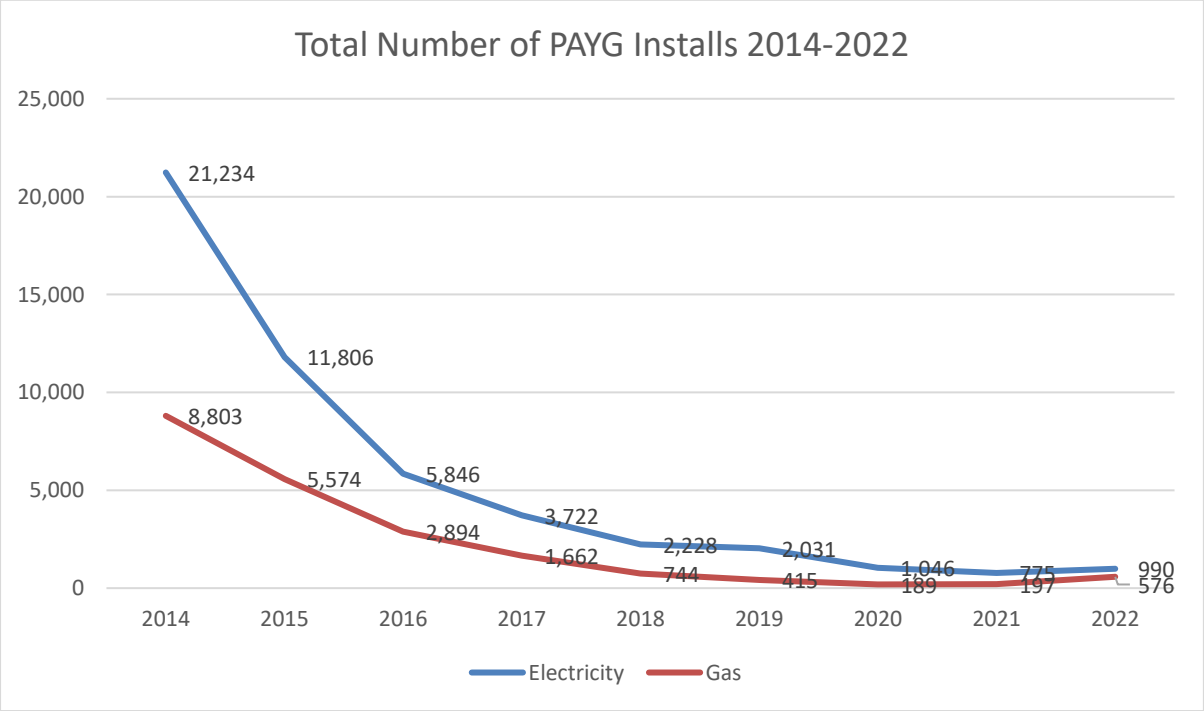


Figure 14: Number of New Domestic Electricity and Gas PAYG Financial Hardship Installs

4.4 Energy Disconnections for Non-Payment of Account

Disconnections refer to the act of interrupting supply of electricity or gas to a site. This includes de-energisations in electricity and credit locks, disconnected meters, and street isolations in gas. This section analyses disconnections completed for non-payment of account (NPA) purposes only.

The disconnection/de-energisation of a customer's energy supply due to NPA should always be the last resort and all suppliers are required to offer a payment plan and/or prepayment solution to customers in advance of proceeding to disconnect. The requirement placed on suppliers to offer payment plans and financial hardship meters instead of disconnecting customers in the first instance has benefited those in financial difficulty. It is likely that improving economic conditions in recent years has also contributed to a decrease in disconnections.

The figure below shows that NPA disconnections have fallen over time, although there was an increase observed in 2022 (primarily because of very low disconnection figures in 2021 due to the Covid-19 moratorium). Without a PAYG system in place which provides an option for customers facing difficulty in paying their electricity and gas bills, NPA disconnections could be significantly higher. In 2022 there were 2,498 electricity and 990 gas disconnections, compared to 912 electricity and 503 gas disconnections in 2021, representing an increase of 173% and 97% respectively. In terms of the percentage of NPA disconnections, 0.1% electricity customers and 0. 14% of gas customers were disconnected due to NPA, compared to 0.04% electricity customers and 0.07% gas customers disconnected in 2021.

Despite the increased numbers observed in 2022, the numbers were still significantly lower than the numbers that would typically be observed pre-Covid. The increase from 2021 can also be attributed to disconnections moratorium that was in place from January to June 2021 as part of Covid-19 restrictions. The overall low disconnection figures were also aided by the mortarium on NPA disconnections of registered vulnerable customers from 1 October 2022, and the moratorium on general disconnections from 1 December 2022. These moratoria were introduced to help protect customers in face of escalating prices.

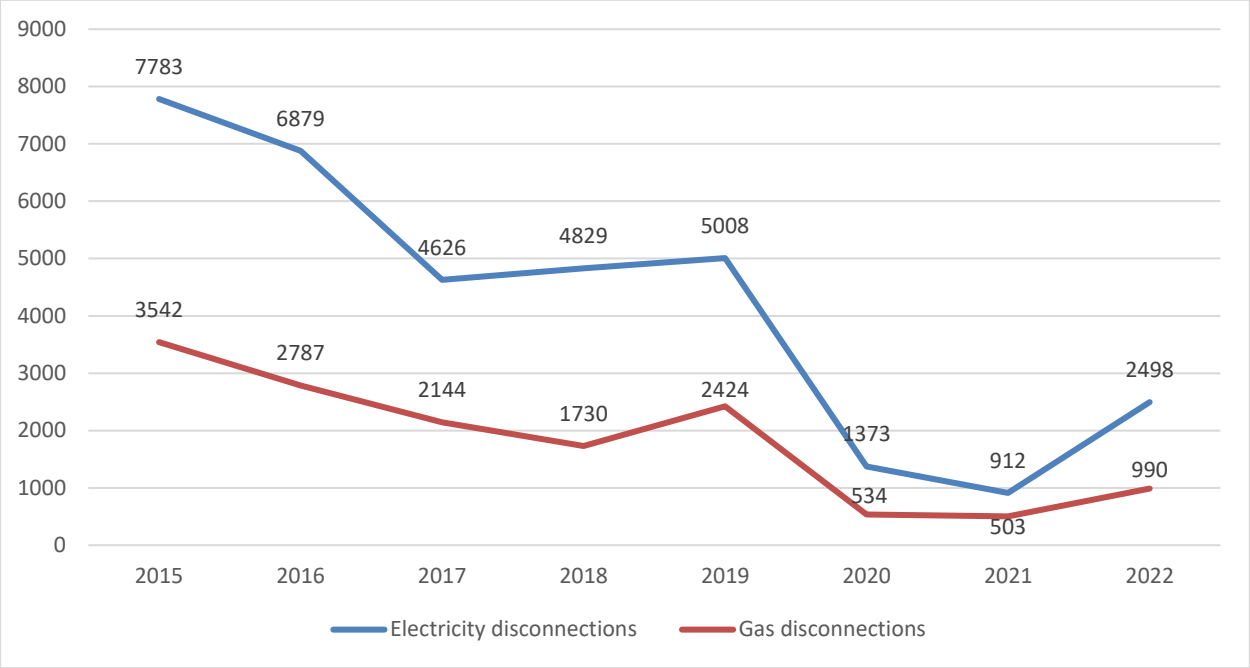


Figure 15: Total (domestic and non-domestic) NPA disconnections

The majority of disconnections due to NPA in 2022 were for domestic customers with 2,068 electricity customers disconnected. This was an increase of 219% from 2021 when 648 domestic electricity customers were disconnected. Non-domestic electricity disconnections were 430 in 2022 compared to 254 in 2021 representing a 69% increase.

In 2022, 0. 1% of domestic electricity customers were disconnected due to NPA compared to 0. 03% in 2021, while 0.14% and 0.08% non-domestic electricity customers were disconnected in 2022 and 2021 respectively.

The figure below shows total NPA domestic electricity disconnections per quarter.

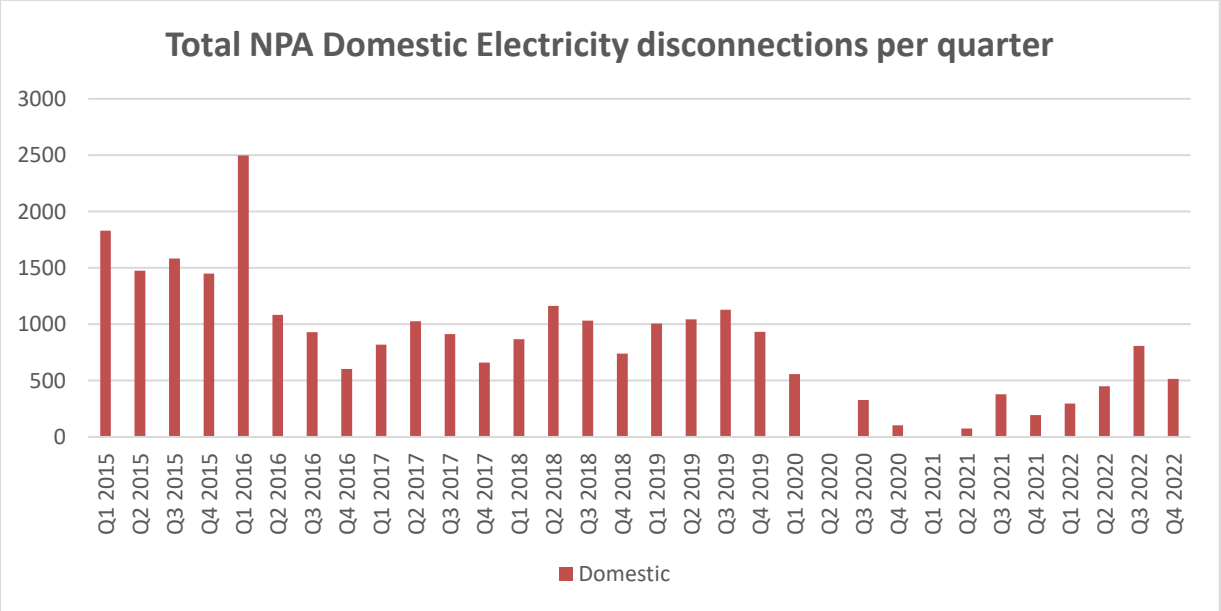


Figure 16: Total NPA Domestic Electricity Disconnections

The case is similar in gas, where the majority of NPA disconnections are for domestic customers with 880 customers disconnected in 2022. This was an increase of 107% from 2021 when 426 domestic gas customers were disconnected. Non-domestic gas disconnections were 110 in 2022 compared to 74 in 2021 representing a 49% increase.

In 2022, 0.13% of domestic gas customers were disconnected due to NPA compared to 0. 06% in 2021, while 0. 4% and 0.27% non-domestic gas customers were disconnected in 2022 and 2021 respectively.

The figure below shows total NPA domestic gas disconnections per quarter.

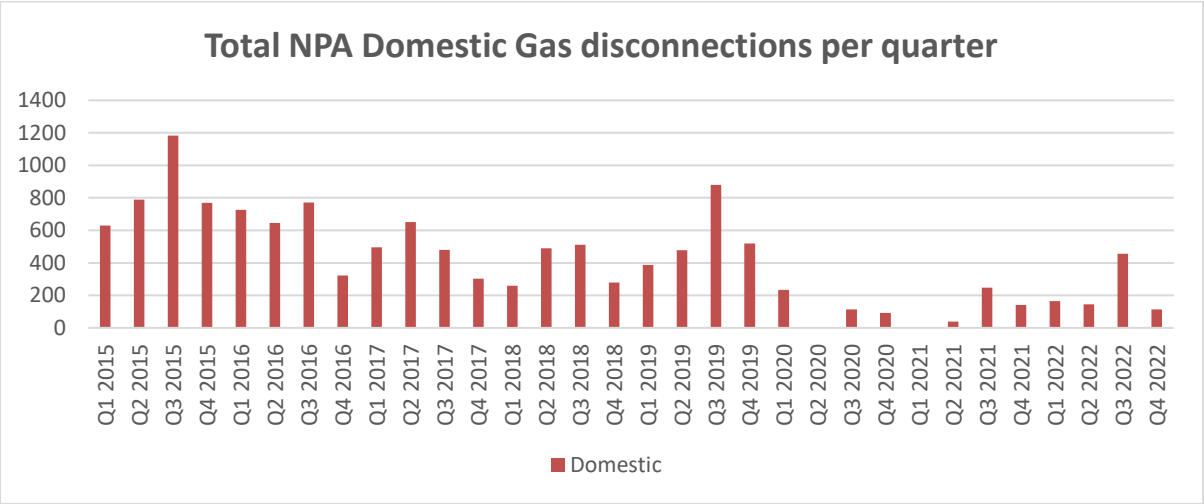


Figure 17: Total NPA Domestic Gas Disconnections

5. Energy Smart Meters

Smart meters are the next generation of electricity and gas meters. Smart meters work by communicating with the customer and their energy provider, giving accurate information on actual energy usage across each day. Smart meters will mean that customers can access more information enabling the provision of more choice and services from existing and new suppliers, which would not be possible with the old mechanical meters.

The rollout of smart metering is a significant 'once in a generation' project that can encourage energy efficiency and support an increase in renewable power on the electricity system. Ireland's smart meter upgrade programme is part of the National Climate Action Plan. Smart meters will support Ireland's transition to a low carbon future by enabling the development of smart grids, and supporting the electrification of heat and transport, local renewable generation, and microgeneration. Using smart meters will help how we manage peak energy demand, meaning lower overall costs for consumers. It will also enhance competition and improve consumer experience.

The CRU, working closely with the Department of the Environment, Climate and Communications, established the National Smart Metering Programme (NSMP). The NSMP is a project to transform how our electricity and gas retail markets operate. Old, analogue meters will be replaced by updated, digital meters. ESB Networks are leading on the replacement of electricity meters with Gas Networks Ireland responsible for replacing gas meters.

Smart meters will bring many benefits to customers and the market by virtually eliminating the need to use estimated readings and by providing more choice to customers in terms of products and services. Smart meters will also facilitate better network planning and will make the supplier switching process easier. The CRU is responsible for coordinating the project across all stakeholders including ESBN, GNI, energy suppliers and consumer interest groups. For more information on electricity smart metering visit the CRU and ESBN websites.

ESB Networks has been tasked with the delivery of the roll out programme, which involves upgrading all of Ireland's electricity meters to smart meters. The replacement programme started in autumn 2019. The figure below shows the number of electricity smart meters installed until the end of 2022. By the end of December 2022 there were 1,068,093 electricity smart meters installed. The plan is for a further 500,000 meters to be upgraded in both 2023 and 2024.

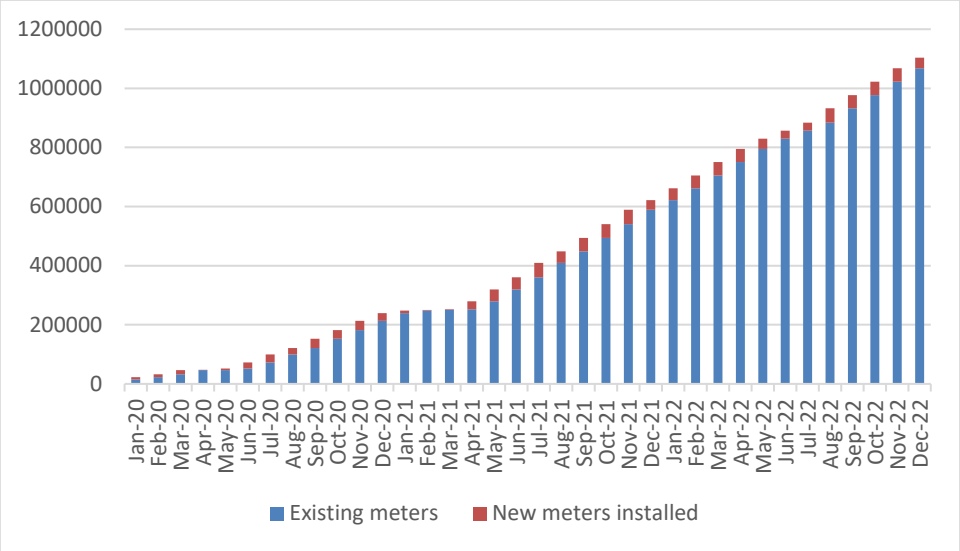


Figure 18: Number of Electricity Smart Meters Installed

ENERGY PRICES

6 Retail Energy Prices

Summary of Section

- On average the wholesale price of gas was 80% higher in 2022 compared to the average price in 2021 and over seven times higher (774%) compared to the average price in 2020.
- On average the wholesale price of electricity was 68% higher in 2022 compared to 2021 and 507% higher than the average price in 2020.
- All suppliers announced price increases in electricity in 2022, due to the increased wholesale electricity costs. The first price increases were announced in March and continued throughout 2022.
- EABs across suppliers' standard plans increased by a weighted average of 76.1% in electricity and increased by a weighted average of 100.4% in gas between 2021 and 2022, while EABs across suppliers' best discounted plans increased by an average of 56.9% in electricity and increased by an average of 96.2% in gas.
- At the end of 2022, Electric Ireland offered the cheapest available standard electricity plan with an EAB of €2,120[2]. Electric Ireland also offered the cheapest available discount plan for electricity with an EAB of €2,021.
- At the end of 2022, SSE Airtricity offered the cheapest available standard plan for gas with an EAB of €1,820. SSE Airtricity also offered the cheapest available discount plan for gas with an EAB of €1,663.
- At the end of 2022, Electric Ireland offered the cheapest available dual fuel plan with an EAB of €4,013.

The retail electricity and gas markets in Ireland are fully price deregulated, therefore the CRU no longer regulates the final electricity or gas prices in the domestic or business markets, but it does monitor supplier prices. The retail energy markets are competitive markets which allow suppliers to develop their individual strategies, including the setting of prices to customers.

[2] All figures for domestic energy retail bills are inclusive of VAT.

6.1 Calculation of Estimated Annual Bills

In order for a domestic customer to accurately compare prices between suppliers, the comparison of the Estimated Annual Bill (EAB), using current typical consumption values (4,200 kWh for electricity and 11,000 kWh for gas) across suppliers is the best measure, unless a customer knows their actual usage for the previous year and can estimate their usage for the coming year.

Price comparison websites are useful tools for customers to compare prices across suppliers. The CRU has an accreditation framework which reviews the energy price comparison service provided and only accredits a website if it meets defined standards for accuracy, transparency and reliability. The three CRU accredited price comparison websites are: www.bonkers.ie, powertoswitch.ie and www.switcher.ie.

The accredited comparison websites allow customers to enter their estimated consumption figures if desired. It should be noted that the EAB only takes account of the price for an average energy consumer. Those who consume higher or lower amounts than the average consumer may have a different average annual bill in terms of which supplier provides the cheapest or most expensive option.

Price is an important factor for a customer in determining which energy supplier will be best suited to their needs. However, there are other factors not included in this analysis which could influence a customer's choice in energy supplier and plan.

The formulae used to calculate EABs are laid out below. The average consumption value for electricity is 4,200 kWh and the average consumption value for gas is 11,000 kWh. EABs include all taxes and levies, i.e., Public Service Obligation (PSO) levy (applied on electricity bills), Carbon Tax (applied on gas bills), and Value Added Tax (VAT).

The PSO levy is a subsidy that all electricity suppliers are obliged by Government to apply to electricity customers in Ireland and consists of subsidy schemes to support national policy objectives related to renewable energy. The level of the PSO levy is set by the CRU in accordance with Government policy and it is a separate charge identified on electricity bills. Please see here for further information.

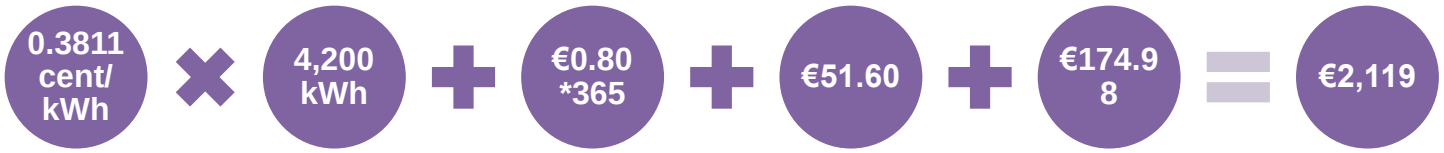
The carbon tax is a State tax applied to carbon-based fuels such as coal, peat, oil, and natural gas. The tax is intended to reduce carbon dioxide emissions and is part of Ireland's strategy to support a greener and cleaner environment. All gas suppliers must apply this tax to customers' bills, and it is a separate charge identified on gas bills.

VAT of 13.5% was paid from 1 January 2022 to 30 April 2022 on all domestic electricity and gas bills, while VAT of 9% on all domestic electricity and gas bills was paid from 1 May 2022 onwards. VAT is separately identified on customers' bills.

Electricity



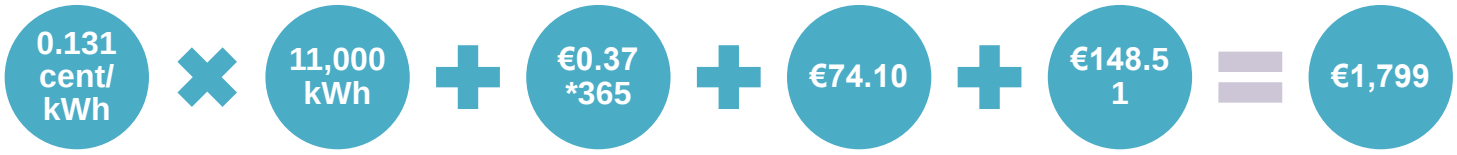
Example:



Gas



Example:



6.2 Average Estimated Annual Bills Across Suppliers

This section outlines EABs across suppliers' standard plans, Pay As You Go (PAYG) lifestyle choice plans[3], best available discount plans and best discount dual fuel plans.

All figures in this section are inclusive of VAT.

Domestic Electricity Prices

In December 2022 the following suppliers offered standard and discount plans for domestic electricity customers, along with Electric Ireland, Pinergy and PrePay Power who offered PAYG lifestyle choice plans.

Standard Domestic Electricity Estimated Annual Bills				
	June 2022	December 2022	Change	% Change
Bord Gáis Energy	€ 1,726	€ 2,305	€ 579	34 %
Community Power	€2,397	€ 3,210	€ 813	34 %
Electric Ireland	€ 1,509	**€ 2,120**	€ 611	41%
Energia	€ 1,817	€ 2,271	€ 454	25 %
Flogas	€ 2,409	€ 2,983	€ 574	24 %
Glow Power	€ 2,916	€ 2,860	€ -56.00	-2 %
SSE Airtricity	€ 1,633	€ 2,267	€ 634	39 %
PAYG Plans				
Electric Ireland	€ 1,641	€ 2,252	€ 611	37 %
Pinergy	€ 1,948	€ 2,267	€ 319	16 %
PrePay Power	€ 1,750	€ 2,245	€ 495	28 %

Table 3: Standard Domestic Electricity Estimated Annual Bills

Electric Ireland offered the cheapest standard domestic annual average bill at the end of 2022. The most competitive discount annual average bill at the end of 2022 was also offered by Electric Ireland. The average annual bill for domestic electricity, with the exception of Glow Power, increased across all suppliers from June 2022 to December 2022 for standard domestic EAB. The average annual bill for the most competitive discount domestic electricity offerings increased across all suppliers from June 2022 to December 2022.

From June 2022 to December 2022, the average annual bill for both the standard domestic electricity and the most competitive discount electricity offerings ranged across suppliers with just one supplier showing a decrease whilst all other suppliers showing an increase. The percentage increase in the EABs between June 2022 and December 2022 reflects the increases in unit rates

[3] The annual average bill for lifestyle choice PAYG customers includes an additional supplier service charge which is reflected in the price.

and standing charges announced by suppliers throughout this period, despite the PSO levy being reduced from October.

Most Competitive Discount Domestic Electricity Estimated Annual Bills				
	June 2022	December 2022	Change	% Change
Bord Gáis Energy	€ 1,257	€ 2,103	€ 846	67 %
Electric Ireland	€ 1,072	**€ 2,021**	€ 949	89 %
Energia	€ 1,082	€ 2,068	€ 986	91 %
Flogas	€1,289	€ 2,282	€ 993	77 %
SSE Airtricity	€ 1,096	€ 2,064	€ 968	88% %

Table 4: Most Competitive Discount Domestic Electricity Estimated Annual[4]

Domestic Gas Prices

In December 2022 the following suppliers offered standard and discounted plans for domestic gas customers. Flogas, Electric Ireland, BGE and PrePay Power also offered PAYG lifestyle choice plans[5].

Standard Domestic Gas Estimated Annual Bills				
	June 2022	December 2022	Change	% Change
Bord Gáis Energy	€ 1,340	€ 1,865	€ 525	39%%
Electric Ireland	€ 1,066	€ 1,893	€ 827	78 %
Energia	€ 1,338	€ 1,860	€ 522	39 %
Flogas	€ 1,834	€ 2,682	€ 848	46 %
SSE Airtricity	€ 1,310	**€ 1,821**	€ 511	39 %
PAYG Plans				
Bord Gáis Energy	€ 1,340	€ 1,865	€ 525	39 %
Electric Ireland	€ 1,066	€ 1,893	€827	78 %
Flogas	€ 1,834	€ 2,682	€ 848	46 %
PrePay Power	€ 1,443	€ 1,886	€ 443	31 %

Table 5: Standard Domestic Gas Estimated Annual Bills

For domestic gas, SSE Airtricity offered the cheapest standard domestic annual average bill at the end of 2022. The most competitive discounted annual average bill at the end of 2022 was also offered by SSE Airtricity. From June 2022 to December 2022, the increases in the average annual bill for both the standard domestic gas and the most competitive discount gas offerings ranged from 29% to 87% across all suppliers.

[4] It should be noted that some discounted plans offered by suppliers (including some of the best discounted plans presented here) are only available to new customers.
[5] Note that some gas suppliers charge an installation fee for PAYG gas meters which is not included here.

Most Competitive Discount Domestic Gas Estimated Annual Bills				
	June 2022	December 2022	Change	% Change
Bord Gáis Energy	€ 958	€ 1,704	€ 746	78 %
Electric Ireland	€ 949	€ 1,732	€ 783	83 %
Energia	€ 1,240	€ 1,697	€ 457	37%
Flogas	€ 1,157	€ 2,165	€ 1,008	87 %
SSE Airtricity	€ 1,096	**€ 1,663**	€ 567	52 %
PrePay Power	€1,457	€1,886	€429	29 %

Table 6: Most Competitive Discount Domestic Gas Estimated Annual Bills[6]

Increases in domestic gas bills largely mirrored increases in domestic electricity, as suppliers announced increases in their electricity and gas rates in conjunction with each other. Thirteen separate gas price increases were announced by suppliers throughout 2022.

Domestic Dual Fuel Prices

In December 2022 the following suppliers offered dual fuel plans with price discounts for domestic customers that avail of both services from the same supplier.

Electric Ireland offered the cheapest dual fuel annual average bill at the end of 2022. From June 2022 to December 2022 the average annual dual fuel bill ranged across suppliers with an increase of between 29% and 56%.

Dual Fuel Estimated Annual Bills				
	June 2022	December 2022	Change	% Change
Bord Gáis Energy	€ 3,066	€ 4,170	€ 1,104	36%
Electric Ireland	€ 2,575	**€ 4,013**	€ 1,438	56%
Energia	€ 3,155	€ 4,131	€ 976	31%
Flogas	€ 4,243	€ 5,665	€ 1,422	34 %
PrePay Power	€ 3,193	€ 4,131	€ 938	29%
SSE Airtricity	€ 2,943	€ 4,088	€ 1,145	39%

Table 7: Highest Discounted Dual Fuel Estimated Annual Bills

[6] It should be noted that some discounted plans offered by suppliers (including some of the best discounted plans presented here) are only available to new customers.

6.3 Estimated Annual Bills Over Time

Multiple price increases were announced by almost every supplier over the course of 2022. The price increases announced were generally higher on gas unit rates than electricity unit rates, with gas increases being as high as 47% in certain price increases.

The figures below show EABs across suppliers' standard plans, best available discount plans and best dual fuel plans in electricity and gas over the last five years.

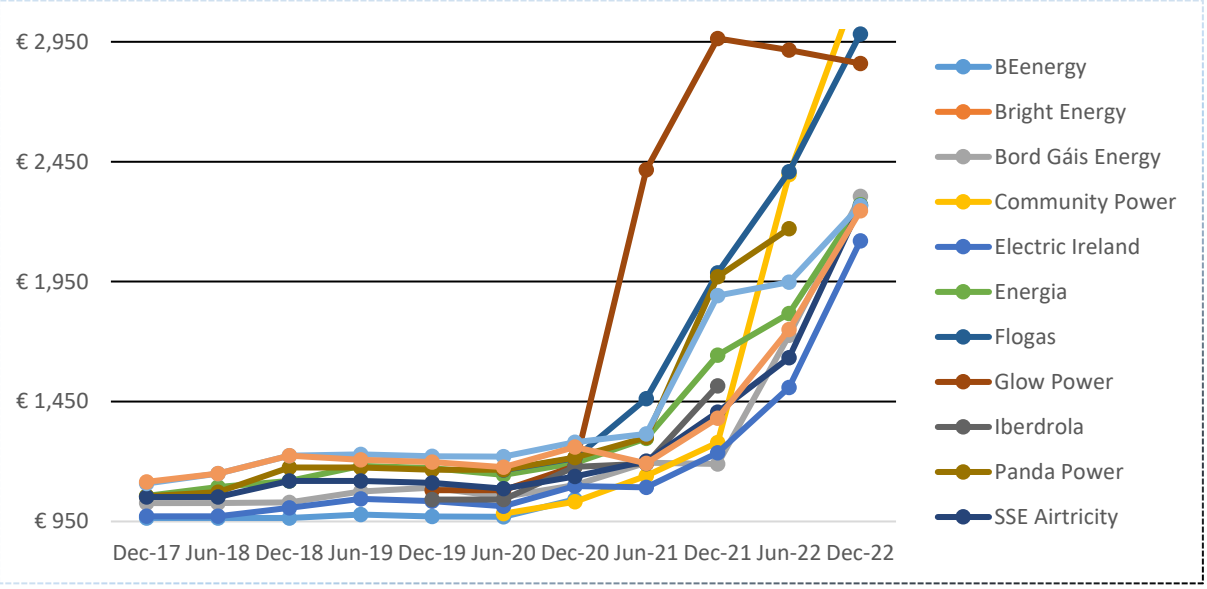


Figure 19: Standard Domestic Electricity Estimated Annual Bills per Supplier

At the end of 2022, the cheapest standard electricity plan was offered by Electric Ireland and the most expensive by Community Power, while in gas the cheapest standard plan was offered by SSE Airtricity and the most expensive by Flogas.

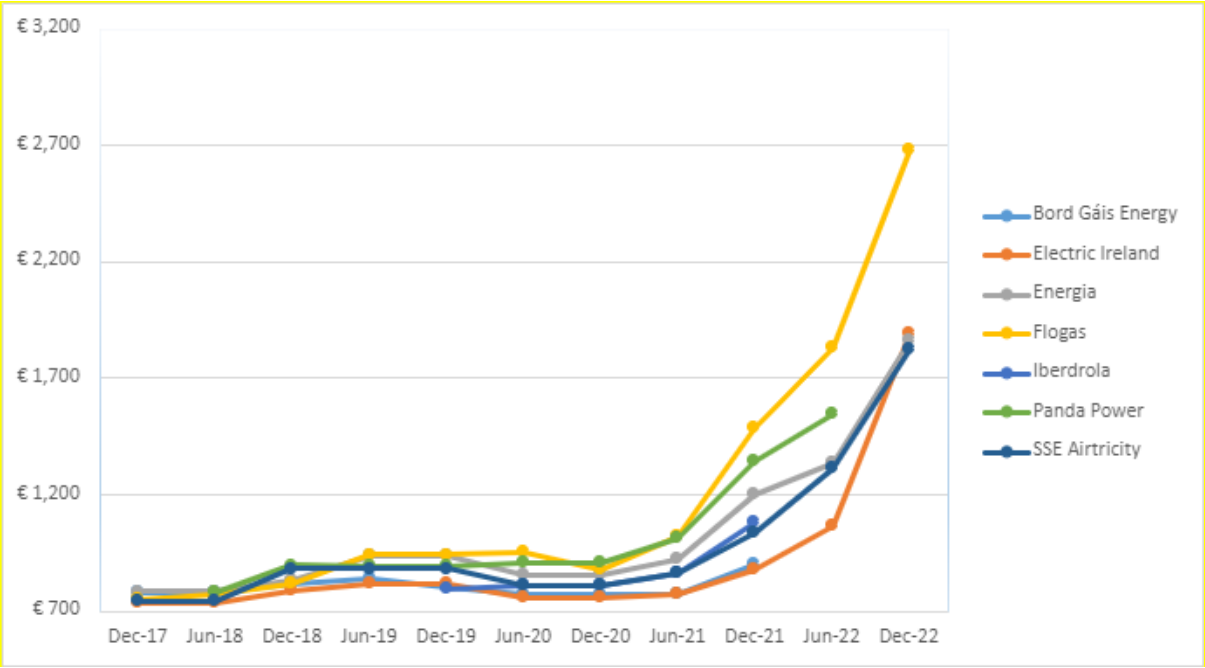


Figure 20: Standard Domestic Gas Estimated Annual Bills per Supplier

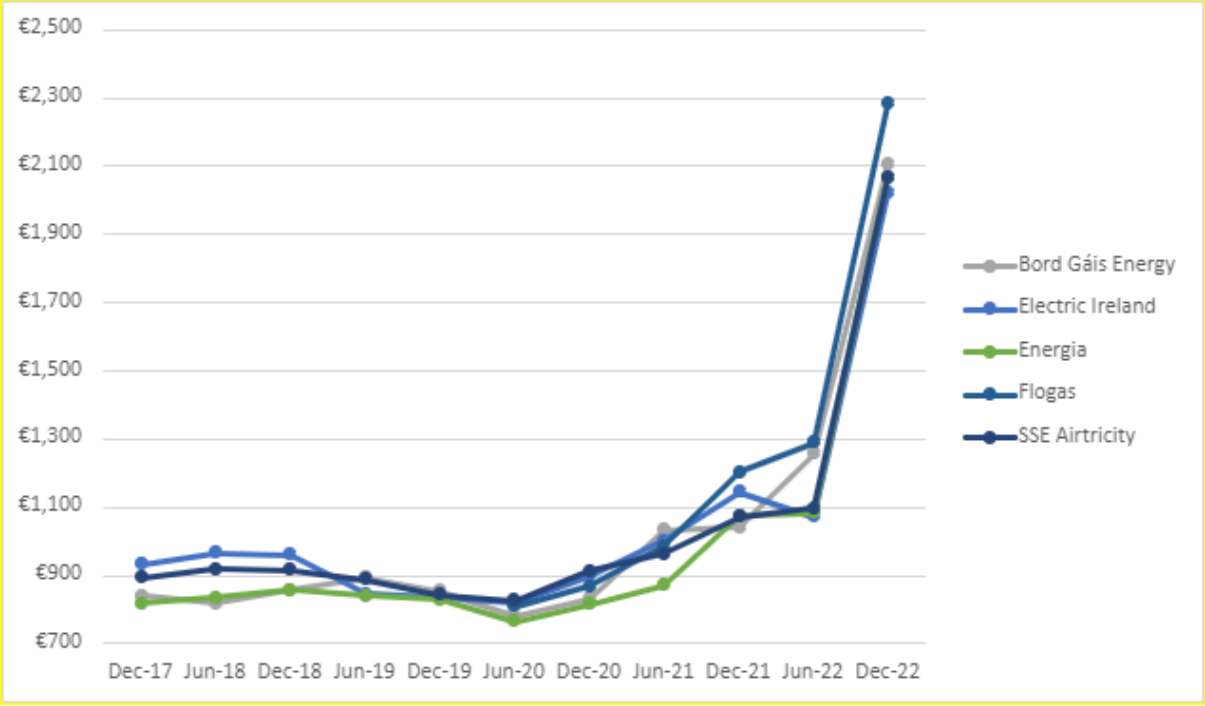


Figure 21: Most Competitive Discount Domestic Electricity Estimated Annual Bills per Supplier

The most competitive discount electricity plan at the end of 2022 was offered by Electric Ireland and the most expensive by Flogas, while the most competitive discount gas plan was offered by SSE Airtricity and the most expensive was offered by Flogas.

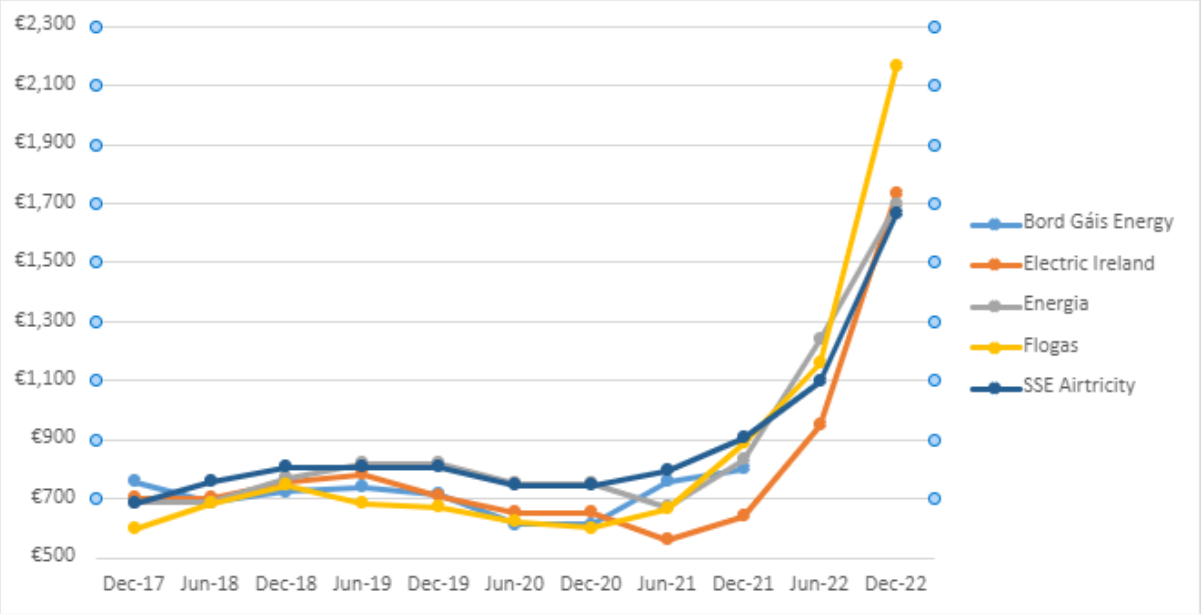


Figure 22: Most Competitive Discount Domestic Gas Estimated Annual Bills per Supplier

6.4 Electricity and Gas Prices in a European Context

The Sustainable Energy Authority of Ireland (SEAI) publishes data on electricity and gas prices in Ireland, the Euro Area, and the EU-28 on a bi-annual basis. The analysis uses data published by Eurostat in a particular semester (Jan – June and July – December). The figures in their reports show the average price per customer group (Domestic and Non-Domestic Electricity and Gas) across all consumption bands in the Euro Area and the EU-28 and the weighted average across all consumption bands in Ireland.

At the time of publication of this document the Semester 2 report for 2022 was not yet published. Further information can be found on the SEAI website here.

6.5 Correlation of wholesale and retail electricity prices

Electricity suppliers in Ireland buy electricity in the Single Electricity Market (SEM) at different timeframes. Electricity can be traded from over a year to one month ahead of the trading day, and from one day ahead of the trading day up to shortly before real-time. The price at which suppliers purchase their electricity on the SEM has a very big influence over the eventual retail price that customers pay.

The below graph tracks the price increases noted in the wholesale electricity market (using the monthly average day-ahead market price in the SEMOpx) and the retail electricity market (using the change in average EAB, weighted by suppliers' market share). Extreme price volatility occurred in the wholesale electricity market in both 2021 and 2022, yet suppliers' hedging strategies largely

protected customers from the worst of these increases. However, by the end of 2022 the weighted average EAB was over double what it had been at the beginning of 2021.

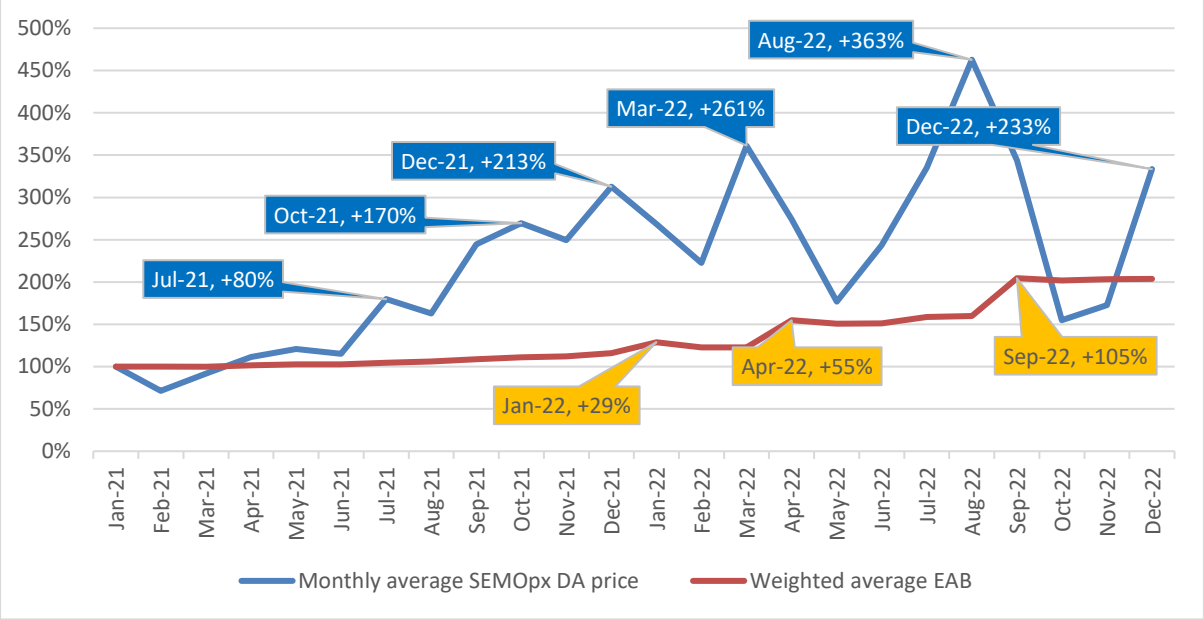


Figure 23: Correlation of the increases in the wholesale and retail electricity markets

7. Wholesale Energy Prices

One of the primary components of final retail energy prices is the cost of wholesale energy. As the Irish electricity fuel mix is highly dependent on gas, the wholesale gas price is a major factor in determining final retail electricity prices. The cost of wholesale gas also makes up a considerable percentage of the final retail gas price.

7.1 Wholesale Gas Prices

The wholesale price of gas in Ireland is set by reference to the wholesale price at the trading hub in Britain, set with reference to the British trading hub known as the National Balancing Point (NBP) plus the cost of transport to Ireland via the interconnectors.

As gas is sold for delivery at different times, suppliers develop hedging strategies which aim to increase longer term price certainty and helps to protect against unfavourable market trends. Different contract terms vary and can include Seasons Ahead, Month Ahead, Day Ahead and Within Day wholesale gas products. Wholesale gas prices are set in Sterling and gas at the NBP is sold in pence/therm. Therefore, Euro/Sterling currency fluctuations influence Euro wholesale gas prices in Ireland.

The figure below shows the change in average monthly day ahead (DA) gas prices over time at the NBP. It also shows the average price across each year between 2012 and 2022.

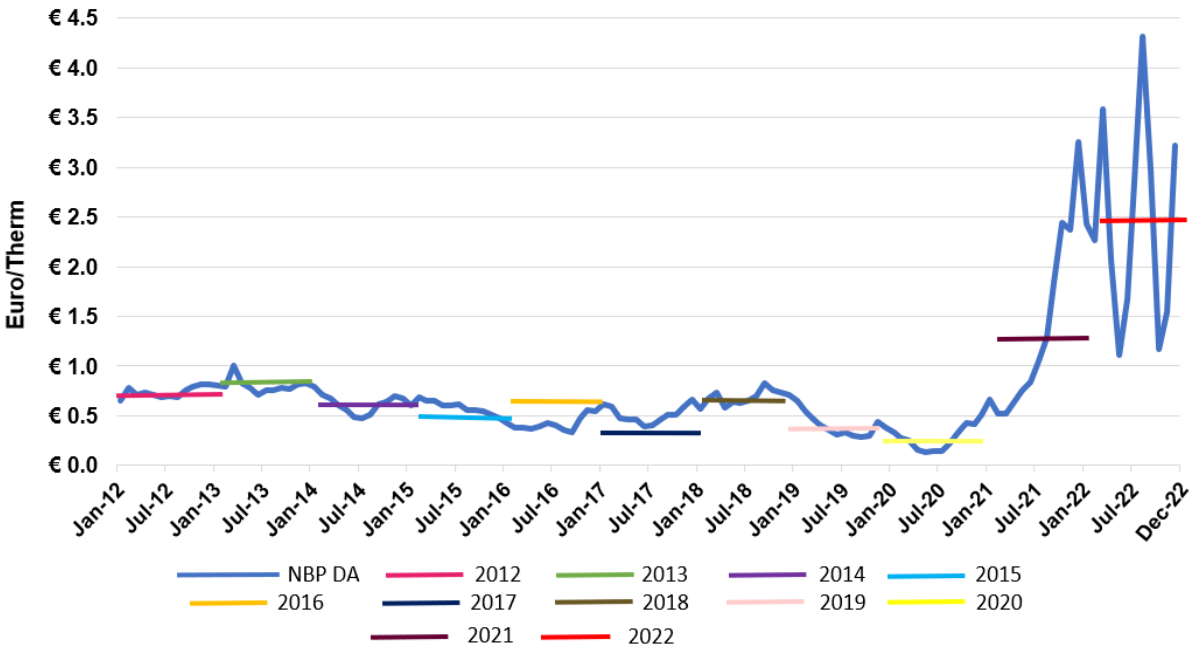


Figure 24: NBP Day Ahead Gas, €/therm, 2012 – 2022

On average, the day ahead price declined from 2013 to 2016 but increased in 2017 and further in 2018, before falling again in 2019 and in the first half of 2020. In 2021, the average day ahead price increased significantly and was over 380% higher in comparison to the average price for 2020. In 2022, unprecedented market developments occurred, and a highly volatile gas price trend was observed. The average price of day ahead gas in 2022 was 2.45 €/th, over 80% higher compared to the average 2021 price of 1.36 €/therm and over seven times higher (774%) compared to the 2020 average price of 0.28 €/therm.

7.2 Wholesale Electricity Prices

The wholesale electricity market on the island of Ireland is jointly regulated by the CRU and the Utility Regulator (UR) and is known as the Single Electricity Market (SEM). New market arrangements for SEM went live on 1st October 2018 and introduced multiple markets or auctions, each spanning different trading time frames, with separate (although related) clearing and settlement mechanisms, covering both energy and non-energy commodities. Suppliers buy electricity in the SEM at different timeframes. Electricity can be traded from over a year to one month ahead of the trading day, and from one day ahead of the trading day up to shortly before real-time.

The figure below shows the average monthly price of electricity and average price of electricity across each year in the SEM between 2012 and 2022. With the new wholesale market arrangements going live on 1st of October 2018, the all-island System Marginal Price (SMP) is considered to be equivalent to the day ahead market price.

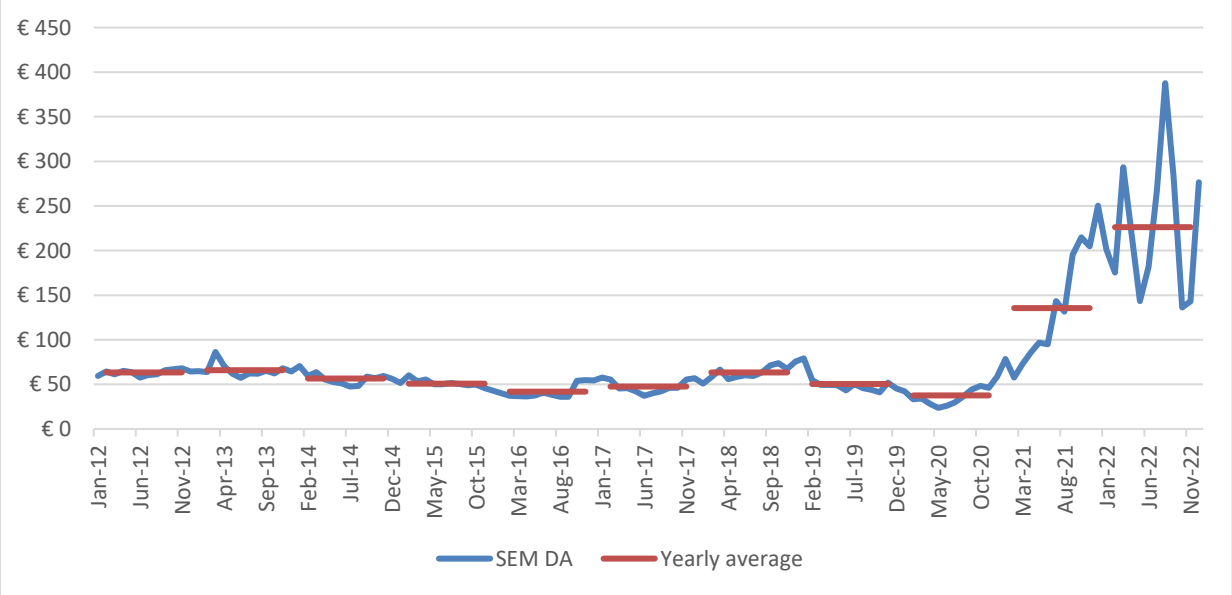


Figure 25: Wholesale Electricity Price, €/MWh, 2012 – 2022

On average, the average wholesale electricity price declined from 2013 to 2016 but increased in both 2017 and 2018, before falling again in 2020. 2021 and 2022 have seen very sharp increases in the cost of wholesale electricity due to unprecedented market developments. The average price in 2022 was €226/MWh, compared to €136/MWh in 2021 and €38/MWh in 2020. The average price of electricity for 2022 was 68% higher than the average price for 2021 and 507% higher than the average price in 2020.

7.3 Correlation of Wholesale Gas and Wholesale Electricity Prices

As a large proportion of electricity is generated from natural gas there is a noticeable correlation between wholesale natural gas prices and wholesale electricity prices. The graph below shows that there is a common price trend between the NBP day ahead gas price and the all-island Single Electricity Market (SEM) Day Ahead (DA) Market electricity price. There is also a relationship between prices and the forecast level of wind at the day-ahead stage, with periods of high wind associated with a reduction in Day Ahead Market prices.

In 2022, the average price of wholesale electricity was over five times higher (507%) compared to 2020 and over 68% higher compared to 2021. The significant increase in the price and volatility of wholesale electricity prices in 2022 can be attributed to the unprecedented increase in commodity prices, in particular gas prices, during the period as a result of developments in global markets. In the first quarter of 2022, wholesale electricity prices in the day ahead market were over two times higher (221%) compared to the same period in 2021. In the third quarter of 2022, the average price of wholesale electricity was €315.52/MWh, over 100% higher compared to the same period in 2021.

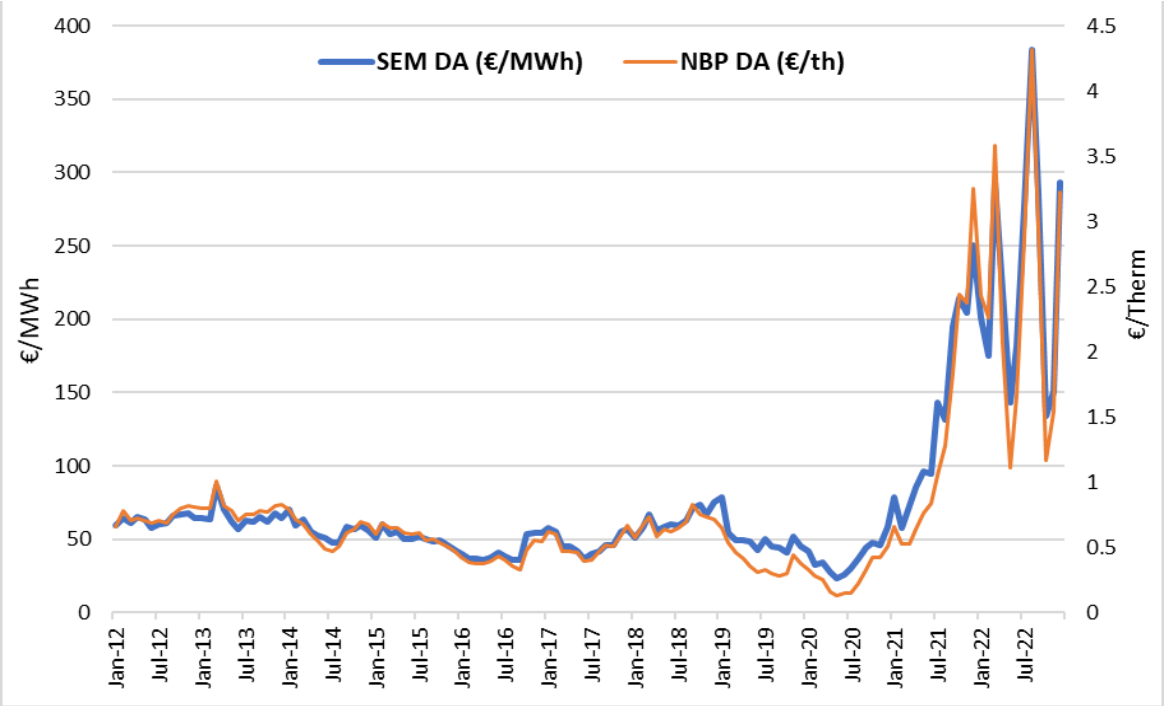


Figure 26: Correlation between monthly SEM wholesale electricity price and NBP wholesale gas price, 2012 – 2022

SECTORAL DEVELOPMENTS

8. Energy Market Developments

Summary of Section

- This section provides information on market developments that took place in 2022.
- There were no new entrants to the energy markets in 2022.
- Three suppliers exited the market under the CRUs Supplier of Last Resort (SoLR) framework.
- There were 9 active suppliers in the domestic electricity market and 6 active suppliers in the domestic gas market, while 6 suppliers offered dual fuel.

8.1 Active Suppliers

Since price deregulation, a number of new suppliers have entered the market. Those with a market share above 1% are reported on by the CRU through market monitoring. In 2022, there were no new entrants in the gas and electricity markets.

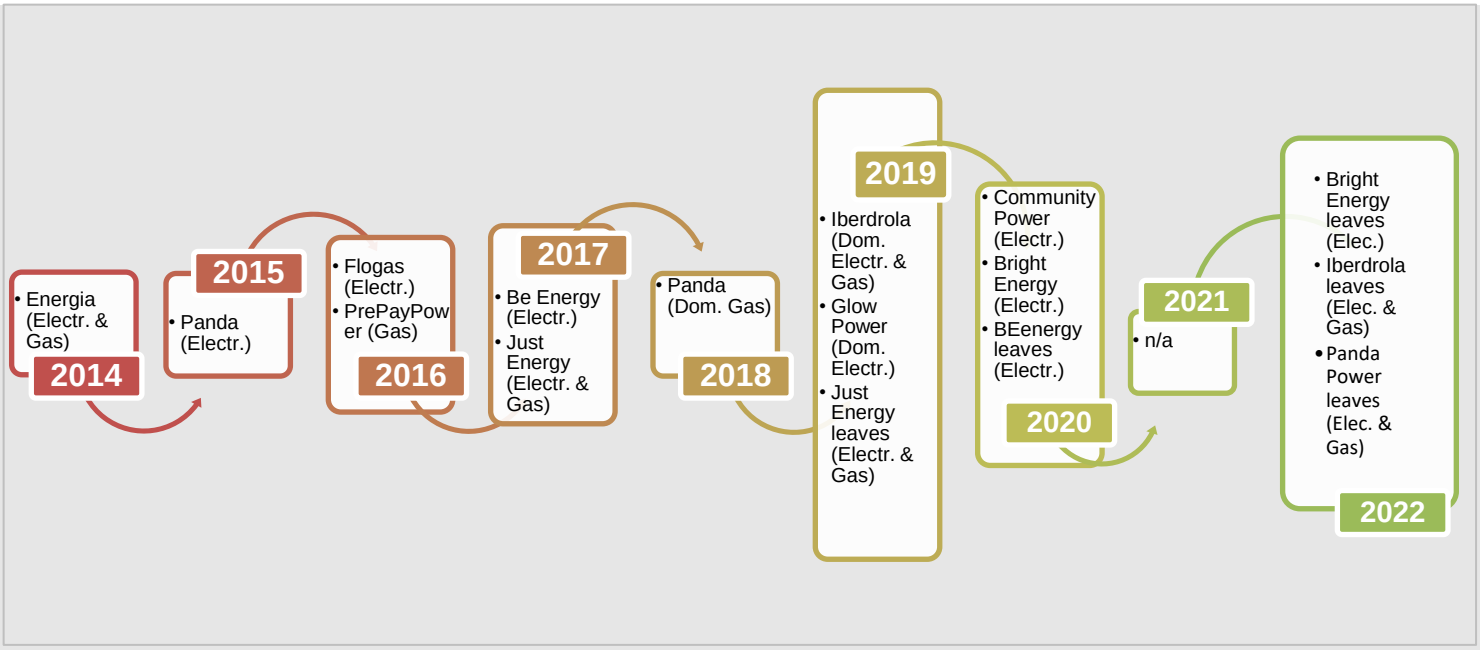
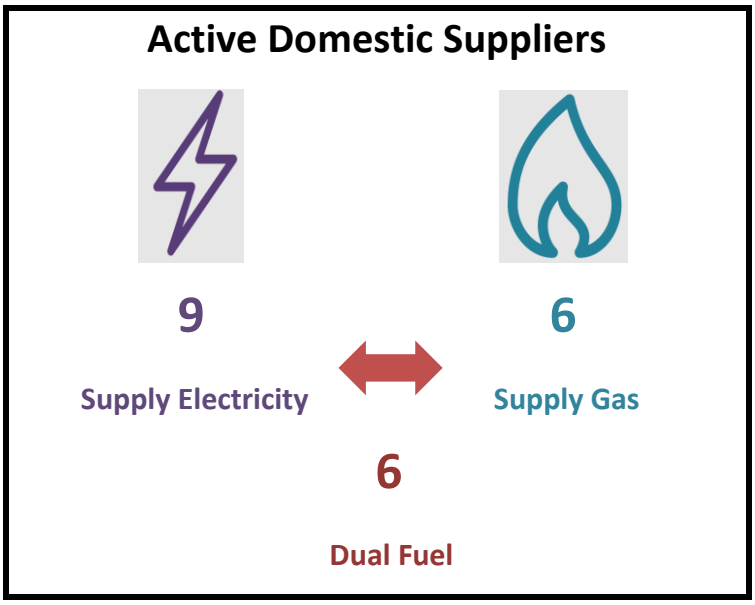


Figure 27: Market Developments 2014-2022



Suppliers in the electricity and gas retail markets in 2022 are identified in the table below, along with an indication of which markets they are active in. The suppliers below represent suppliers actively seeking customers.

	Domestic Electricity	Non-Domestic Electricity	Domestic Gas	Non-Domestic Gas
Bord Gáis Energy	√	√	√	√
Community Power	√	√	X	X
Electric Ireland	√	√	√	√
Energia	√	√	√	√
Flogas	√	√	√	√
Glow Power	√	X	X	X
Go Power	X	√	X	X
Pinergy	√	√	X	X
PrePay Power	√	√	√	√
SSE Airtricity	√	√	√	√

Table 8: Active markets by supplier in 2021

8.1 Market Exits

Supplier of Last Resort (SoLR)

During 2022, the CRU had to initiate the Supplier of Last Resort (SoLR[7]) process in order to ensure continuity of supply for thousands of electricity and gas customers. The SoLR forms part of the CRU's customer protection framework. It ensures that if an electricity or gas supplier leaves the retail market, a customer's supply will continue. A SoLR is required because from time to time, companies in competitive markets fail. Gas and electricity are regarded as essential services, it is for this reason that the CRU, in conjunction with other bodies, where appropriate, takes all reasonable steps to address the consequences of a supplier failing.

A SoLR designation has been given to both Electric Ireland for electricity customers and to Bord Gais Energy for gas customers. The SoLR designation is specifically intended to ensure continuity of universal service where a customer's chosen supplier ceases, or fails, to supply a customer with electricity or gas in line with their contractual obligations. The SoLR process will be initiated on the issuing of a direction by the Commission. The SoLR shall be responsible for affected customers from the date stated in the SoLR direction.

Although the SoLR processes have been in place for over 15 years, last year was the first year that the CRU had to implement these processes. In total, three suppliers exited the ROI retail gas and electricity markets in 2022. These suppliers were Bright Energy, Iberdrola, and Panda Power. This resulted in the successful transfer of approximately 95,000 customers (c.75,000 electricity customers and c.20,000 gas customers) to the respective gas and electricity SoLRs.

[7] In accordance with the Energy (Miscellaneous Provisions) Act 2006, the Commission for Regulation of Utilities (CRU) may direct the Supplier of Last Resort (SoLRs) to step in and take over the supply of another licensed supplier in certain circumstances. In 2006, the Commission designated Electric Ireland (EI) as the SoLR for electricity, and Bord Gáis Energy (BGE) as the SoLR for gas. These designations remain in place

9. Electricity Market

Summary of Section

- This section contains market share data for the main electricity suppliers in Ireland. Data is presented in terms of actual customer numbers and consumption (in MWhs) for 2022.
- At the end of 2022, Electric Ireland had the largest share in the domestic electricity market segment, with 48.7% of the market in terms of consumption. This was followed by Bord Gáis Energy with 16.9 %, SSE Airtricity with 11.6%, Energia with 11%, PrePay Power with 7.2%, Panda Power with 1.6% and Pinergy with 1.1%.
- In the non-domestic markets Electric Ireland remained the largest electricity supplier in terms of consumption in the small business medium business and Large Energy User (LEU) market segments in 2022.

The electricity market is comprised of four different market segments: Domestic, Small-sized business, Medium-sized business, and Large energy users (LEU).

The total number of customers in the electricity market at the end of 2022 was 2,485,709 and total consumption for the year was 29,507,671 MWh. This represents an increase of customer numbers of 0.9% and an increase of consumption of 1.1% overall compared to 2021.

In the electricity market there is a range of both very large and very small suppliers. Those that represent at least a 1% share of consumption are reported separately in each specific market. It is worth noting that in electricity, the ‘others’ category in some segments includes data on ‘suppliers’ that are not necessarily active in the electricity retail market, i.e. they are self-suppliers, or they only have very few sites. The activity of these companies generally does not have a significant impact on overall trends. Nonetheless, some ‘suppliers’ not active in the retail market with only one/two sites may generate a relatively high proportion of MWhs within the ‘Others’ category.

	Q1 2022	Q2 2022	Q3 2022	2022	2021	% change between 2021-2022
Domestic	2,184,546	2,201,083	2,217,975	2,191,825	2,175,056	0.8%
Small Business	186,816	188,966	190,084	187,719	186,499	0.7%
Medium Business	101,691	102,456	103,181	104,051	106,089	-1.9%
LEUs	2,063	2,074	2,088	2,114	1,956	8.1%
Total Electricity	2,475,116	2,494,579	2,513,328	2,485,709	2,464,600	0.9%

Table 9: Electricity Customer Numbers 2021 – 2022

The table below shows the level of consumption in each market segment. The decrease in domestic consumption may be due to people returning to offices after the Covid-19 restrictions, as well as people curbing energy use in light of price increases.

Electricity Consumption (MWh)							
	Q1 2022	Q2 2022	Q3 2022	Q4 2022	2022	2021	% change between 2021-2022
Domestic	2,567,367	2,026,985	1,865,492	2,350,738	8,810,582	9,380,888	-6.1%
Small Business	950,889	793,330	773,851	889,627	3,407,697	3,298,410	3.3%
Medium Business	1,007,645	929,809	953,283	1,011,396	3,902,133	3,676,643	6.1%
LEUs	3,287,090	3,229,401	3,468,818	3,414,975	13,387,259	12,825,969	4.4%
Total Electricity	7,812,991	6,979,525	7,061,444	7,666,736	29,507,671	29,181,930	1.1%

Table 10: Electricity Consumption (MWh) 2021 – 2022

9.1 Domestic Electricity Market Share

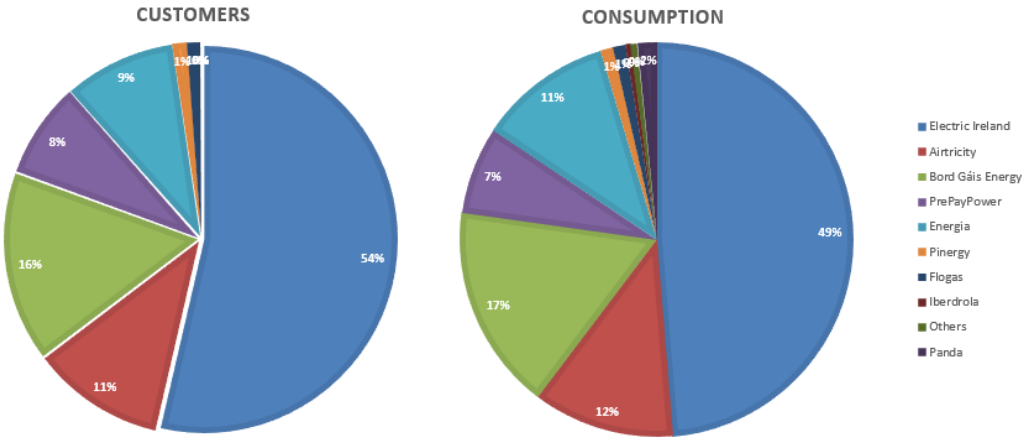


Figure 28: Domestic Electricity Market Share (%)

At the end of 2022, Electric Ireland had the largest share in the domestic electricity market segment, with 48.7% of the market in terms of consumption. This was followed by Bord Gáis Energy with 16.9%, SSE Airtricity with 11.6%, Energia with 11%, PrePay Power with 7.2%, Panda Power with 1.6% and Pinergy with 1.1%.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Electric Ireland	1,125,241	1,151,457	1,153,095	1,175,277	1,215,609	977,464	915,093	1,181,744	4,289,910
SSE Airtricity	226,749	228,040	246,933	242,896	290,360	232,655	217,284	284,141	1,024,439
Bord Gáis Energy	347,354	336,764	349,638	347,011	431,343	342,669	315,306	398,360	1,487,678
PrePay Power	166,294	168,843	171,129	173,724	176,607	146,503	138,561	172,432	634,103
Energia	202,943	209,001	209,055	202,563	288,627	217,898	198,861	261,963	967,349
Pinergy	25,523	25,413	25,743	26,490	29,715	20,992	18,111	24,963	93,780
Panda	47,711	43,159	40,582	10	61,316	41,808	33,923	30	137,076
Flogas	20,266	17,889	20,154	22,294	28,800	19,593	17,746	24,495	90,633
Iberdrola	19,790	18,511	0	0	24,851	14,634	0	0	39,485
Others	2,676	2,006	1,646	1,560	20,139	12,771	10,608	2,611	46,129
Total	**2,184,546**	**2,201,083**	**2,217,975**	**2,191,825**	**2,567,367**	**2,026,985**	**1,865,492**	**2,350,738**	**8,810,582**

Table 11: Number of sites and MWhs per supplier

The graph below shows the trend in market share from 2009 to 2022 in terms of consumption. Electric Ireland's market share decreased between 2009 and 2021, although it has rebounded slightly in 2022. It fell just below 50% for the first time in 2017 and remained below the 50% since then. Bord Gáis Energy's consumption share remained steady in 2022, while SSE Airtricity's slightly increased.

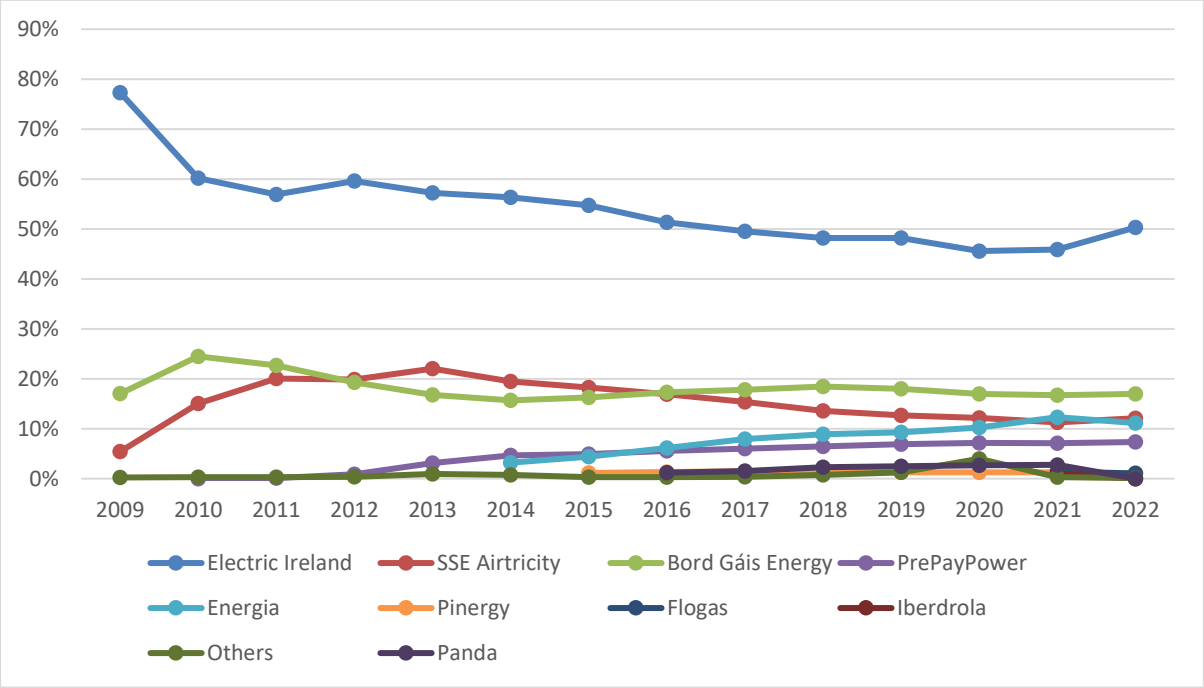


Figure 29: Domestic Electricity Market Consumption Share - Trend (%)

The figure below shows the trends in domestic electricity market share since 2009. It displays that as new suppliers have entered the market, they have gradually increased their market share against the larger suppliers in the market, namely Electric Ireland and SSE Airtricity.

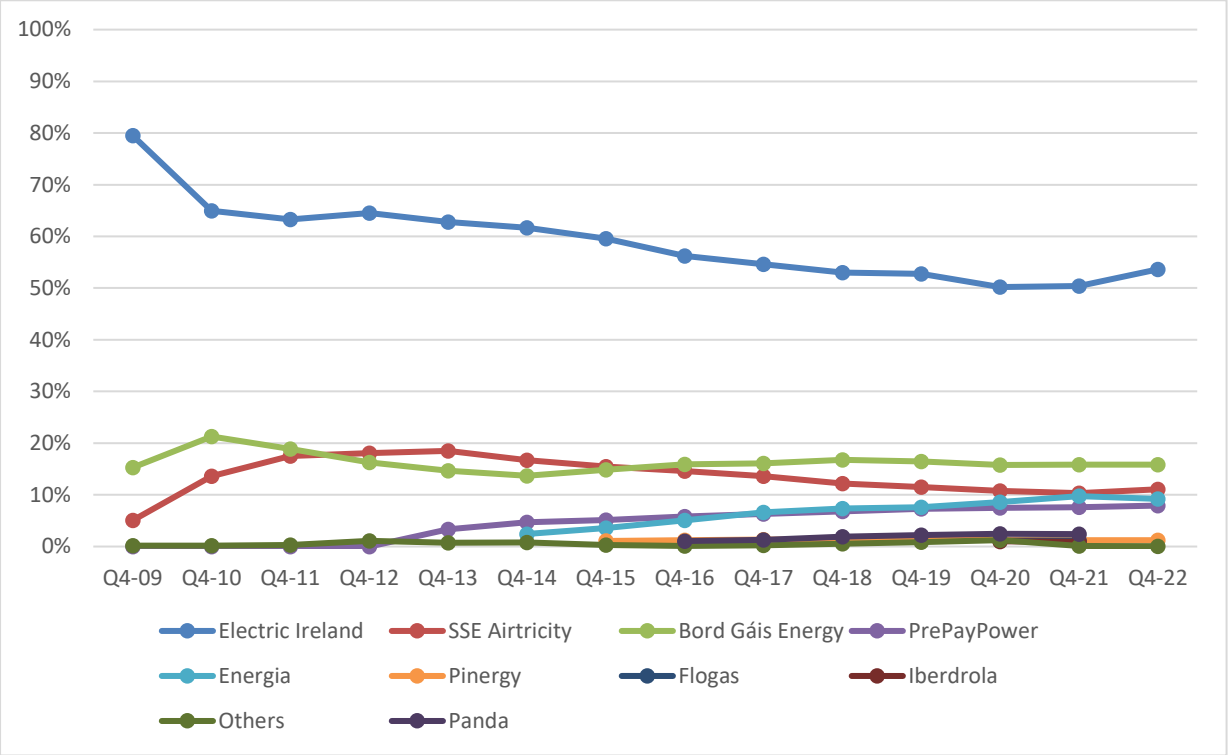


Figure 30: Domestic Electricity Historic Market Share – Customers

9.2 Small-Sized Business Electricity Market Share

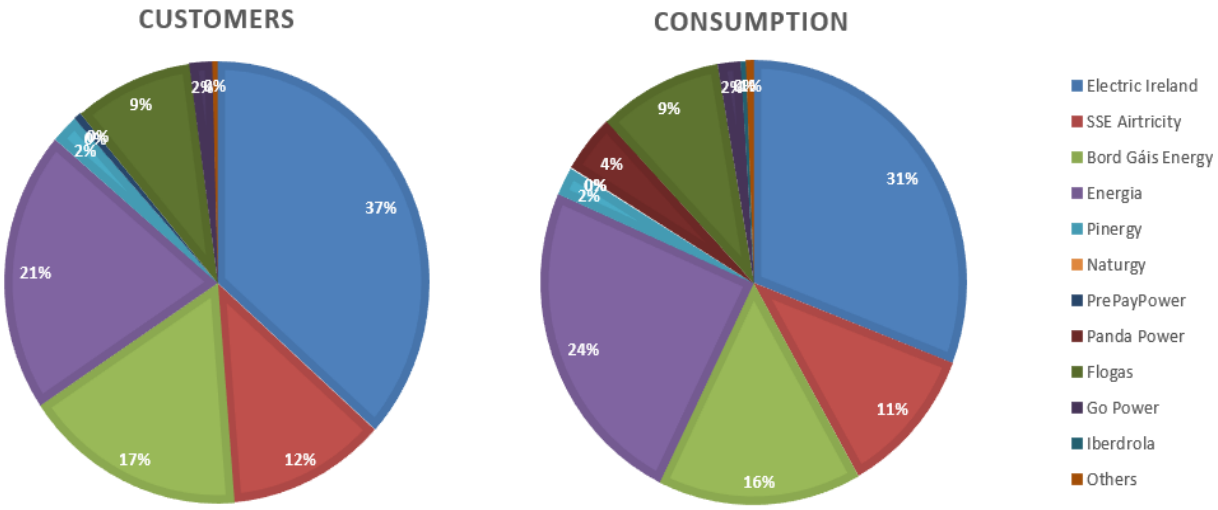


Figure 31: Small-Sized Business Electricity Market Share 2022 (%)

At the end of 2022, Electric Ireland had the largest share in the small business market segment, with 30.91 % of the market in terms of consumption. This was followed by Energia with 24.24 %, Bord Gáis Energy with 15.56 %, SSE Airtricity with 10.92 %, Flogas with 9.35%, Panda Power with 4.24 %, Pinergy with 2.03 % and Go Power with 1.75%.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Electric Ireland	63,016	63,198	61,348	68,749	296,620	242,246	223,297	291,101	1,053,264
SSE Airtricity	21,651	21,432	20,931	22,778	105,215	86,108	82,536	98,151	372,010
Bord Gáis Energy	30,459	31,134	31,990	31,667	104,107	122,071	122,667	141,935	526,780
Energia	38,665	37,807	38,712	38,616	233,771	188,772	185,280	218,182	826,005
Panda Power	11,962	12,073	12,701	19	53,483	43,986	46,729	246	144,444
Flogas	12,036	13,116	15,605	16,895	77,598	69,578	76,631	94,658	318,465
Iberdrola	1,287	1,791	0	0	6,860	7,692	0	0	14,552
Go Power	3,369	3,328	3,388	3,298	16,687	13,440	14,227	15,126	59,480
PrePay Power	960	983	1,046	1,066	1,192	1,013	1,048	1,335	4,588
Pinergy	2,933	3,300	3,491	3,956	15,258	14,310	16,407	23,336	69,311
Others	478	804	872	665	4,098	4,114	5,029	5,556	18,797
Total	**186,816**	**188,966**	**190,084**	**187,719**	**950,889**	**793,330**	**773,851**	**889,627**	**3,407,697**

Table 12: Number of sites and MWhs per supplier

The graph below shows the trend in market share from 2009 to 2022 in terms of consumption. Market shares in this segment have remained fairly steady for the different suppliers over the years.

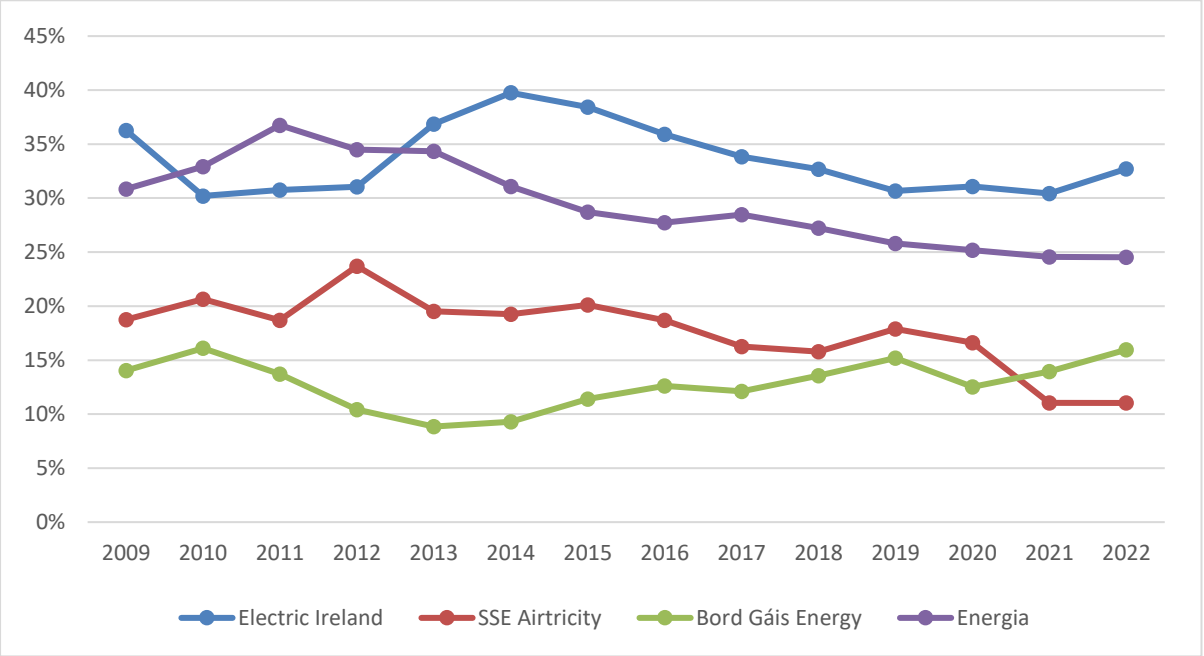


Figure 32: Small-Sized Business Electricity Market Share Consumption Trend (%)

9.3 Medium-Sized Business Electricity Market Share

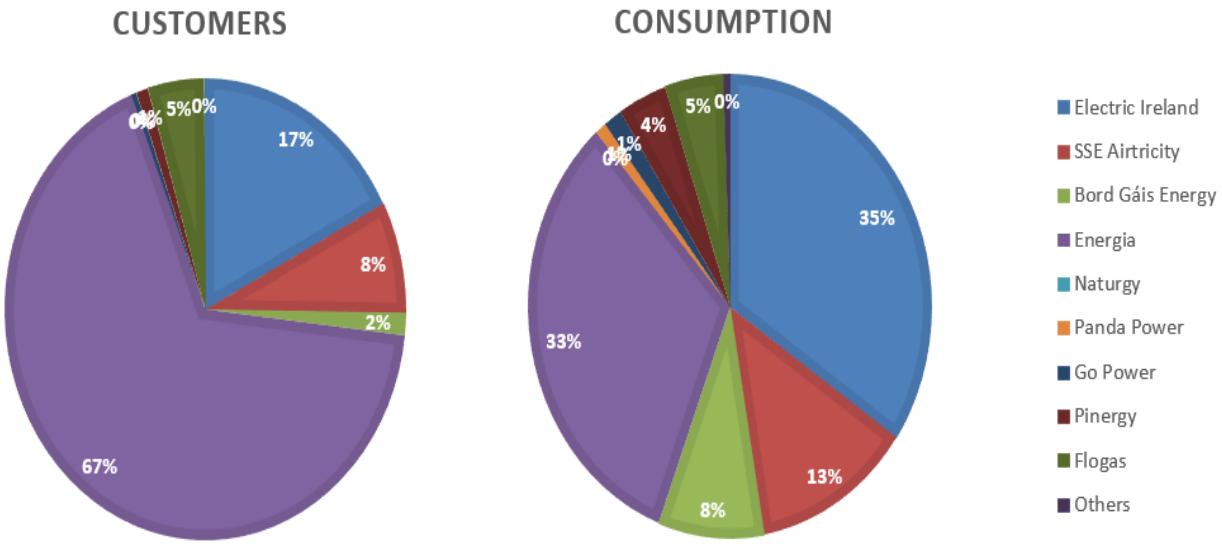


Figure 33: Medium Business Electricity Market Share (%)

At the end of 2022, Electric Ireland had the largest share in the medium business market segment, with 34.57 % of the market in terms of consumption. This was followed by Energia with 32.69 %, SSE Airtricity with 12.72 %, Bord Gáis Energy with 8.48 %, Flogas with 4.68 %, Pinergy with 3.88 %, Go Power with 1.49 % and Panda Power with 0.97 %.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Electric Ireland	18,092	18,152	17,928	18,126	375,056	343,928	315,300	314,835	1,349,119
SSE Airtricity	8,054	8,171	8,127	8,132	120,121	120,548	127,567	128,057	496,293
Bord Gáis Energy	1,302	1,358	1,602	1,630	73,007	71,236	86,477	100,341	331,061
Energia	72,071	72,364	72,190	70,012	336,406	291,601	305,274	342,432	1,275,713
Panda Power	292	290	266	8	13,634	11,912	11,509	784	37,839
Go Power	338	341	406	413	13,584	12,537	15,098	16,738	57,957
Pinergy	531	721	859	963	28,448	32,125	42,474	48,542	151,589
Flogas	932	968	987	4,628	43,525	41,432	44,145	53,329	182,431
Others	79	91	96	139	3,864	4,490	5,439	6,338	20,131
Total	**101,691**	**102,456**	**103,181**	**104,051**	**1,007,645**	**929,809**	**953,283**	**1,011,396**	**3,902,133**

Table 13: Number of sites and MWhs per supplier

The graph below shows the trend in market share 2009 to 2022 in terms of consumption. Electric Ireland experienced a decline in its market share over a number of years following price deregulation of the business market in October 2010, however its market share increased between 2012 and 2015 and remained fairly steady since, despite a slight decline in 2022. SSE Airtricity's market share has decreased following increases between 2017 and 2019. Energia also gained a significant share in this segment with its market share rising to 33%.

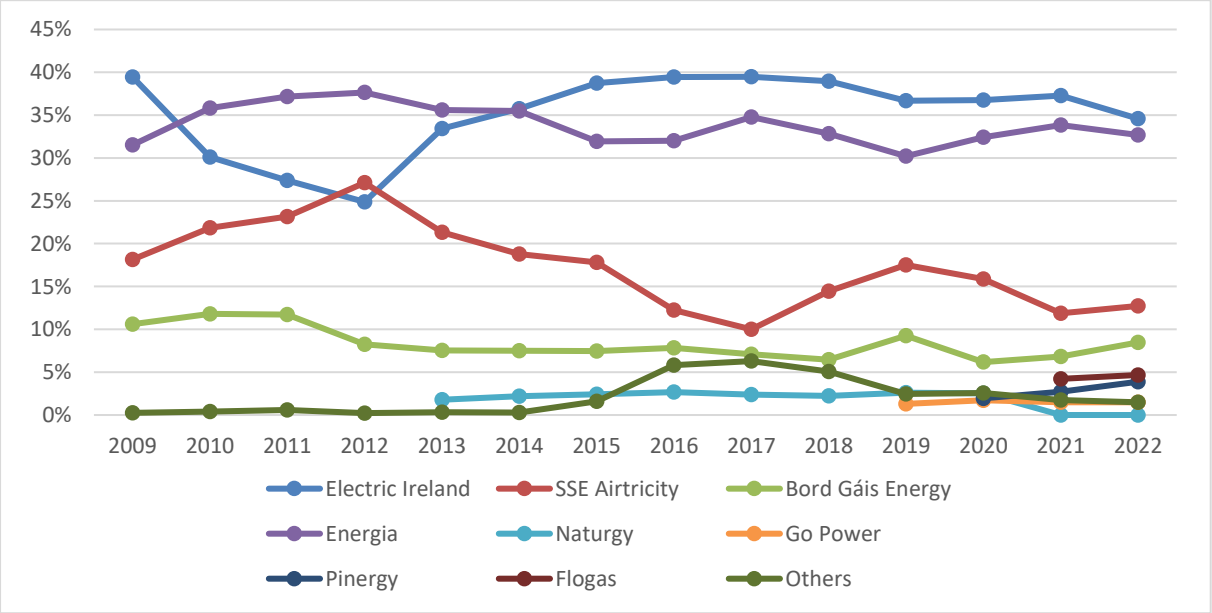


Figure 34: Medium-Sized Business Electricity Consumption - Market Share Trend (%)

9.4 Large Energy Users (LEUs) Electricity Market Share

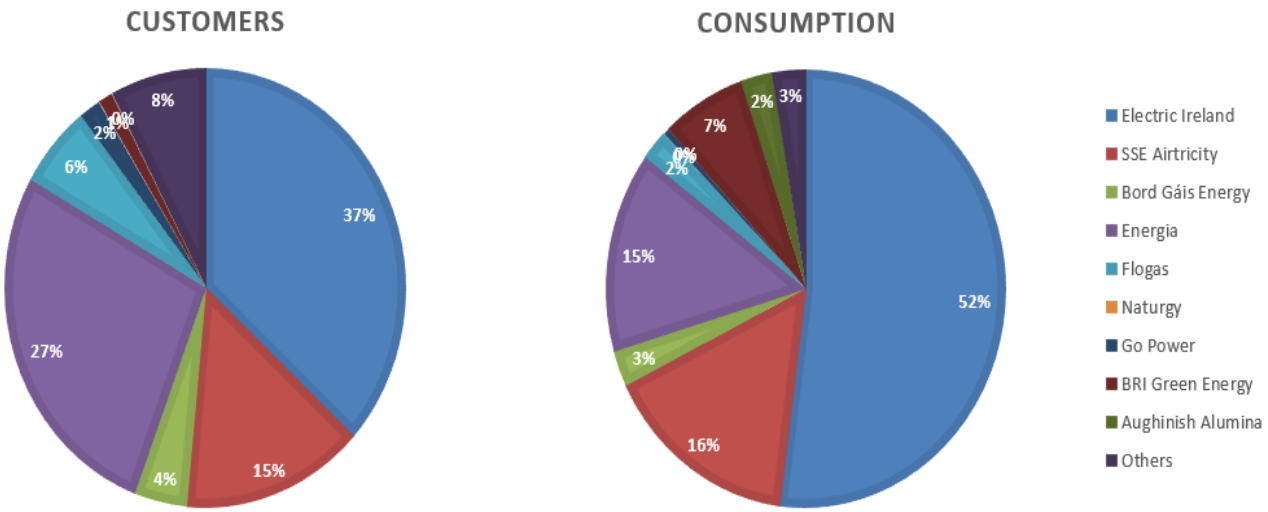


Figure 35: LEU Electricity Market Share (%)

At the end of 2022, Electric Ireland had the largest share in the Large Energy Users (LEU) market segment, with 52.1% of the market in terms of consumption. This was followed by SSE Airtricity with 15.7%, Energia with 14.8%, BRI Green Energy with 6.8%, Bord Gáis Energy with 2.7% and Aughinish Alumina with 2.6%.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Electric Ireland	820	775	789	778	1,724,015	1,757,551	1,764,364	1,726,507	6,972,438
SSE Airtricity	244	262	273	311	508,130	389,747	591,856	606,815	2,096,549
Bord Gáis Energy	141	125	119	90	101,729	92,234	88,859	75,549	358,372
Energia	554	561	581	580	481,217	498,053	521,974	484,822	1,986,066
Flogas	109	111	112	131	66,191	77,576	77,085	80,643	301,495
BRI Green Energy Ltd	23	23	24	24	211,164	218,915	237,778	245,061	912,918
Aughinish	1	1	1	1	91,519	85,929	85,899	80,445	343,792
Others	146	187	157	163	83,673	89,377	79,607	97,289	349,945
Total	**2,063**	**2,074**	**2,088**	**2,114**	**3,283,171**	**3,224,941**	**3,464,172**	**3,414,975**	**13,387,259**

Table 14: Number of sites and MWhs per supplier

The graph below shows the trend in market share from 2016 to 2022 in terms of consumption. Between 2016 to 2021, Electric Ireland and SSE Airtricity have swapped positions on different occasions as the largest supplier, but Electric Ireland have concentrated their position as the largest supplier since.

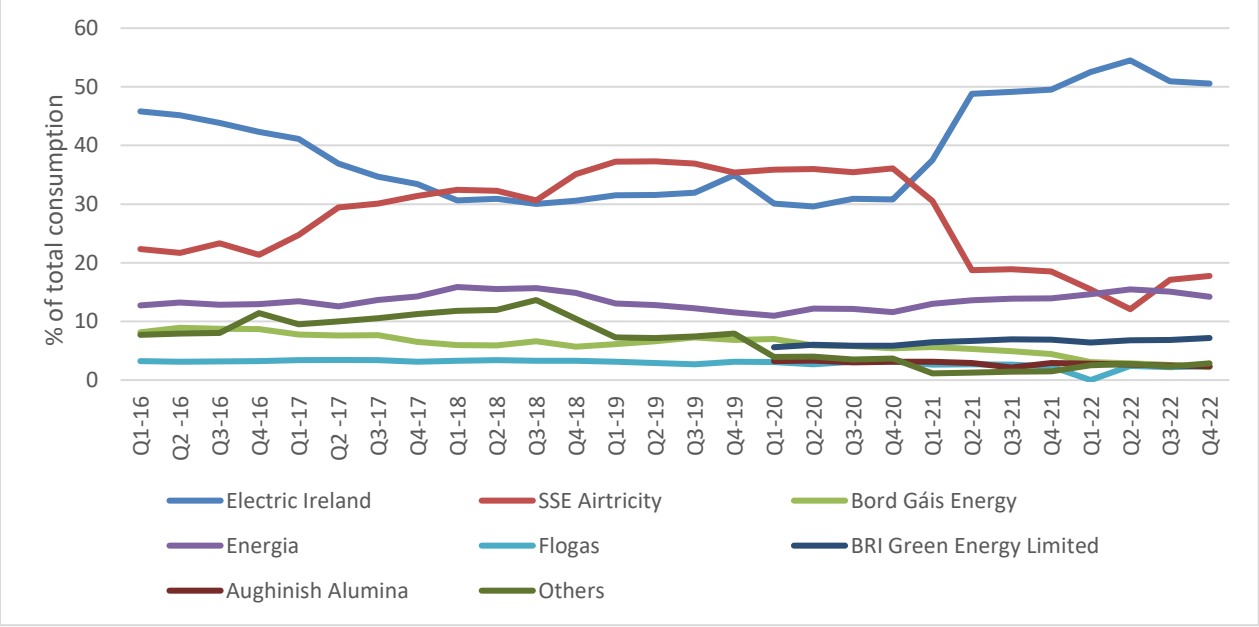


Figure 36: LEUs Market Share Trend (%)

9.5 Electricity Market Concentration

The HHI (Herfindahl-Hirschman Index) is a widely used metric to measure market concentration[8]. The lower the value of the HHI index, the lower the concentration of the market is. With low market concentration, the ability of any market player to exploit market power to the detriment of consumers is reduced and consumers can benefit from competition, innovation, and customer services.

The figure below shows the level of the HHI between 2016 – 2022. There was an increase in the HHI of the domestic market segment noted in 2022 after years of steady decline. Similarly, there was an increase noted in the large business segment in 2022. The increases in the HHI for these market segments were noted due to larger suppliers increasing their market shares in 2022.

In 2022 the HHI was 2,995 for the domestic market segment (compared to 2,685 in 2021), 2,104 for the small business market segment (2,074 in 2021), 2,538 for the medium business market segment (2,754 in 2021), and 3,250 for the large business market segment (2,959 in 2021). According to the European Commission an HHI above 2,000 indicates a highly concentrated market. Even though the HHI has decreased in most market segments over time, it remains above the threshold of 2,000.

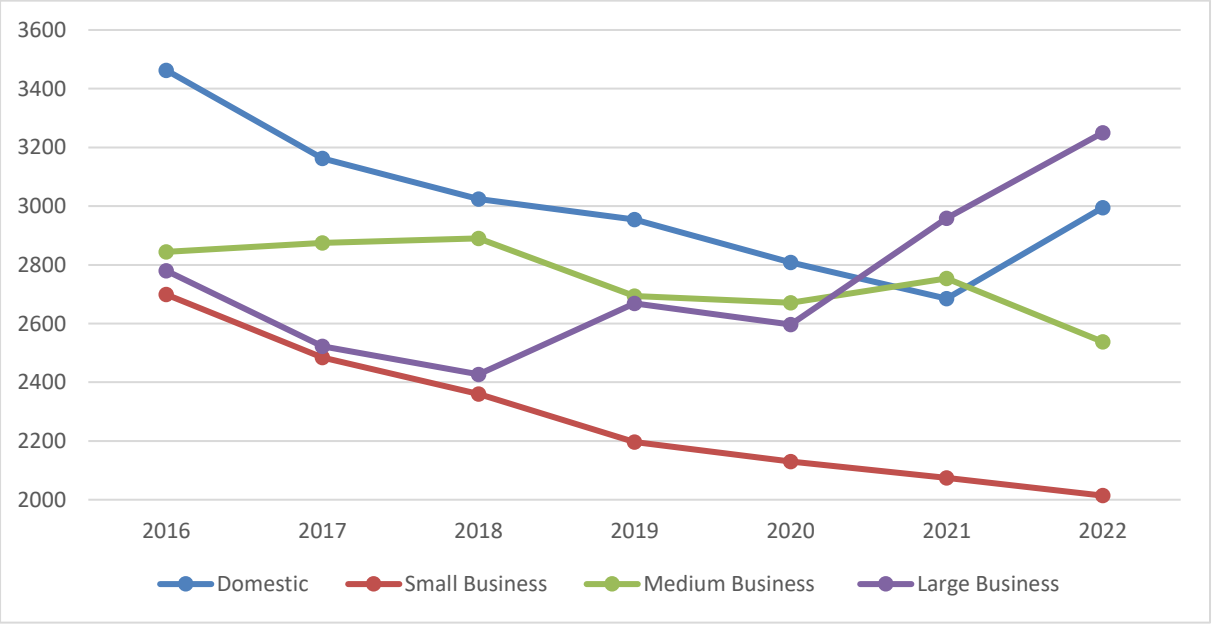


Figure 37: HHI Trends Over Time (2016 - 2022)

[8] The HHI is calculated as the sum of the squares of the market shares of all firms in the market, or the 50 largest firms if applicable. It ranges between 0, for an infinite number of small firms, and 10,000, for one firm with a 100% market share. The European Commission considers an HHI above 2,000 to signify a highly concentrated market.

10. Gas Market

Summary of Section

- This section contains market share data for the main gas suppliers in Ireland. Data is presented in terms of actual customer numbers and consumption (in GWh) for 2022.
- At the end of 2022 Bord Gáis Energy held the greatest market share in the domestic gas market with 42.6% of the market by customer numbers. This was followed by Electric Ireland with 25.9%, SSE Airtricity with 10.8%, Energia with 9.5%, Prepay Power with 8.9% and Flogas with 2.3%.
- In the non-domestic markets Bord Gáis Energy remained the largest supplier in terms of customer numbers in the IC, medium-sized non-domestic gas, DM and LDM gas market segments.

The gas market is comprised of five different market segments: Domestic, Industrial/Commercial (IC), Medium-sized non-domestic gas, Daily Metered (DM) and Large Daily Metered (LDM).

The total number of customers in the gas market at the end of 2022 was 720,502 and total consumption for the year was 20,234 GWh. This represents an increase of customer numbers of 0.4%, but a decrease of consumption of 6.8% overall compared to 2021.

The gas market comprises a range of both very large and very small suppliers. Those that represent at least a 1% share of consumption are reported separately in each specific market.

Gas Customer Numbers							
	Q1 2022	Q2 2022	Q3 2022	Q4 2022	2022	2021	% change between 2021-2022
Domestic	690,875	691,721	692,262	692,931	692,931	689,992	0.4%
IC	25,570	25,505	25,230	25,266	25,266	25,561	-1.2%
Medium-sized non-domestic	1,746	1,756	1,992	1,999	1,999	1,742	14.8%
DM	269	270	271	273	273	269	1.5%
LDM	34	34	34	33	33	34	2.9%
Total Gas	718,494	719,286	719,789	720,502	720,502	717,598	0.4%

Table 15: Gas Customer Numbers 2021 – 2022

The table below shows the level of consumption in each market segment. I The decrease in consumption seen may be due to the higher domestic and non-domestic gas bills as a result of increased wholesale prices.

Gas Consumption (GWh)							
	Q1 2022	Q2 2022	Q3 2022	Q4 2022	2022	2021	% change between 2021-2022
Domestic	3,033	1,175	473	2,162	6,843	7,723	-11.4%
IC	712	366	226	571	1,874	1,925	-2.6%
Medium-sized non-domestic	771	429	302	690	2,192	2,309	-5.3%
DM	1,003	855	699	893	3,450	3,445	0.1%
LDM	1,354	1,690	1,492	1,338	5,874	6,305	-6.8%
Total Gas	6,873	4,515	3,192	5,654	20,234	21,707	-6.8%

Table 16: Gas Consumption (GWh) 2021 – 2022

10.1 Domestic Gas Market Share

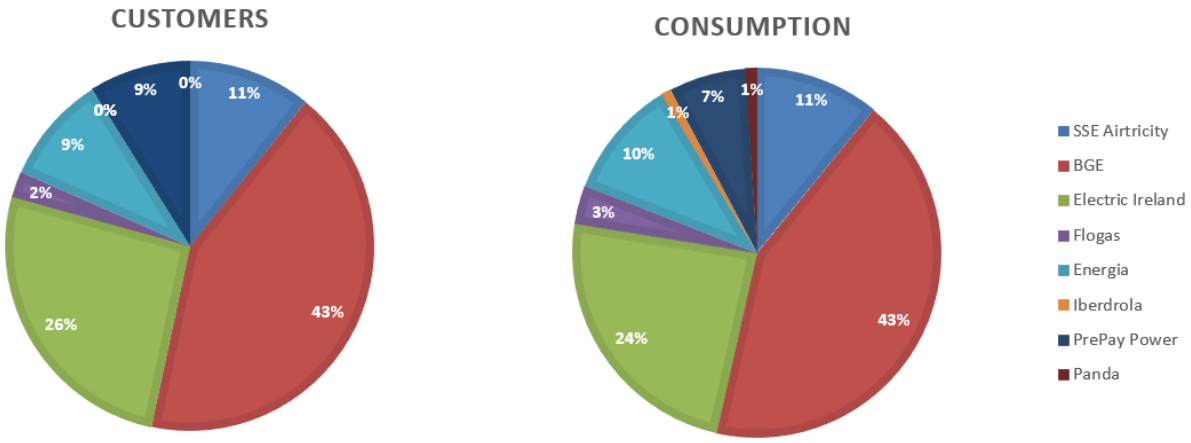


Figure 38: Domestic Gas Market Share (%)

At the end of 2022, Bord Gáis Energy had the largest share in the domestic gas market segment, with 42.6% of the market in terms of customer numbers. This was followed by Electric Ireland with 25.9%, SSE Airtricity with 10.8%, Energia with 9.5%, PrePay Power with 8.9%, and Flogas with 2.3%.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
SSE Airtricity	69,518	69,194	73,906	74,716	324	122	49	250	745
Bord Gáis Energy	285,205	288,613	296,777	295,080	1,292	480	192	954	2,918
Electric Ireland	173,575	180,394	177,265	179,698	699	281	107	554	1,641
Flogas	17,505	15,678	15,552	15,712	91	68	45	27	231
Energia	66,357	68,014	67,192	66,163	331	119	44	226	720
PrePay Power	59,445	60,680	61,570	61,562	200	79	33	151	463
Panda Power	9,800	9,148	-	-	48	17	3	0	68
Iberdrola	9,470	-	-	-	48	9	0	0	57
Total	**690,875**	**691,721**	**692,262**	**692,931**	**3,033**	**1,175**	**473**	**2,162**	**6,843**

Table 17: Number of sites and MWhs per supplier

The graph below shows the market share trends in terms of customer numbers from 2009 to 2021. There has been a significant change in Bord Gáis Energy's market share over time. This is a result of more suppliers entering the market, which has led to greater diversity and choice for Ireland's gas consumers.

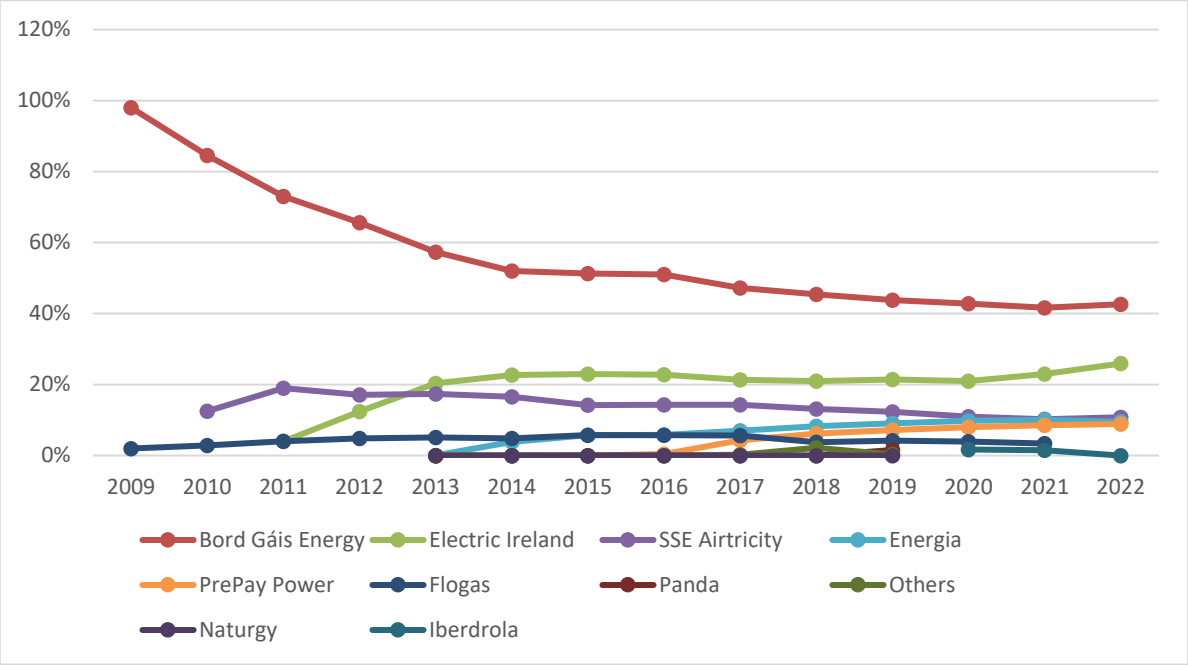


Figure 39: Domestic Gas Market Share (%)

The graph below shows the cumulative change in the domestic gas market share since 2013. It displays that as new suppliers have entered the market, they have gradually increased their market share against the larger suppliers in the market, namely Bord Gáis Energy and SSE Airtricity.

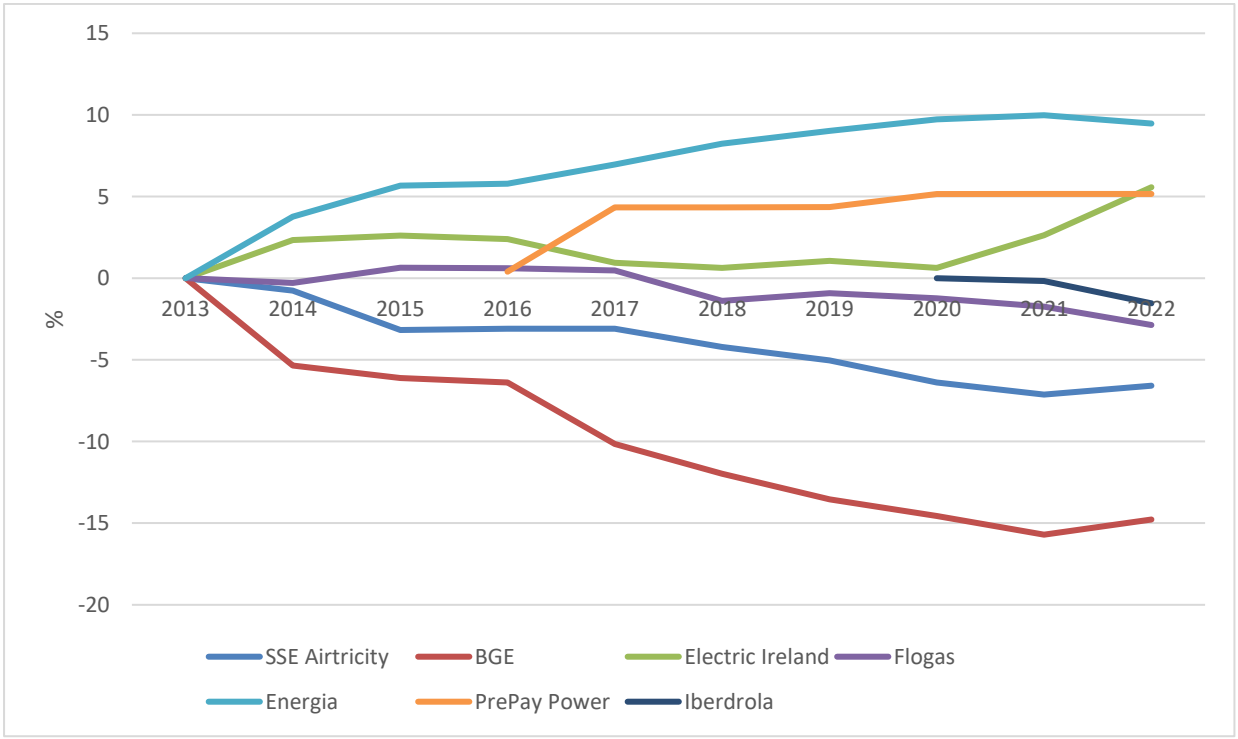


Figure 40: Domestic Gas Cumulative Change in Market Share by Customer Numbers

10.2 Industrial and Commercial (IC) Gas Market Share

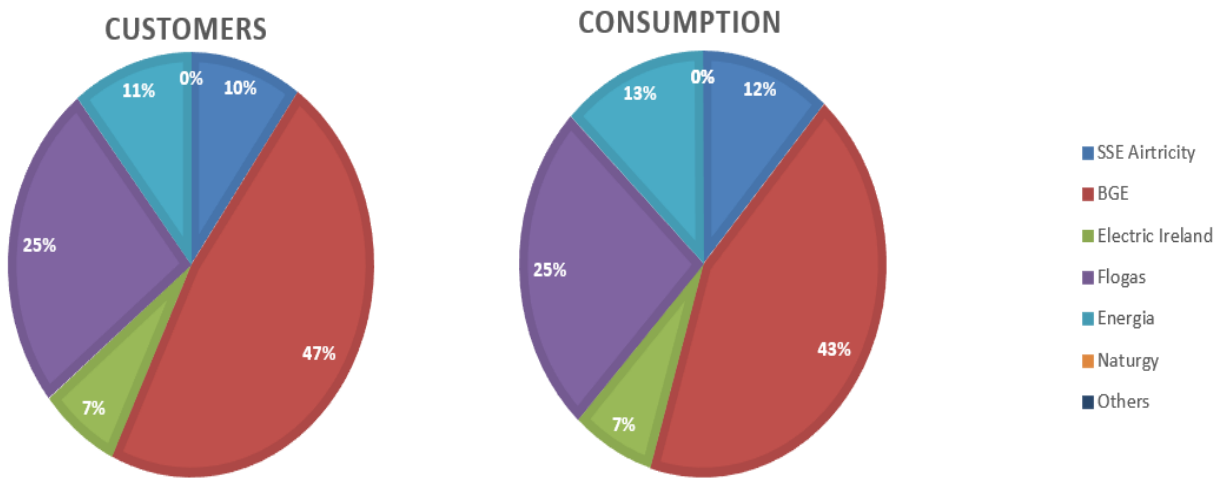


Figure 41: IC Gas Market Share (%)

At the end of 2022, Bord Gáis Energy had the largest share in the IC gas market segment, with 47.27%% of the market in terms of customer numbers. This was followed by Flogas with 25.13%, Energia with 10.67%, SSE Airtricity with 9.89% and Electric Ireland with 7.04%.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Bord Gáis Energy	11,922	11,964	11,948	11,943	304	156	99	251	810
SSE Airtricity	2,485	2,495	2,474	2,500	96	37	13	69	215
Electric Ireland	1,945	1,895	1,822	1,779	52	29	18	37	136
Flogas	6,084	6,138	6,135	6,349	164	94	67	148	473
Energia	3,124	3,004	2,851	2,695	95	49	29	66	239
Others	10	9	0	0	0.59	0.5	0.3	0	1.39
Total	**25,570**	**25,505**	**25,230**	**25,266**	**712**	**366**	**226**	**571**	**1,874**

Table 18: Number of sites and GWhs per supplier

The graph below shows that market share has changed significantly between 2009 and 2022 in terms of customer numbers with Bord Gáis Energy's share falling between 2009 – 2014 and remaining fairly steady since. During the period other suppliers have gained a significant share of the market, increasing the level of competition.

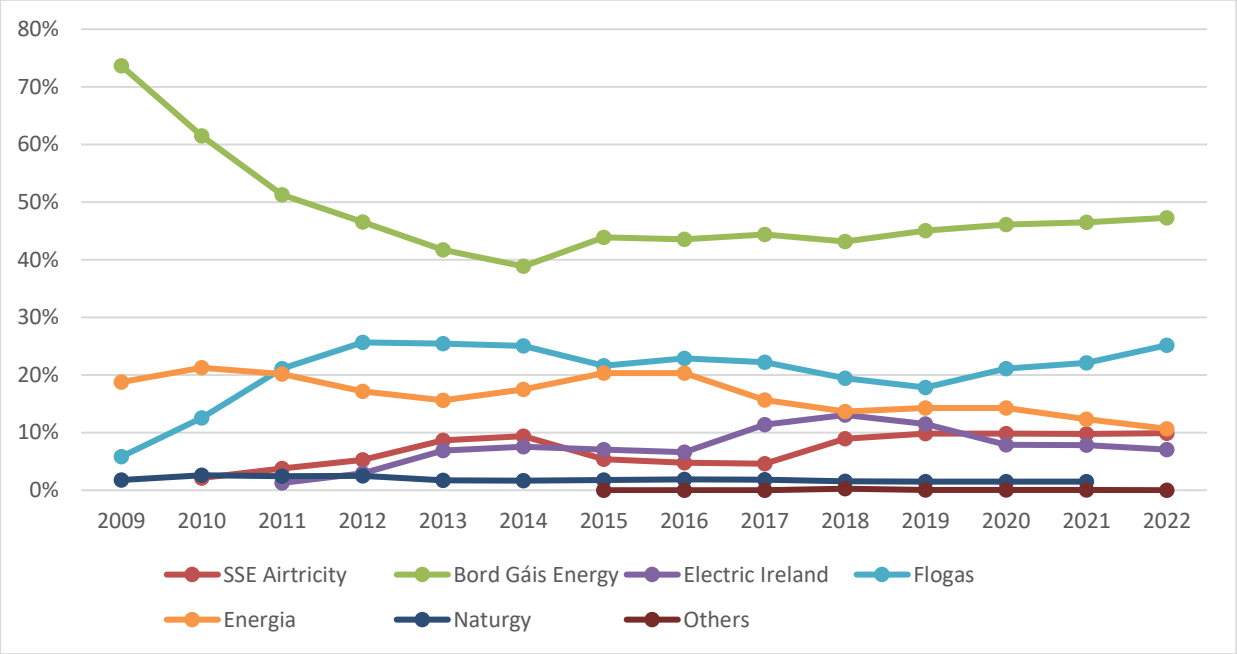


Figure 42: IC Market Share Trend (%)

10.3 Medium-Sized Non-Domestic Gas Market Share

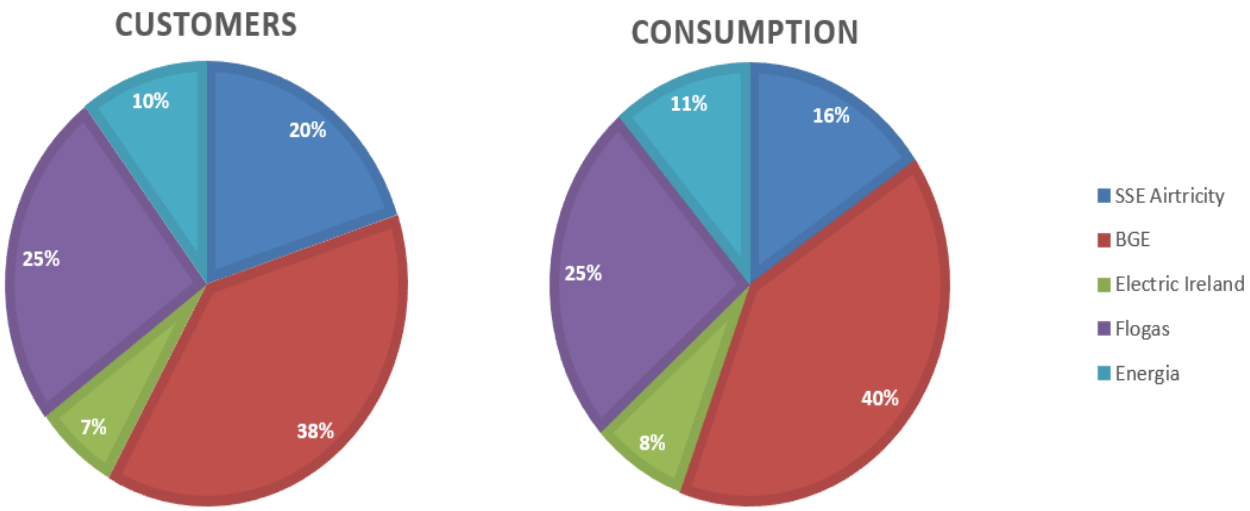


Figure 43: Medium-Sized Non-Domestic Gas Market Share (%)

At the end of 2021, Bord Gáis Energy had the largest share in the medium-sized non-domestic gas market segment, with 38.17% of the market in terms of customer numbers. This was followed

by Flogas with 24.86%, SSE Airtricity with 19.96%, Energia with 10.31% and Electric Ireland with 6.7%.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Bord Gáis Energy	686	690	756	763	306	172	122	280	880
SSE Airtricity	285	293	388	399	126	58	33	123	340
Electric Ireland	117	111	135	134	59	37	28	46	170
Flogas	461	473	492	497	195	110	82	167	554
Energia	197	189	221	206	85	52	37	74	248
Total	**1,746**	**1,756**	**1,992**	**1,999**	**771**	**429**	**302**	**690**	**2,192**

Table 19: Number of sites and GWhs per supplier

The graph below shows the trends in market share from 2015 to 2022 in terms of customer numbers. Bord Gáis Energy's market share has continually remained significantly higher than other suppliers in the medium-sized non-domestic gas market segment in this period.

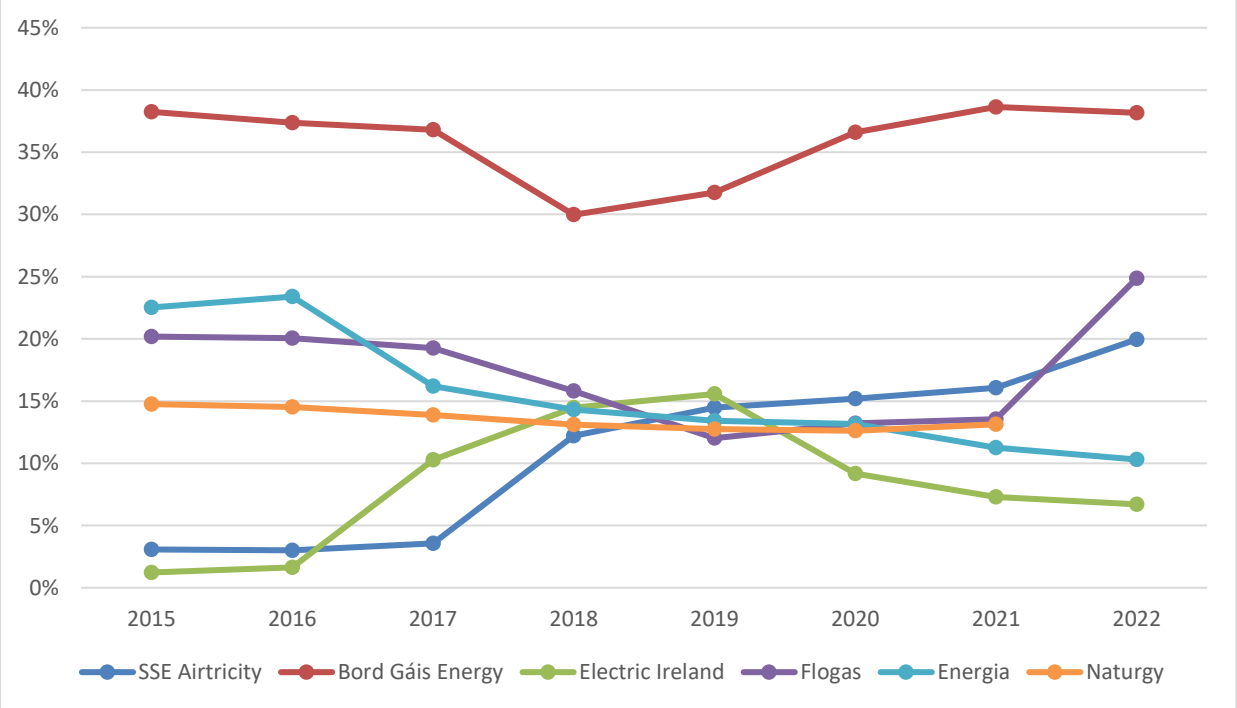


Figure 44: Medium-Sized Non-Domestic Business Electricity Market Share Trend (%)

10.4 Daily Metered (DM) Market Share

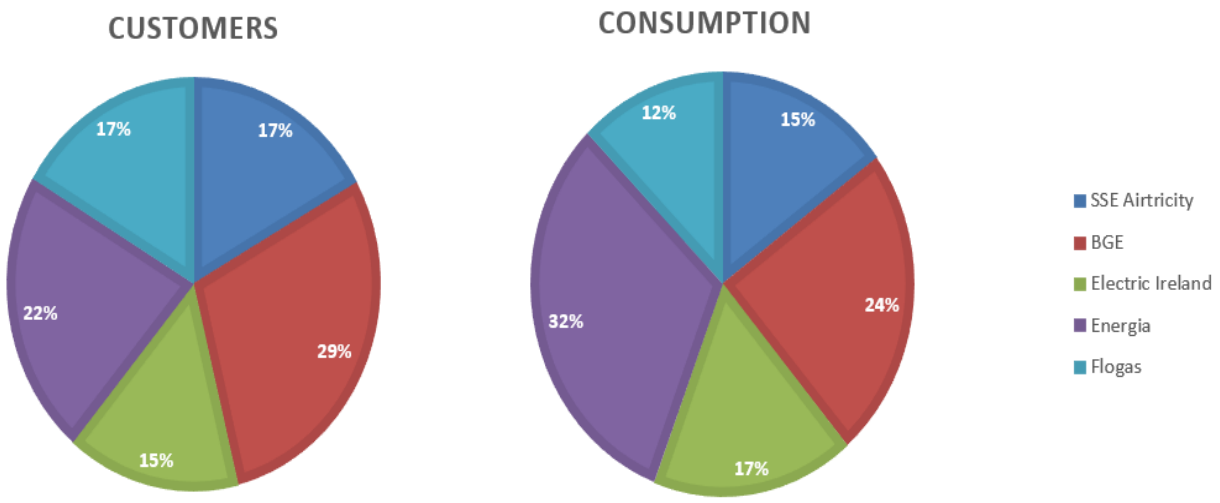


Figure 45: DM Gas Market Share (%)

At the end of 2022, Bord Gáis Energy had the largest share in the DM market segment, with 29.3% of the market in terms of customer numbers. This was followed by Energia with 22.34%, SSE Airtricity with 16.85% and Electric Ireland with 15.02 %.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Bord Gáis Energy	81	82	84	80	260	198	148	218	824
SSE Airtricity	40	41	43	46	149	117	99	147	512
Electric Ireland	42	42	41	41	260	198	148	218	824
Energia	63	63	63	61	306	276	236	277	1,095
Flogas	43	42	40	45	127	108	88	106	429
Total	**269**	**270**	**271**	**273**	**1,003**	**855**	**699**	**893**	**3,450**

Table 20: Number of sites and GWhs per supplier

The figure below shows the trend in market share between 2009 and 2022 in terms of customer numbers. Bord Gáis Energy's market share has fallen between 2009 – 2012 but has fluctuated since. At the end of 2022 Bord Gáis Energy had the largest share in this segment, with Energia and Flogas (following their acquisition of Naturgy) following.

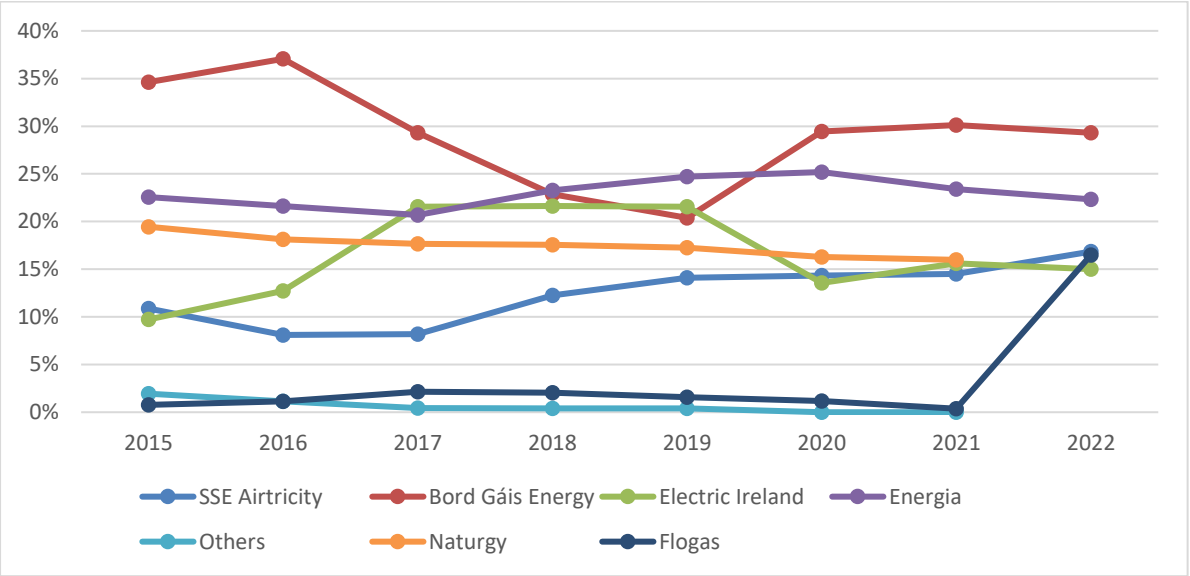


Figure 46: DM Market Share Trend (%)

10.5 Large Daily Metered (LDM) Market Share

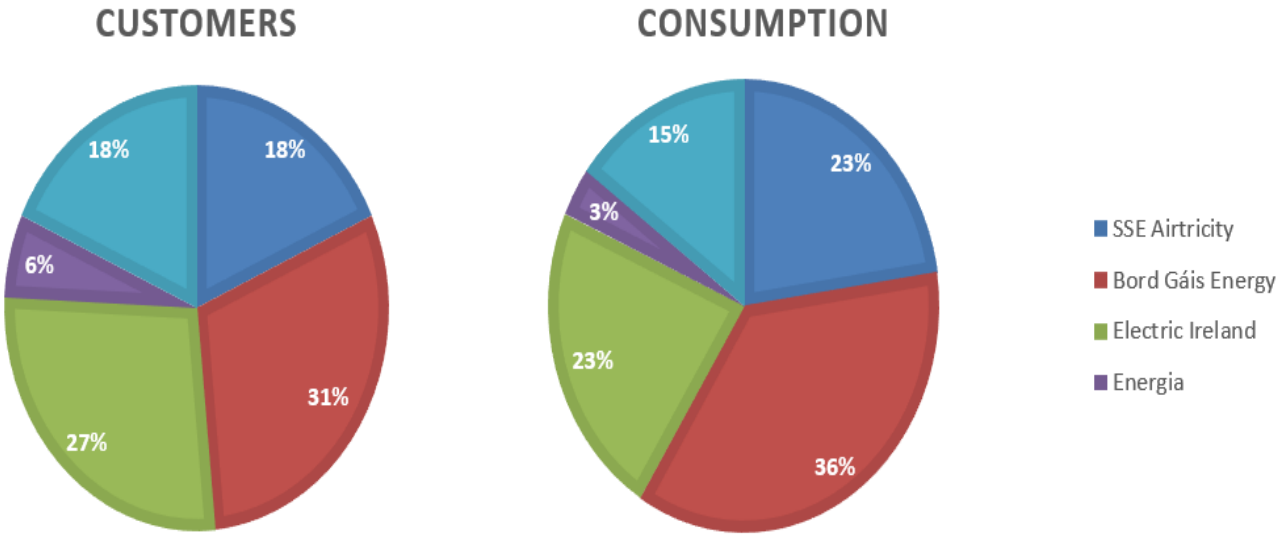


Figure 47: LDM Gas Market Share (%)

At the end of 2022, Bord Gáis Energy had the largest share in the LDM market segment, with 30.3% of the market in terms of customer numbers. This was followed by Electric Ireland with 27.27%, SSE Airtricity and Flogas each with 18.18% and Energia with 6.06%.

The table below shows the number of customers and the level of consumption per supplier.

	Sites Q1 2022	Sites Q2 2022	Sites Q3 2022	Sites Q4 2022	GWhs Q1 2022	GWhs Q2 2022	GWhs Q3 2022	GWhs Q4 2022	GWhs 2022 Total
Bord Gáis Energy	11	11	11	10	468	645	562	456	2,131
SSE Airtricity	6	6	6	6	281	393	359	296	1,329
Electric Ireland	9	9	9	9	339	352	302	343	1,336
Energia	2	2	2	2	48	61	56	41	206
Flogas	6	6	6	6	218	239	213	202	872
Total	**34**	**34**	**34**	**33**	**1,354**	**1,690**	**1,492**	**1,338**	**5,874**

Table 21: Number of sites and GWhs per supplier

The figure below shows the trend in market share between 2017 and 2022 in terms of customer numbers. Bord Gáis Energy's share has fallen by circa twenty percentage points between 2018 - 2022. SSE Airtricity and Flogas (since their acquisition of Naturgy) had the largest gains in market share in this segment during the period.

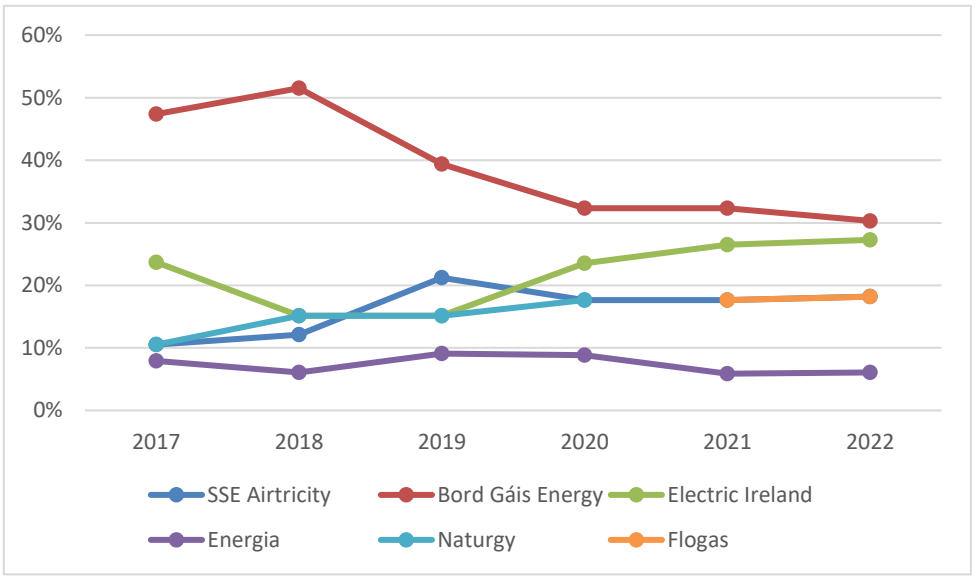


Figure 48: LDM Market Share Trend (%)

10.6 Gas Market Concentration

The figure below shows the level of the HHI between 2016 – 2022. There has been a decrease in the HHI for all gas market segments over time. Significant decreases have been observed in the domestic, DM and LDM segments over the period, while there has been a slight increase in the HHI for the IC and medium sized non-domestic segments.

Between 2021 and 2022 there was a decrease in the DM and LDM segments and an increase in the domestic, IC, medium-sized non-domestic and DM segments. In 2022 the HHI was 2,682 for the domestic market segment (2,603 in 2021), 2,851 for the IC market segment (2,527 in 2021), 2,679 for the medium-sized non-domestic market segment (2,300 in 2021), 2,245 for the DM market segment (2,270 in 2021), and 2,358 for the LDM market segment (2,846 in 2021).

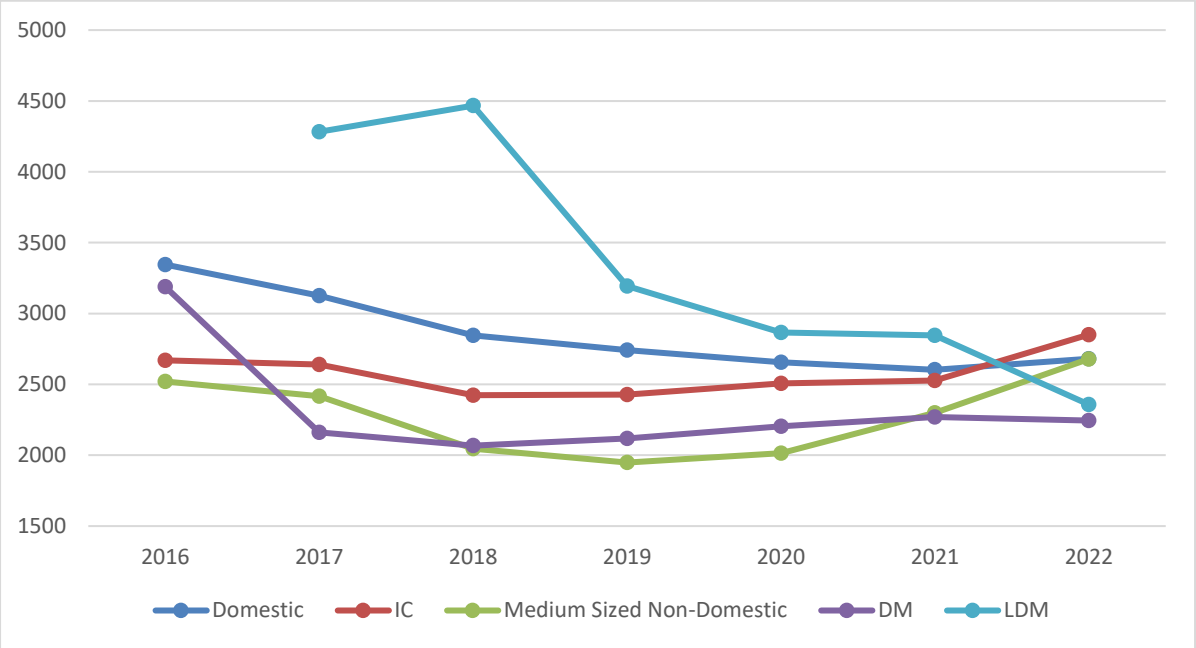


Figure 49: HHI Trends Over Time (2016 - 2022)

According to the European Commission an HHI above 2,000 indicates a highly concentrated market. Even though the HHI has decreased in most market segments over time, it remains above the threshold of 2,000.

11. Conclusion

The purpose of this report is to provide consumers, industry, and other interested stakeholders with a single source of relevant information on the development of competition in the electricity and gas retail markets.

Moreover, this report has detailed electricity and gas retail prices, suppliers tariff plans, along with domestic and business market shares of suppliers, and market concentration for 2022. It has also presented data concerning customer switching, new PAYG financial hardship installations, NPA disconnections, and arrears and payment plans.

Switching has continued in both the electricity and gas markets with 418,595 (16.8%) electricity customers and 128,304 (17.8%) gas customers changing their supplier in 2022. The number of electricity switches in 2022 was 16.8% higher compared to 2021 and the number of gas switches was 4.7% higher. It is considered likely that the year-on-year increase in switching numbers is at least in part related to all suppliers continually increasing their gas and electricity prices in 2022 (due to the increased wholesale gas and electricity costs).

The number of new PAYG meters installed for financial hardship in both electricity and gas increased in 2022. The number of disconnections for non-payment of account also increased in 2022 for both electricity and gas customers compared to 2021. These increases are largely due to the extended suspension of the installation of PAYG financial hardship meters and extended moratorium on NPA disconnections as part of the Covid-19 measures during 2021. The CRU continues to support and promote the early intervention by suppliers to encourage customer engagement and uptake of payment plans and PAYG meters and to continue to ensure that the disconnection of a customer is treated as a ‘last resort’. The CRU continues to work with industry to determine what further actions can be taken to limit the level of disconnections.

All active suppliers announced price increases throughout 2022. In electricity alone, there were 15 separate price increases announced in 2022. This was largely due to increases in the wholesale price of electricity and gas, which increased by 68% and 80% respectively on the average 2021 prices. These price increases contributed to increases of 76.1% and 100.4% in the weighted average of standard electricity and gas EABs from 2021 to 2022.

In 2022, Electric Ireland remained the largest electricity supplier in terms of consumption in the domestic, small business, medium business and Large Energy User market segments. In gas, Bord Gáis Energy remained the largest supplier in terms of customer numbers in the domestic, IC, medium-sized, DM and LDM market segments. The market share of both incumbent suppliers remained below the threshold at which the markets were deregulated, although Electric Ireland’s domestic electricity market share remained above 50% in 2022.

The CRU commits to continue to monitor all electricity, gas markets and the public water sector and should it feel that customers are not benefiting, the CRU will take action to improve matters.

APPENDICES

Appendix 1

Electricity and Gas Prices in a European Context

Domestic Electricity

Compared to semester 2 of 2021, in semester 2 of 2022 domestic electricity prices in Ireland increased in bands DA, DB, DC, DD and DE. Prices in the Euro Area also increased in bands DA, DB, DC, DD and DE.

In semester 2 of 2022, the average price in Ireland was 36% above the Euro Area average. The average price in Ireland for consumption band DC was 44% above the Euro Area average, while the average price for consumption band DD was 36% above the Euro Area average.

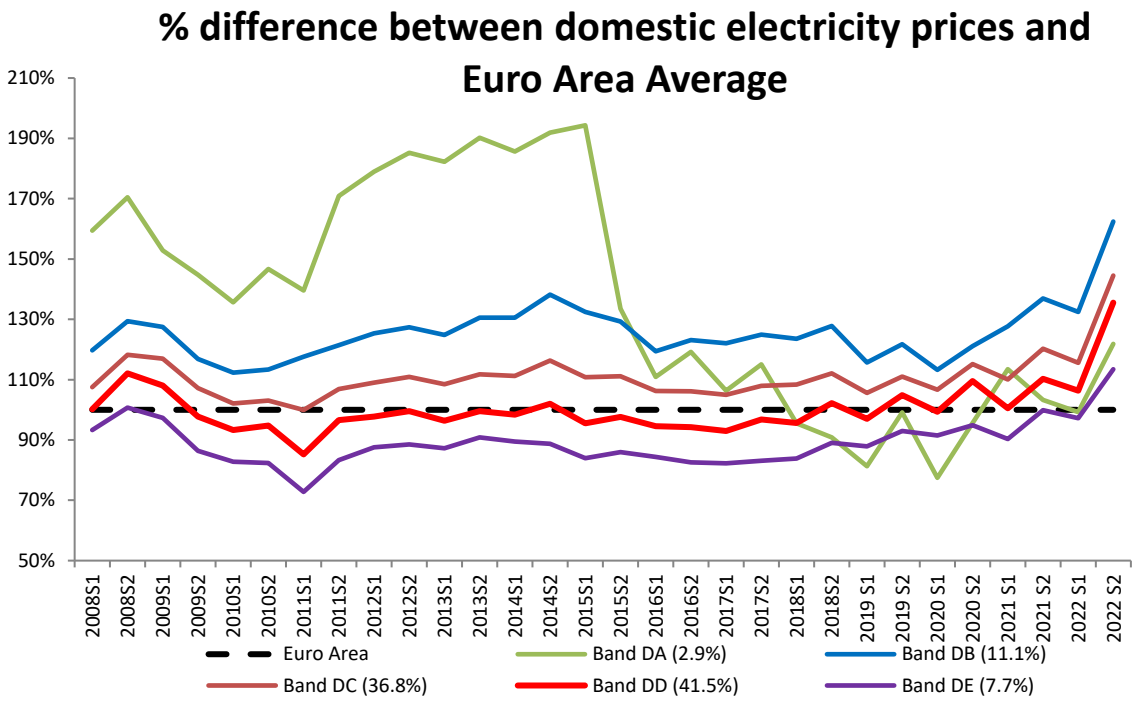


Figure 50: % difference between domestic electricity prices and Euro Area Average (market share of band)

The tables below show average domestic electricity prices in Ireland and the Euro Area for the main consumption bands, bands DC and DD, over the last four semesters.

Average Domestic Electricity Prices, Band DC (36.8%)				
	2021 S1	2021 S2	2022 S1	2022 S2
Euro Area	0.2322	0.2474	0.2608	0.2906
Ireland	0.2555	0.2974	0.3015	0.4199

Average Domestic Electricity Prices, Band DD (41.5%)				
	2021 S1	2021 S2	2022 S1	2022 S2
Euro Area	0.2128	0.2297	0.2459	0.2725
Ireland	0.2138	0.2534	0.2615	0.3693

Domestic Gas

Compared to semester 2 of 2021, in semester 2 of 2022 domestic gas prices in Ireland increased in all bands. Prices also increased in all bands in the Euro Area.

In semester 2 of 2021, the average price in Ireland was 19% above the Euro Area average. The average price in Ireland for consumption band D2 was 36% above the Euro Area average.

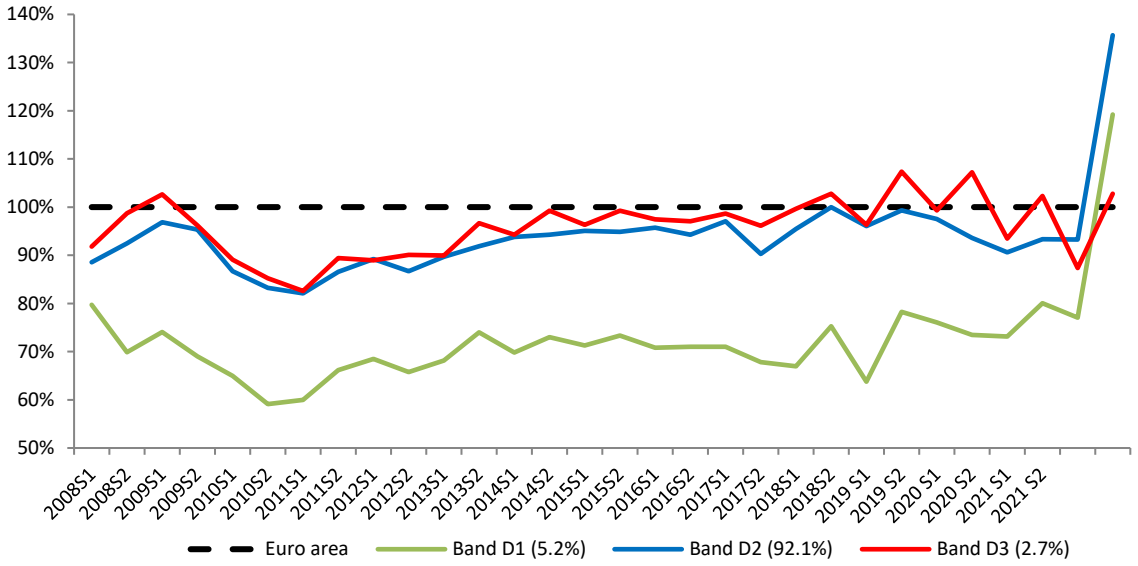


Figure 51: % difference between domestic gas prices and Euro Area Average (market share of band)

The table below shows average domestic gas prices in Ireland and the Euro Area for consumption band D2 over the last four semesters.

Average Domestic Gas Prices, Band D2 (92.1%)				
	2021 S1	2021 S2	2022 S1	2022 S2
Euro Area	0.0684	0.0839	0.0908	0.1138
Ireland	0.0620	0.0783	0.0847	0.1544

Non-Domestic Electricity

Compared to semester 2 of 2021, in semester 2 of 2022 non-domestic electricity prices in Ireland increased in all bands. Prices also increased in all bands in the Euro Area.

In semester 2 of 2022, the average price in Ireland was 15% above the Euro Area average. The average price in Ireland for consumption band IB was 24% above the Euro Area average.

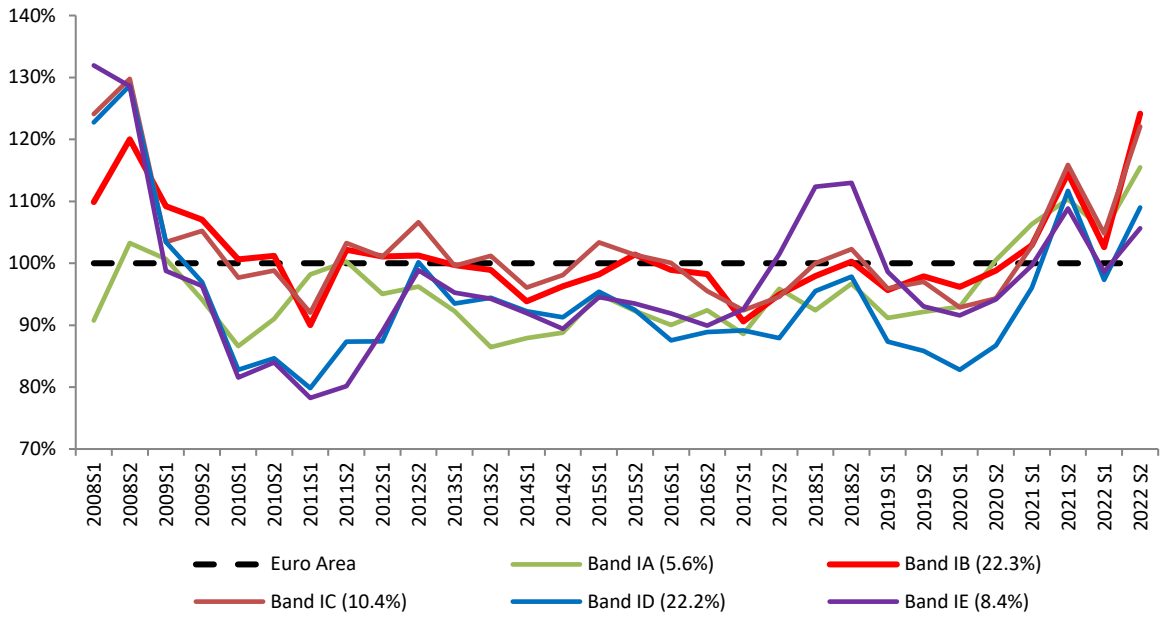


Figure 52: % difference between non-domestic electricity prices and Euro Area average, including all taxes and levies (market share of band)

The table below shows average non-domestic electricity prices in Ireland and the Euro Area for consumption band IB over the last four semesters.

Average Non-Domestic Electricity Prices, Band IB (22.3%)				
	2021 S1	2021 S2	2022 S1	2022 S2
Euro Area	0.1998	0.2074	0.2559	0.2811
Ireland	0.2056	0.2375	0.2625	0.3490

Non-Domestic Gas

Compared to semester 2 of 2021, in semester 2 of 2022 non-domestic gas prices in Ireland increased in bands I1, I2, I3 and I4. Prices also increased in all bands in the Euro Area.

In semester 2 of 2022, the average price in Ireland was 3% above the Euro Area average. The average price in Ireland for consumption band I4 was 24% below the Euro Area average.

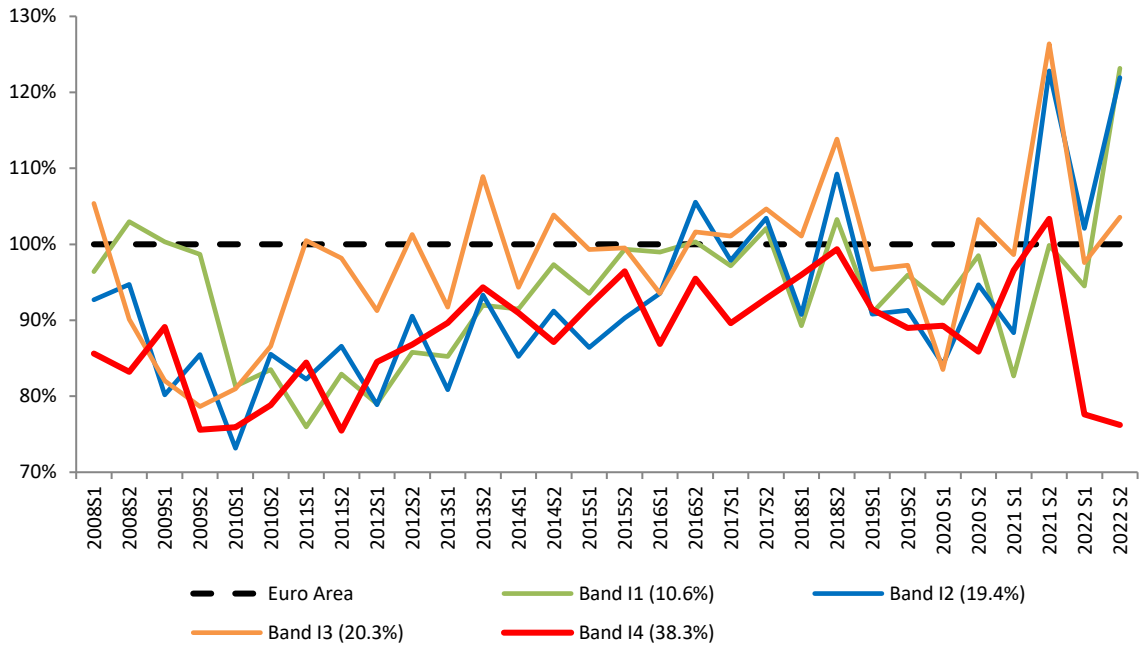


Figure 53: % difference between non-domestic gas prices and Euro Area average, excluding VAT and other recoverable taxes and levies (market share of band)

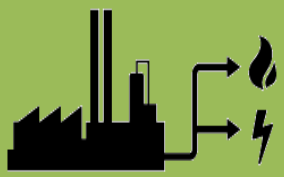
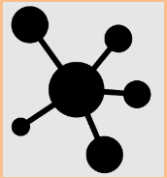
The table below shows average non-domestic gas prices in Ireland and the Euro Area for consumption band I4 over the last four semesters.

Average Non-Domestic Gas Prices, Band I4 (38.3%)				
	2021 S1	2021 S2	2022 S2	2022 S2
Euro Area	0.0293	0.0477	0.0741	0.0874
Ireland	0.0283	0.0493	0.0575	0.0666

Annex 1

Overview of Business Electricity Pass Through Costs and Charges

Whilst international fuel prices are a key driver of electricity prices (and outside of Ireland's control), some of the cost components in a business customer's electricity price are directly regulated and suppliers are required to pay them. Changes to these regulated charges generally come into effect on 1st October annually. While it is the decision of each supplier whether or not to pass through such costs to final customers, it is likely that most suppliers pass through all such costs. These costs, with the addition of the applicable taxes, are referred to as 'Pass Through Costs'.

Cost	Charge	Description
 **Generation**	**Capacity Payments**	Payment made to generators for their availability, based on the capacity provider's awarded capacity and the capacity auction price, separate from energy production.
	Market Operator Charges	Charges levied on generators and suppliers for the operation of the wholesale markets.
	Nominated Electricity Market Operator Charges	Charges paid by market participants to trade in the ex-ante markets.
	Imperfection Charges	Constraint costs on the network are recovered by imperfection charges.
 **Networks**	**Network Transmission Use of System charges (TUoS)**	Charges levied for the building, maintenance and operation of the transmission network. Further information on the TUoS tariffs from 1 October 2021 – 30 September 2022 can be found here, while information on the TUoS tariffs from 1 October 2022 – 30 September 2023 can be found here.

	Network Distribution Use of System charges (DUoS)	Charges levied for the building, maintenance and operation of the distribution network. Further information on the DUoS tariffs from 1 October 2021 – 30 September 2022 can be found here, while information on the DUoS tariffs from 1 October 2022 – 30 September 2023 can be found here .
 **PSO**	**Public Service Obligation Levy (PSO)**	Levied for support for renewables, security of supply and indigenous fuels (peat).

Annex 2

Overview of Gas Pass Through Costs and Charges for 2022

This section describes the network related elements for gas business customers. As with the electricity charges, these charges are approved by the CRU. The carbon tax charge is also included in this section.

Gas Market Segments

For the purpose of the CRU's reporting, the gas market is comprised of three distinct sectors which is dependent on the Annual Quantity (AQ) consumed at the site. Annual Quantity is an estimate of the amount of gas that will be consumed at a site within a given year and is usually based on historic consumption at a site. In addition, your Supplier is required to book capacity on the network for peak day usage. This is known as the Supply Point Capacity (SPC).

Business customers are classified by the meter type, which fall into three categories: Non-Daily Metered (NDM), Daily Metered (DM) and Large Daily Metered (LDM). Each category of business user is dependent on the gas consumption expected at the site.

- Large Daily Metered: AQ above 77,5000 MWh
- DM: AQ between 5,500 MWh and 57,500 MWh
- NDM: AQ below 5,500 MWh

In general, DM and LDM customers will have a site-specific consumption. This would include factories, dairies and power generation, and therefore deriving an average for this type of site would not derive a useful average.

Consumption

LDM and DM customers' consumption is atypical in so far as deriving an average would be difficult, as the range of customer types varies from power generation plants to dairies. However, as the network operator GNI does generate average consumption profiles for the NDM sector, where all domestic customer and smaller businesses are connected. These are known as IC1, IC2 and IC3. When GNI derives average profiles, it takes historic consumption and long-term weather patterns into account, and also corrects these for any anomalies e.g. if weather was abnormally warm or cold. This assists GNI in deriving the AQ at each point which is based on the annual consumption at each point as well as the SPC which is the Peak day demand at the point.

Average yearly consumption per gas point per category as modelled by GNI is published in the Gas Networks Ireland NDM Profile Model Methodology, available here, and also shown below:

Category	Band (AQ)	Number of gas points	Average yearly consumption per gas point
IC 1	Below 73,000 kWh	17,268	29,648 kWh
IC 2	Equal to or above 73,000 kWh and SPC less than 3,750 kWh	8,245	210,811 kWh
IC 3	SPC equal to or greater than 3,750 kWh	1,757	1,386,876 kWh

Network Charges

There are two sets of charges that apply to business gas customers dependent on whether the customer is connected to the high-pressure transmission network or the low-pressure distribution network. All power generation and large businesses are connected to the transmission network and therefore only pay transmission tariffs. All other customers are connected to the distribution network, and therefore must also pay distribution tariffs. This is because in the case of distribution connected customers, all gas flows through the transmission network initially before entering the distribution network.

In the case of both transmission and distribution the applicable charges are based on two charges: commodity charges which are based on actual flows of gas (AQs) and capacity charges which are based on "booking "space within the network as per the SPC described above.

Distribution tariffs

The Distribution Use of System (DUoS) charges are calculated annually based on the 'allowed revenue' of GNI which are set out in the Price Controls that CRU publish on a 5-year basis. Revenues are recovered on an 80:20 split between capacity and commodity charges. The approved charges for 1 October 2021 to 30 September 2022 are available in CRU21059 *'Gas Networks Ireland Distribution Tariffs and Allowed Revenue 2021/22 Information Note'*.

Category by Annual Quantity	**Capacity Charge (c/pk day kWh)**
<=73 MWh	154.2089
> 73 MWh - <=14,653 MWh	136.5122–3.9686 * Ln(MDQ)*
> 14,653 MWh - <=57,500 MWh	341.0567– 48.9419 * Ln(MDQ)

> 57,500 MWh	42.0583

The capacity and commodity unit charges are determined by inserting the Maximum Daily Quantity into the relevant formulae (MDQ measured in MWh). The results of the formulae are in terms of c/peak day kWh and c/kWh respectively.

Category by Annual Quantity	**Commodity Charge (c/kWh)**
<=73 MWh	0.3293
> 73 MWh - <=14,653 MWh	0.2631 - 0.0256 * Ln(MDQ)
> 14,653 MWh - <=57,500 MWh	0.3065 - 0.0404 * Ln(MDQ)
> 57,500 MWh	0.0599

The approved capacity and commodity charges for 1 October 2022 to 30 September 2023 are available in CRU202248a '*Distribution Revenue Model 2022-23.*

Category by Annual Quantity	**Capacity Charge (c/pk day kWh)**
<=73 MWh	158.1301
> 73 MWh - <=14,653 MWh	139.9834– 4.0695 * Ln(MDQ)*
> 14,653 MWh - <=57,500 MWh	349.7290– 50.1863 * Ln(MDQ)
> 57,500 MWh	43.1277

Category by Annual Quantity	**Commodity Charge (c/kWh)**
<=73 MWh	0.3615
> 73 MWh - <=14,653 MWh	0.2888 - 0.0281 * Ln(MDQ)

> 14,653 MWh - <=57,500 MWh	0.3365 - 0.0444 * Ln(MDQ)
> 57,500 MWh	0.0658

GNI has a distribution tariff calculator which allows you to input your distribution entry and/or exit point requirements which will be used to calculate the applicable distribution tariff.

Transmission tariffs

Tariffs for the transmission system are based on an entry-exit regime. This means that customers pay for putting gas onto the system and for off taking gas from the system. Similar to the distribution system, these charges recover the allowed revenues for GNI.

The transmission system has three entry points; Moffatt in Scotland where the GNI system joins the UK gas system, Inch in Cork and Bellanaboy where Corrib gas enters the network. For each of these there is an entry capacity tariff applicable. In addition, there is a single commodity charge (per MWh) that applies regardless of the entry point.

In addition, there is a capacity and commodity charge for exiting the network. The same charge applies regardless of where gas is taken off the network. The approved charges for 1 October 2021 – 30 September 2022 are available in CRU21059 *'Gas Networks Ireland Transmission Tariffs and Allowed Revenue 2021/22'* Information Paper and are also set out below:

Moffat entry capacity	€312.890
Bellanaboy entry capacity	€623.760
Entry Commodity	€0.114
Exit Capacity	€454.70
Exit Commodity	€0.238

The approved charges for 1 October 2022 to 30 September 2023 are available in CRU202247 '*Gas Networks Ireland Transmission Tariffs and Allowed Revenue 2022/23 Decision Paper'* and are also set out below:

Moffat entry capacity	€356.821
Bellanaboy entry capacity	€721.628

Entry Commodity	€0.137
Exit Capacity	€501.684
Exit Commodity	€0.284

To calculate the cost on a per customer basis, similar to the distribution network, the capacity booked and the commodity i.e. flow must be known. The capacity tariffs above are based on an annual product which means that for each MWh of capacity booked, the customer can use that amount each day of the tariff year which runs from October to September. In addition, customers can purchase a short-term product which is capacity booked for a specific period of time. These short-term capacity products are available as Quarterly, Monthly, Daily and Within Day products. The charges for each of these products is based on a multiplier to the annual product. The decision to purchase either an annual or a short-term product is usually dependent on the typical consumption profile of a particular customer.

In addition, commodity charges apply on a per MWh basis. These are flow based and vary from customer to customer.

The transmission calculator allows you to input your transmission entry and/or exit point requirements which will be used to calculate the applicable transmission tariff.

Carbon tax

Since 1 May 2021 the rate of carbon tax was €0.00606 per kWh (€0.00688 per kWh including VAT of 13.5%). In May 2022 the rate of the carbon tax increased to €0.00741 per kWh excluding VAT and €0.00808 per kWh including VAT of 9%. All-natural gas suppliers in Ireland have to levy the carbon tax on their customers. Some natural gas customers are exempt from paying carbon tax. These include:

- Natural gas consumers who use it for the purpose of generating electricity.
- Natural gas manufacturer consumers, where it is used for the purpose of chemical reduction.
- Natural gas manufacturing customers where it is used in electrolytic or metallurgical processes.

Partial exemptions from paying carbon tax apply to:

- Suppliers dealing with the cogeneration of environmentally friendly heat and power, as decided by the Minister for Finance.

- Industrial and manufacturer consumers covered by a greenhouse gas emissions permit that has been issued by the Environmental Protection Agency.